

Manappuram Finance Ltd. (MANAPPURAM)

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BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip Code: 531213 National Stock Exchange of India
Limited
5th Floor, Exchange Plaza
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Mumbai – 400 051
Scrip Code: MANAPPURAM

Dear Madam/Sir

Sub: Sub: Con call Transcript of the Q 1 Results Conference Call held on August 10, 2023
Ref: SEC/SE/164/23 -24 dated August 03, 2023

With reference to the above, kindly note that the transcript of Q 1 results Conference Call held on August 10, 2023 has been uploaded on the website of the Company in the below Link .

<https://www.manappuram.com/public/uploads/editor-images/files/Manappuram%20Transcript-Aug-10-2023.pdf>

We request you to take the same on record.
Thanking You.

For Manappuram Finance Limited

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Page 1 of 19

“Manappuram Finance Limited Q1 FY '24 Earnings
Conference Call ”

August 10, 2023

MANAGEMENT : MR. VP NANDAKUMAR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – MANAPPURAM FINANCE
LIMITED
MS. SUMITHA NANDAN – EXECUTIVE DIRECTOR –
MANAPPURAM FINANCE LIMITED
MS. BINDU A. L. – CHIEF FINANCIAL OFFICER –
MANAPPURAM FINANCE LIMITED
MR. RAVINDRA BABU – MANAGING DIRECTOR ,
ASIRVAD MICRO FINANCE – MANAPPURAM FINANCE
LIMITED
MR. KAMAL PARMAR – HEAD, VEHICLE AND
EQUIPMENT FINANCE – MANAPPURAM FINANCE
LIMITED

MR. RAJESH NAMBOODIRIPAD – CHIEF FINANCIAL
OFFICER , ASIRVAD MICROFINANCE
MR. SUVEEN P. S. – CHIEF EXECUTIVE OFFICER ,
MANAPPURAM HOME FINANCE
MR. ROBIN KARUVELY – CFO
MODERATOR : MR. SANKET CHEDDA – DAM CAPITAL

Manappuram Finance Limited
August 10, 2023

Page 2 of 19

Moderator : Ladies and gentlemen , good day, and welcome to the Manappuram Finance Limited Q1 FY '24 Earnings Conference Call, hosted by DAM Capital Advisors Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touch - tone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Sanket Chedda from DAM Capital. Please go ahead, sir. Thank you, and over to you.

Sanket Chedda: Hello, and good evening to all of you. We are here today to discuss Manappuram Q1 FY '24 results.

We have the entire management team with us. Mr. V. P. Nandakumar, who is the MD and CEO; Ms. Sumitha Nandan who is the ED; and Mr. Bindu, who is the CFO ; Mr. Ravindra Babu, who is MD of Asirvad Micro Finance ; Mr. Rajesh who is the CFO; Mr. Kamal Parmar, who is Head of Vehicle business; Mr. Suveen who is our CEO and Mr. Robin Karuvely who is the CFO. Without further ado, I will hand the call over to Mr. Nandakumar for his opening remarks, post which we will follow up with the question and answer . Over to you, sir.

V. P. Nandakumar:

Thank you. Good evening , ladies and gentlemen . Welcome to the conference call for our first quarter FY '24 financials .

I take great pleasure in presenting our results at a time when India is being hailed as a bright spot in the global economy and the optimism about India's growth prospects is all pervasive as we are now the most popular and youthful country in the world . The young cohorts will power our economy and we at Manappuram Finance are well placed to seize the opportunity .

In the last Con Call, I had stressed the need for a balanced and prudent growth strategy. This quarter, we have achieved a notable growth in both AUM and profitability.

I am happy to share that we have recorded a net profit of 498 crore with an improvement of 77 % year-on-year, driven by profitability in gold loan and consolidation in Micro finance business which has witnessed a clear turn around.

Gold loan AUM stands steady at Rs 20,603 crore while standalone AUM at Rs 25,768 crore has grown by 12.6% year-on-year. The consolidated AUM has touched 37,086 crores in Q1 representing an increase of 20.6% over the year-ago quarter . I remember with gratitude all the stakeholders for this creditable performance , but more than anything else , it is the trust of our customers that has helped us negotiate the various challenges that cropped up, big and small , and press ahead on our journey of progress .

Manappuram Finance Limited
August 10, 2023

Page 3 of 19

The NBFC space is growing with the emergence of new players , but India's underpenetrated financial market gives room for a large number of players to coexist .

The company's Micro Finance subsidiary, Asirvad, has posted an AUM of Rs 10,141 crore showing a growth of 44.6 % year-on-year and net profit of 111 crores during Q1 vis -à-vis net loss in the year -ago quarter . I have no doubt that the share of Micro Finance in the overall profit pie is set to go up in the days to come .

Like in the previous quarters , we continue to post maximum growth in the vehicle finance business recording 59.8% increase year -on-year with an AUM of 2,805 crores followed by home loans with AUM of 1,203 crores, registering 37.5% increase over the corresponding quarter in FY '23.

The strategy of diversifying into other sectors is gaining pace . The share of non-gold verticals in our total assets under management now stands at 44% and this is very much in line with our stated objective of achieving a 50:50 portfolio mix between gold and the non -gold segments .

We will continue with our policy of becoming a well -diversified NBFC.

Micro Finance business is expected to continue to gain traction as the sector correlates well with the economic recovery . MSME and personal loan segments are also areas where we want to increase our presence . All this, while we continue to maintain a comfortable liquidity position .

For a more comprehensive review of our financial performance, I hand the floor to our CFO Bindu.

Bindu A L: Thank you, sir. Good evening, ladies and gentlemen, and thank you for joining us today. With regard to Q1 performance, our consolidated AUM for Q1 FY '24 was Rs. 37,086 crore representing 4.6% sequential growth and 20.6% Y-o-Y growth. Consolidated profit after tax was Rs. 498 crore, which was up by 20% Q-on-Q and up by 76.7% Y-o-Y.

ROE on a consolidated basis was 20% and the ROA was 5%. Our leverage is currently only 2.8 x GNPA at 1.45% versus 1.33% during the previous quarter. Cash-on-cash equivalents on a consolidated basis was Rs. 2,452 crores. The undrawn bank line was Rs. 2,580 crores.

Our CP exposure is nil in the stand-alone entity. Standalone borrowing cost has gone up by 18 basis points in Q1 FY '24. About the Gold Loan business, which constitutes 56% of consolidated AUM, whereas remaining 44% comprises Micro Finance, Vehicle, Housing and MSME business.

Consolidated gold loan AUM was Rs. 20,603 crore, an increase by 4.3% Q-on-Q and Y-o-Y flat. During the quarter, we were able to add 4.46 lakh new customers. Our average gold loan LTV is 64%. Online gold loan book accounts for 55% of total gold loan book.

Manappuram Finance Limited

August 10, 2023

Page 4 of 19

Our standalone PAT was Rs. 381 crores, up by 23.2% sequentially and up by 31.3% Y-o-Y.

Coming to Micro Finance business, Asirvad Micro Finance, the AUM stands at Rs. 10,140 crores, including gold loan AUM of Rs. 790 crores, Q-on-Q 1% growth and 4.5% increase Y-o-Y.

PAT for MFI business has increased to Rs. 111 crore in Q1 versus Rs. 99 crore in Q4 FY '23. Collection efficiency from MFI business stood at 102%, and disbursements during the quarter was Rs. 1,814 crore. Cumulative ECL provision in Asirvad was Rs. 217 crore, and net NPA stands at 1.29%. Asirvad CRAR improved to 22.6%. ROA for the quarter was 4.4%, and ROE of 26.6% for the quarter.

Vehicle Finance, we have reported an AUM of Rs. 2,805 crore, which is up by 14% Q-on-Q and 60% Y-o-Y. ROA for vehicle finance business around 2.2% for this quarter. Collection efficiency including arrears 100%, GNPA 2.9%

Home loan business reported a book of Rs. 1,203 crore, up by 9.7% Q-on-Q and 37.5% Y-o-Y growth. It now operates from 66 branches and reported a profit of Rs. 3.2 crore. Collection efficiency for the quarter was 98%. GNPA at 2.8%.

MSME and Allied business AUM stands at Rs. 2,360 crore, ROA at 3.2, collection efficiency 97% and GNPA of 1.8%.

Our on-lending AUM stands at Rs. 805 crores with a disbursal of Rs. 47 crores during the quarter. Provisions and write-offs in the standalone entity Rs. 21 crore compared to 4.3 crore in Q4. Board declared an interim dividend of Rs. 0.80 for the quarter. Company is well capitalized with a CRAR of 30.5%. Net worth stands at Rs. 10,078 crore and the book value of Rs. 119.

Thank you. We can now go for the Q&A session.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mr. Abhijit Tibrewal from Motilal Oswal. Please go ahead, sir.

Abhijit Tibrewal: Sir, I had three questions. The first one is more around the yield and the cost of borrowings. So, just wanted to understand last quarter we had guided that because we kind of moved from this three month to six month tenure, we had seen a minor blip in the yields. This quarter on slide number six, you reported net yields on go

Id loans have improved to about 21.6% during this quarter. So, now what's the trajectory going to be like for the current quarter?

Sir, last quarter we had shared that because there was a change in gold loan tenures from three months to six months, we have seen a minor blip in gold loan yields during last quarter. That has obviously recovered this quarter what you have reported on slide number six. The net yields on gold loans have improved to about 21.6% versus 21% that you reported last quarter. I wanted to understand what's the trajectory going to be like on gold loans going forward. And a related

Manappuram Finance Limited

August 10, 2023

Page 5 of 19

question here. While we have suggested that the cost of borrowings have gone up by about 20 basis points, what's the trajectory going to be like? Because very clearly, we didn't see any significant rise in the cost of borrowings last year, even though repo rates had moved out. So, if you could just answer these two questions first?

V. P. Nandakumar: So, gold loan, we hope to maintain a yield between 21% to 22%. That is yes, our schemes are structured like that, and we hope to maintain that. Cost of borrowing has gone up by 20 bps, and it will be, Bindu, you can say what is the expectation?

Bindu A L: So, this quarter we have seen an increase of 20 basis points. The reset is happening and even without repo rate hike, we are seeing a slight increase in the rate from banks. So, I think this quarter also we have to expect a similar increase.

Abhijit Tibrewal: Then the second question that I had was more on the gold loan growth. Obviously, we are seeing good gold loan growth, strong gold loan growth last quarter in 4Q, again, another quarter of strong gold loan growth, but ma'am, what I wanted to understand here is very clearly, right? I mean, while reading your opening remarks, you suggested that we have added about 4.46 lakh new gold loan customers, but in terms of the overall gold loan customers that you report, they are not going up. The tonnage, if I look at it, it's not going up.

So, essentially, is it predominantly, I mean, higher gold prices, which will eventually lead to higher LTVs versus 64% that you have reported as on this quarter, which will lead to gold loan growth in the coming quarters? Or is there also reason to believe that we can also increase the customer franchise in gold loans going ahead?

V. P. Nandakumar: So, we plan to grow at around 10% to 12% annually by increasing the customer base. It is not just rallying around the gold price. So, customer acquisition is seen improving, and that is the reason for our expectation to grow at a rate of 10% to 12% annually, which has been told earlier also.

Abhijit Tibrewal: And sir, just one last question for Bindu ma'am. Ma'am, in the consolidated statements, we are seeing about 55 crores of net gain on fair value changes. If you could just explain what is this?

Bindu A L: So, in the case of direct assignment transactions, we can do an upfront of income based on the true sale concept. So, it was there in the last year financials also. This is coming from MFI financials. So, if you see, last year also, some quarters based on the DA number, there will be a income, but in the subsequent quarters, it will get adjusted.

Abhijit Tibrewal: Ma'am, shouldn't that come in net gain on the recognition of financial statements? Because all other companies that we track typically report this upfront of income in net gain on the recognition of financial instruments. So, this quarter, I mean, because of assignments we are reporting this 55 crores of net gain on fair value changes? Why I ask this is this is a bigger number, ma'am. Y-o-Y this was 10 crores. Last quarter it was about 9 crores.

Manappuram Finance Limited

August 1

0, 2023

Page 6 of 19

Bindu A L: But if we see the last year, full-year number, because we were doing on an average 1,000 to 1,500 crores DA, for the full year it was 100 crore. So, that will get adjusted. So, based on the DA volume because this quarter DA was high, so it was there, and we are creating the service liability also for that portfolio. So, it is normal operating income only.

Moderator: Thank you. The next question is from the line of Nikhil Agarwal from VT Capital. Go ahead.

Nikhil Agarwal: One thing on asset quality of MFI book. Stage -2 has decreased by a lot. It has come down from 1.9% to 0.8%, and Stage -3 has not increased by that much. So, if you could just explain the move in the movement there? Also, the consol provisions that we have made, a major part of it has come from MFI book. So, if you are seeing good resolutions, what is the need to make such provisions? And will this continue? And lastly, if you could provide less than 12% yield part of the work that we use to provide in the presentation?

Bindu A L: So, yes, in the case of MFI book, there was some write-offs also. That is the reason this quarter the movement between Stage -2 and Stage -3, the impact on the P&L was high, but we expect the credit cost to overall remain within the guidance. So, that is the impact for this quarter. And on that 12% etc., as the gold loan yield is settled, we thought of removing that slide, but 90% of the book is above 12%.

V. P. Nandakumar: 2.5% only that below.

Nikhil Agarwal: Sorry, 90% is above 12% yield?

Bindu A L: Yes.

Nikhil Agarwal: And now this will not go beyond 90%, I guess, as it was mentioned last quarter?

Bindu A L: It will be in this range.

V. P. Nandakumar: Overall yield of around 21%, 22%, this will be same range.

Nikhil Agarwal: Also, this write-off, sir, if you could provide us a number, how much was the write-offs? And you said that it will remain in the same range. So, are we expecting more items this year? And will the credit cost remain at the same level?

Bindu A L: So, during the quarter, we are at around Rs. 57 crores.

Nikhil Agarwal: Rs. 57 crores of write-offs.

Bindu A L: So, in the coming quarters, we expect reduced credit cost.

Nikhil Agarwal: There was Rs 57 crores of write-offs in this quarter, and in coming quarters, we are not expecting such write-offs?

Manappuram Finance Limited

August 10, 2023

Page 7 of 19

Bindu A L: Yes.

Nikhil Agarwal: And was this entirely from micro ? Is there any more stress in this book ? In MFI book ?

Bindu A L: Entirely from Micro Finance book .

Moderator: Thank you. The next question is from the line of Shubranshu Mishra from PhilipCapital . Please go ahead .

Shubranshu Mishra: First part is , if you can decompose this 10%, 12% growth guidance because in this 10 % , 12%, there will be a ticket size increase of 5%, 6 % which is a normal inflationary growth . There would be some branches which would be breaking even or the productivity would increase, which would be another maybe 2 odd percent. So, actually , the actual growth is limited to maybe less than 2% in that case . So, if you can decompose that ?

Second is, if you can split the book in to less than 50,000, 50,000 to 1 lakh, 1 lakh to 2 lakh and 2 lakh and above , that is the first data point I wanted . And the second data point is from Bindu madam for auctions , weighted average LTV both in percentage as well as rupees.

Bindu A L: What? 10% to 12% growth expected is from new customer acquisition .

Shubranshu Mishra: Sir, it has never happened , sir, from new customer acquisition in the last 10, 12 years , I have been seeing this company, sir. It has never happened, sir.

V. P. Nandakumar: Yes, but the conditions are improving now . It's not relying on the gold price.

Management: Yes. 50,000, up to

50,000, 26 %. 50,000 to 1 lakh is 17%. Then total 43 and above 1 lakh, it is 57%.

Shubranshu Mishra: And ma'am, the auctions ?

Bindu A L: Auctions , comparatively lesser auctions in this quarter. It was only 14 crore during the quarter .

Shubranshu Mishra: And on the LTV, ma'am?

Bindu A L: LTV 64 %.

Shubranshu Mishra: And rupees? In rupees?

Bindu A L: I will send you , Shubranshu. I can send you.

Moderator: Thank you. The next question is from the line of Piran Engineer from CLSA . Please go ahead.

Manappuram Finance Limited

August 10, 2023

Page 8 of 19

Piran Engineer: Just couple of things. Bindu, you mentioned the credit cost guidance you are giving unchanged. If you could just remind us what is the guidance for the year?

Bindu A L: So, on the average AUM, our expectation in the new scenario of 2% credit cost. So, that we should be able to maintain . That is 2%, 2.5% credit cost is what we are expecting .

Piran Engineer: But it was 3.8 %, right , this quarter . So, this sharp decline is coming due to what reason ?

Bindu A L: So, this quarter , yes, we have taken some write-offs, and that is the reason it has gone up , but if you see the Stage -1, Stage -2, Stage -3, etc., we are not expecting higher .

Piran Engineer: And the secondly in terms of , you know, for the gold loan business and Shubranshu was saying I have had like 2.5 million customers for now four or five years . Just wanted to understand in this 2.5 million , let's say , how many would be new to Manappuram? And how many are just , you know, rolling over that loan ?

Bindu A L: During the quarter , we added new to Manappuram customers of nearly 4.4 lakh . So, as it is a fast-churning business , we are adding a lot of new customers , and that is helping us to grow the business .

Piran Engineer: And if I just multiply this number by four , would that be the number of new customers you all added , you know, last year ?

Bindu A L: See, every quarter, every day we are adding almost 5,000, 5,300 new customers . So, that trend is improving as the category of customers which we are addressing is also becoming active . So, we are seeing a n improvement in the new customer addition . So, that is helping us to grow the business .

Piran Engineer: Sorry, Bindu, I think when you say new , is it new to Manappuram or someone who took a loan three years back , he is again coming back , you are classifying this in this 4.4 lakh ?

Bindu A L: New to Manappuram.

Piran Engineer: So, that's quite a large number , right ?

Bindu A L: So, when we onboarded , then we will consider as an existing customer only . There will be campaigns on lost customer , but this 4.4 lakh is totally new to Manappuram .

Piran Engineer: So, if you could just tell us then apart from 4.4 , how many ? So, how many loans did you all disburse this quarter then ?

Bindu A L: 30,000.

Manappuram Finance Limited

August 10, 2023

Page 9 of 19

Piran Engineer: I mean, not in crores. In number of people , because it would be new to Manappuram plus some

people rolling over plus some old people who are reactivated .

Bindu A L: Yes. That always used to be very high because our average life of gold loan is around 100 days only. So, to maintain a 20,000-crore book itself we have to do 1,20,000 , so almost three times of that will be the disbursement number . So, that is a larger number . So, we are adding new customers . Business is improving , but at the same time, the churning is very fast . So, during the quarter , we did the disbursement of almost 39 ,000 crore .

Piran Engineer: And to how many customers that 39,000 crores ?

Bindu A L: 50.49 lakh accounts .

Piran Engineer: Could you repeat that , please ?

Bindu A L: 50.49 lakh accounts.

Bindu A L: Yes. Because 23 lakh customers , the number of accounts around 44 lakh . So, every quarter there will be one turning.

V. P

. Nandakumar: 90 days only the life of the loan.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak Institutional Equities . Please go ahead.

Nischint Chawathe: Sorry , this is just again a clarification on your cost of borrowing and, you know, your cost of borrowing has gone up around 70 basis points quarter -on-quarter . Is that the right way to look at it or?

Bindu A L: So, in the standalone entity and the subsidiary Asirvad Micro Finance , we have seen an increase in cost of borrowings. So, this 70 basis points largely on account of increase in cost of borrowing in Asirvad. Standalone , the increase is 18 basis points .

Nischint Chawathe: And, you know, during the quarter , most of your borrowing is coming from , I mean, the increase is mostly coming from bank loans , and you practically not raised any NCD s or in fact, N CDs have gone down . Is there any specific reason for it ?

Bindu A L: So, in the case of standalone entity , we did an NCD transaction . And as you know, mutual funds market , of course , there will be or the NCD investment will be less due to this last quarter ED issue etc. But again , we are getting a response . So, we are working on few transactions .

Nischint Chawathe: And just coming back to the cost of funds , the cost of funds increased significantly in the subsidiary because of any specific detail ?

Manappuram Finance Limited

August 10, 2023

Page 10 of 19

Bindu A L: So, few of the banks the reset happened during the quarter . So, that is the reason for increase and nowadays for a two-year term loan etc., it is coming around the 10 % range . So, that is the reason it has gone up .

Nischint Chawathe: Have you seen any adverse reactions within bankers or debt markets or after the news that came out?

Bindu A L: So, we are getting liquidity , but there will be some additional query or those things are happening, but so far we have enough liquidity to grow the business .

Nischint Chawathe: And finally , I think on the competitive side on gold loans , do you really , you know, believe that the worst is over ? Or would you still see there are other pockets of competition ?

V. P. Nandakumar: Yes, gold loan we are able to grow . And as I said , we are expecting a growth of 10% to 12 % through new customer acquisition . Not only through new customer acquisition , but also the higher amount of loans for our customers . Our ticket size is slowly going up compared to previous years .

Nischint Chawathe: But the competitive intensity from bank has reduced or would you kind of say it's stable ?

V. P. Nandakumar: So, you are asking about competition?

Nischint Chawathe: Yes. That's right. In gold loans, yes.

V. P. Nandakumar: See, the bank customers and the NBFC customers are different profiles. NBFC customers want a quick turnaround and they foreclose and come again 80% repeat customers, etc. So, the bank's competition, we may not lose our customers. There is enough headroom for banks and non - banks because the space is very large .

Moderator: Thank you. The next question is from the line of Shreepal Doshi from Equirus . Please go ahead.

Shreepal Doshi: Sir, just on the cost of fund side , wanted to understand what is the incremental cost of borrowing for the standalone business and for the MFI business ?

Management: Standalone , it will be on around we are expecting turnover in the range of 850 to 875 wherever this in terms of Asirvad incremental , we are expecting in the range of 9.75 to 10.

Shreepal Doshi: And have we seen any increase in the last say , on a sequential basis , on a quarter -on-quarter basis ?

Management: Yes. As he told in the earlier also, yes, you know, kind of last quarter cost of fund has gone up . So, similarly also , we are expecting the coming quarter .

Manappuram Finance Limited

August 10, 2023

Page

11 of 19

Shreepal Doshi: Just while this number was said earlier in the call , wanted to understand the split of the gold loan book in terms of ticket size , so which is below 50,000, 50,000 to 100,000, above 100,000 and about 300,000 ticket size.

Management: Upto 50,000, 26%. 50,000 to 1 lakh, 17%. Total 43. And above 1 lakh, 57%. Above 2 lakh we will come back to you .

Shreepal Doshi: And what is the update for the capital raise plans that we had indicated for the MFI business ?

V. P. Nandakumar: So, we are exploring many ways because we may need to have to raise capital . So, yes, we are not finalized . So, various options are being considered .

Shreepal Doshi: So, will it only be limited to capital raise or we might look at other options as well ?

V. P. Nandakumar: Like?

Shreepal Doshi: Like, I mean, selling the business or something like that ?

V. P. Nandakumar: No, no. So, we don't want to sell our stake. Yes, so we will not be a seller at all. So, for the growth capital , we may raise money from outside .

Moderator: Thank you. The next question is from Aalok from MNCL . Please go ahead.

Aalok: I was just trying to understand , you know, how do you look at the improvement in the yields on the gold loan portfolio front ? I am sorry . I missed the initial conversation , but we have seen meaningful improvement in the yields there . How do we look at those numbers incrementally ?

V. P. Nandakumar: So, we hope the yield will remain at a range of 21 % to 22 % . So, we are able to get this effective growth of 10% to 12%.

Aalok: So, you are saying that to the 10 %, 12% customer and AUM growth addition , we are not seeing any kind of pressure on the yield front ?

V. P. Nandakumar: Yes. We hope we will be able to maintain this yield.

Aalok: And some light on the yields for the MFI portfolio ?

V. P. Nandakumar: MFI portfolio , the yield is around 25%.

Aalok: Sir, is there too much to risk in that? When I look at your gold loan AUM and the gold tonnage , you know, it's kind of been kind of not going in the same thing . So, I am kind of trying to read too much into it or the tonnage contents will also improve as the new client get additions go through ?

Manappuram Finance Limited

August 10, 2023

Page 12 of 19

V. P. Nandakumar: No, see, when someone talked about competition from banks , what I hold is the banks ' customers , their profile is different . They generally avail a very large ticket size loans , and they can wait for more time in the office for availing the loan, whereas our customers always look at the turn around time of around 10 to 15 minutes . They are mostly wage earners, self-employed people etc ., etc. So, these customers are not going to pawn brokers were going to pawn brokers , and that segment is very large even though it is not estimated .

It is a general assessment that the size would be at least 3x of the organic sector . So, you know, without presence etc., we will be able to be in a way of those customers . That is what we have been doing and there was some sluggishness because of this pandemic etc ., etc. Now things are slowly coming back and with the growth protection, the economy etc., etc., we hope to maintain the growth at the level what I have told you .

Moderator: Thank you. The next question is from the line of Kushan Parikh from Morgan Stanley . Please go ahead.

Kushan Parikh: I had a couple of questions . So, the first question is around Asirvad MFI. So, I mean, we have had a good Y-o-Y, 40% plus Y-o-Y growth in the AUM in Asirvad, but Q-on-Q it was still flat.

So, what is the growth guidance that we are looking at for the MFI business going forward ? And also, I mean, we had a little bit of a Q-on-Q uptick in yield. So, we said that yields are currently around 25 % . So, do we expect these yields in the Asirvad MFI business to sustain going forward

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s well ? And if I could just ask one clarification question ? The write-offs that we had in Asirvad business , could you just repeat that number ?

V. P. Nandakumar: So, AUM growth expected is around 30%, 35% during the current year . So, there was some sluggishness because we had some concerns about the funding availability . So, we thought even though that has not happened , we actually resolved some cash liquidity with us . That is why it was locked down to some extent , but in the coming quarters we will be able to cover it .

The second part of the question is the yield , yes, this segment is not much concerned about the yield . The concern is the availability of service , how fast we can disburse the loan, etc. So, these issues are addressed with technology etc., which is on the improve also . So, the concerns about , we are able to achieve growth of around 30%, 35% with the yield of 25 % . This is what we believe .

Bindu A L: Write-offs during the quarter was Rs. 57 crore .

Kushan Parikh: If I can just squeeze in a couple of more bookkeeping questions ? What was the gold loan ticket size for this quarter , average ticket size, and the average tenure ?

Management: Average you can say 58,000 and the tenure, it is nearly 90 days only. That is still continuing , average tenure.

Manappuram Finance Limited

August 10, 2023

Page 13 of 19

Kushan Parikh: Sir, just trying to understand . I mean, would our growth have been benefited from this slightly longer tenure in gold loan?

V. P. Nandakumar: The average tenure remains around 90 to 100 days . There is no change in the tenure .

Moderator: Thank you. The next question is from the line of Jigar Jani from B&K Securities . Please go ahead.

Jigar Jani: So, on the non -gold businesses , we have seen a spike Q -on-Q in GNPA for almost all non -gold businesses , the vehicle finance , personal loans, MSME or housing finance . So, any guidance on where you see these numbers settling for each of these businesses ? Because these are like high growth businesses for us, the asset quality also seems to be deteriorating marginally on a Q-on-Q basis. So, any color on that ?

Bindu A L: So, in this portfolio, there is a marginal increase only and you see March, there will be some extra effort to do that. It is only because of that only . It's a marginal increase only . We are not seeing any asset quality issues . It is a marginal increase during the quarter.

Jigar Jani: So, going forward , can we expect this to be range bound or probably decline in across this quarter ?

Bindu A L: So, here and there it maybe 10, 20 basis points up and down. That is our expectation.

V. P. Nandakumar: From an average, it will be maintained and also we are making efforts to bring it down .

Jigar Jani: And the growth rates for these businesses would be sustainable at this 30 % to 50 % on an average because of their low bas es at which they are at , right ?

V. P. Nandakumar: See, we have a large customer base and we have not expanded to the base where we do gold loan. We are slowly expanding and in these sectors , the base is low . So, we hope we will be able to maintain around 35 % to 40 % growth annually .

Moderator: Thank you. We have a follow -up question from Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Sir, this question is for Rajesh sir. I wanted to understand that during the call , you highlighted that the gold loan average tenure is remaining between those 90 to 100 days . Well , I mean, don't you think that given that earlier when we used to follow this three -month gold loans, we were always on that constant treadmill where loans either had to be renewed or ruled out , and I think sometime in the last earnings call, you were highlighting that the yield compression happened because we moved to six month gold loan ten ure. Are you als

o evaluating 12 -month gold loans,

right ? Because once we do that , I mean, loans will tend to stick around longer on your balance sheet rather than you having to spend so much time and energy on trying to renew or rollover those gold loans.

Manappuram Finance Limited

August 10, 2023

Page 14 of 19

V. P. Nandakumar: See, tenure is not the reason for the average life . See, what we see from for the times in memorial is around 25 % of the loans are closed during the first month of pledge itself , and another 20% loans closed in the preceding month , another 40% during the three months , but it is the culture being followed by these customers for a very long time . It is not because of the shorter tenure .

Even when the tenure was three months , you know, the auction takes place within six months only. So, it is not because of that . Even when we increase the life of the loan tenure to six months also, it remains like that . It is not because the tenure is shorter or longer . It is the nature of our customers because they are for this agriculture, for farming or for small businesses etc. They are conscious about redeeming the ornaments . So, as and when they get the money , they redeem , and then again come back . 80% of our customers are repeat customers . So, that is nature .

Abhijit Tibrewal: And sir, one last question from my side . I just wanted to understand how are we kind of now defining these online gold loan (OGLs)? Very clearly , if I look at the last four quarters , I mean, over the last year , right , the proportion of online gold loans that you report has moved up from 46% to 55 % . If I look at the ticket sizes that you report in OGL, while ticket sizes at the overall level has gone up by about 4% Y-o-Y, it has gone up by 12 % in OGL. So, how are we defining OGLs now? And essentially , why are we see ing such a sharp increas e in ticket sizes ? This is the blended ticket sizes .

V. P. Nandakumar: See, the ticket size , there is no much difference . See, the online gold loan actually increases the comfort level . They can operate from anywhere 24 hours . Other than that , there is no difference .

Bindu A L: But we are seeing a slightly higher ticket size for online gold loans since the beginning.

Management: There is a change in between also. Same thing only, but now the customer convenience is there. More and more online Google Pay, Paytm, everything we have a tie-up and the features we added in our app also. You can see that app rating also daily increasing. So, that's why more convenience we see the customers started using more and more on a daily basis.

Abhijit Tibrewal: So, sir, anything where the disbursement happens online is classified as an online gold loan?

V. P. Nandakumar: Yes. Online, into the ir account. There is an app, etc., and they can operate from anywhere inward and outward.

Moderator: Thank you. The next question is from the line of Manan Agrawal from Value Capital Partners. Please go ahead.

Manan Agrawal: I have two, three questions. So, first question is why is Asirvad Micro Finance's loan book flat Q-on-Q? Given the growth guidance that we have for the full year of 20% growth on the consolidated loan book, we see that in Q1, the Asirvad Micro Finance loan book is flat Q-on-Q, and what kind of sequential Q-on-Q growth do you look at internally while setting the target to deliver a Y-o-Y growth of 20% plus? That's question number one.

Manappuram Finance Limited

August 10, 2023

Page 15 of 19

Question number two is, when are we coming up with the IPO for Asirvad Micro Finance business? That's question number two.

And question number three is with regards to this show cause notice issued by RBI. So, what is, briefly, if you could explain, what is that? And what kind of reply have we given to RBI?

Because I couldn't see that reply in the exchange

filings.

And question number four is with regards to the ongoing ED investigation. So, if you could tell us where at what stage is it right now? So, those would be the four questions.

V. P. Nandakumar: So, Asirvad growth, the last quarter, we served some liquidity for some time anticipating some liquidity problem which has not actually happened. So, around 1.5 months we slowed down on disbursements. That is the reason why, but we are making it up in the coming quarters, and our expected growth of around 25%, 30% we will be able to achieve as far as Asirvad is concerned. The second is, yes, the ED investigation as intimated earlier, the FIR has been quashed. So, the predicate crime is gone. So, when the predicate crime is gone, as per the rules, as per the law, the secondary investigation that is ECA are also should go. There are several pronouncements by the Apex Court. So, we are in the process of getting the second part also quashed, which may happen within 10 days. That is what we believe. So, as the FIR is quashed, the major issue is gone. The other one is only a procedure.

Regarding the show cause notice, Bindu, yes.

Bindu A L: So, this show cause is on account of the pending option surplus. So, we reply to them giving the additional measures which we have taken to reduce this. Sometime back it was almost 53 crore, and now we reached around 37 crore now. So, we will continue our effort, and we are using technology also to identify these customers. Out of this 37 crore, a large chunk of the amount relating to the period before 2018. So, there are some practical difficulties to find out and the average amount also very less only. So, in all cases, we will send the registered check to the customers, but in many cases, if it is a small amount, these customers are not encashing the checks. So, we are following up with these customers to encash the check. So, a lot of effort is going on. So, we believe that we should be able to reduce this. That is how we replied to RBI.

Manan Agrawal: And when are we coming up with the IPO for Asirvad Micro Finance?

V. P. Nandakumar: So, Asirvad definitely need capital for growth. From the promoter side, we don't want to sell any stake. So, we will retain our stake. At the same time for growth capital, we need to raise money. We have not finally decided whether to go for an IPO or raise money from a private equity side etc., etc. So, discussions are going on, but yes, no decision has been taken by the Board.

Manan Agrawal: And if I could squeeze in one more question, please? So, looking at the future, we have set the target loan book at 50-50, so basically increasing the non-gold portion. So, if I look at the future,

Manappuram Finance Limited

August 10, 2023

Page 16 of 19

the loan growth, whatever that will happen, so would we be increasing our yields in line with the increase in cost of borrowing that will happen in the future? So, would it be fair to assume that the net interest income growth rate would exceed the loan book growth rate, whatever you will deliver in the future?

V. P. Nandakumar: See, the gold loan, we have the ROA and the other businesses also are improving their ROA because the growth is happening. The per employee business is increasing. So, on average, we are hopeful of maintaining an ROA of nearly 5%.

Manan Agrawal: Of the net interest income growth, would that exceed the loan book growth?

V. P. Nandakumar: Net interest, yes.

Bindu A L: It's in line with the growth only.

V. P. Nandakumar: Yes, with growth only.

Moderator: Thank you. The next question is from the line of Pranay Khandelwal from Alpha Invesco . Please go ahead.

Pranay Khandelwal: I wanted to ask about your opinions about this new initiatives that the government is taking with regards to open credit enabl

eness , I mean, enablement network , and how may that affect our business going forward ?

V. P. Nandakumar: So, we have to analyze that , but see , what I can say is , see, we are doing business at the bottom of the pyramid . So, in this area , there will not be any negative impact . The technology etc., etc., financial inclusion , we are on the inclusion side . It's possible and the rural India is also growing . So, I think with the newer technology solutions etc., we are going to be benefited .

Pranay Khandelwal: So, we do not see this as a threat for the next 5, 10 years or anything like that.

V. P. Nandakumar: Yes.

Pranay Khandelwal: And I also wanted to ask about any updates on the approval of branch expansion by R BI?

V. P. Nandakumar: So, see, at a consolidated level , we have added around 520 gold loan branches . So, that takes care of our expansion needs . To your specific question of getting branch expansion in Manappuram Finance, yes, we are yet to get . But at the consolidated level, we are able to .

Pranay Khandelwal: Hasn't it been a very long time since we have gone to offering? I think we applied for it in 2020 or '21.

V. P. Nandakumar: See, the challenge here is the surplus in gold loan, yes. So, we have done a few things to ensure that the surplus is not increased . So, the surplus has gone to a level of 52 crores . Now it has come Manappuram Finance Limited

August 10, 2023

Page 17 of 19

to 36 crores. So, progress is being made , and the RB I is being informed about that . And I hope that will take care of the RB I requirement .

Moderator: Thank you. The next question is from the line of Nikhil Agarwal from VT Capital . Please go ahead.

Nikhil Agarwal: One question on cost of borrowing . One follow -up there . There is one confusion . So, 20 bps increase came from gold loan standalone work and around if I am not wrong, 60 to 70 , 50 bps, around 50 bps came from M FI book and blended cost of borrowing increased by 62 bps. So, you said that 20 bps is expected again in the standalone business this quarter . Could you give the same expectation for MFI as well ? Because since the reset calls 50 bps, will it again happen in this quarter ? And also, just relating to this question , if yields are maintained at 21 % to 22 % , and an incremental borrowing is 20 bps higher , am I wrong when I say that we will not be able to maintain such margins or it will dip a bit in the coming quarter ?

V. P. Nandakuma r: See, the coming quarters, now the increase in the CRR etc., etc., so all will depend on the government's policy . But what I can say is the sectors we are in , the small ticket gold loans that is around 50 ,000, Micro Finance or a small ticket vehicle finance which are mostly used cars or MSME where the average ticket size is around 60 ,000-odd. Passing on this 20 bps or 30 bps may not be difficult . So, what I say is the other one all depends on the external conditions , but internally we are hope ful of maintaining the NIM.

Nikhil Agarwal: And the increase in cost of borrowing from MFI book, what do we expect? Do we expect the same 50 bps increase this quarter or is it lesser ?

V. P. Nandakumar: No, because see, this quarter , it may remain at this level . There are reasons also . It is a PSL and the banks are vying with each other to grab this PSL . So, there is no reason why it should go up.

Nikhil Agarwal: And the reset entirely we have seen. Are we see ing the entire reset in borrowing in this book ?

V. P. Nandakumar: See, these are by way of direct assignment etc. So, there is a good demand , this is a half year. So, the demand for this PSL will be more .

Nikhil Agarwal: So, just on the cost of fund side, this will remain at the same level and overall book , even if there is a 20 to 30 basis increase, the p ass on will be easier given o ur target segments . Am I correct when I su

mmarize it ?

V. P. Nandakumar: Yes, see, this is not predictable because it all depends on the government's policies , inflation , etc., etc. Today also, you have seen the increase in the CR R etc. But what I said is , what is most important for us is to maintain profitability . That would be maintained .

Nikhil Agarwal: Another question about the cash credit that you mentioned . So, some while back when someone asked about the impact of such ED and everything , if it's over and if you are getting bank lends and other sanctions , so there was a liquidity crunch because of which this qu arter the MFI growth Manappuram Finance Limited

August 10, 2023

quarter-on-quarter was not very great, and going forward we are seeing sanctions coming from banks now that everything is over. Is that correct? Or can we see any other cash crunch?

V. P. Nandakumar: No, you will have new clarity. See, regarding ED case, the predicate crime is gone. FIR is quashed by the police. Police have referred the case. So, automatically the ED investigation will go. It has gone, and we got a full stay also. In the meantime, the quashing efforts are going on. We hope that the quashing will happen in another fortnight. Yes, it is coming to almost a close, but with the FIR closing and all, the bank funding has considerably improved.

Yes, last quarter Asirvad didn't face because of the, for want of sanctions, but we reserved some liquidity, anticipating some liquidity crunch. Actually, this has not happened. So, now it had happened in the full swing or other businesses in the standalone, these were not affected because of that. Yes, only in Asirvad this has been done as a precaution and not anything else. Now we are able to get enough sanctions from the banking system. So, liquidity would not be a concern going forward.

Nikhil Agarwal: And just one last thing. Just one clarification. Some while back you mentioned that the surplus was 52 crores. It has come down to 36 crores. What was that about, if you could just clarify it for me?

Bindu A L: So, auction surplus in the case of the delinquent customers for gold loan, we will recover the money through auction, and we will adjust the receivable. Balance we will be reimbursing to the customer. Within 15 to 20 days, we have to pay back to the borrowers. So, this 36 crore is the accumulated amount over 14 years. The surplus generated may be over this 14 years, it may be some 300 crores, out of which 36 crore is pending. The average amount is very small, and there may be customers migrating and they may not be encashing the check. So, this is the reason for the unpaid amount of Rs. 36 crore.

V. P. Nandakumar: This has been accumulated for years together, not in recent years. This is all in the extra account.

Nikhil Agarwal: And will we be able to increase our tonnage from here? What is the view there?

V. P. Nandakumar: See, when the gold price goes up, the tonnage comes down because the people will get money with their reduced quantity, but when the gold price goes down, the tonnage goes up. This is usual.

Moderator: Thank you. The next question is from the line of Dhaval Gada from DSP Mutual Fund. Please go ahead.

Dhaval Gada: Sir, couple of questions. The first is relating to OPEX growth both in the standalone entity and in Asirvad. What is your expectation in the current year on OPEX growth? And the second question is relating to what quantum of tonnage was released in the current quarter? And if you have, you know, some sort of ballpark number for same time last year?

Manappuram Finance Limited

August 10, 2023

V. P. Nandakumar: See, the OPEX is slightly at a higher level because of the slight increase in the credit cost. But going forward, it will come down. The business is stabilizing. So, it will

come down. Regarding the tonnage...

Bindu A L: What is the question? Release of tonnage?

V. P. Nandakumar: Tonnage.

Management: Amount we already told. That is the transactions were happening in the

Dhaval Gada: It is more looking at the tonnage, like how much volume has gone basically in the current quarter and same time last year 1Q '23? Just to get a reference how much is the delta change.

Management: We will come back to you soon.

V. P. Nandakumar: Yes, tonnage movement, right?

Dhaval Gada: And sir, on the first question of OPEX growth, so the full year...

V. P. Nandakumar: It will come down. It will come down going forward.

V. P. Nandakumar: As a percentage of AUM, it should come down.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question. I now hand over to the management for closing comments.

V. P. Nandakumar: So, thank you for the good participation. We hope that we have answered the queries to the satisfaction of all. And we definitely are available for offline and online meetings. Thank you so much.

Bindu A L: Thank you.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2023

Ref: Sec/SE/ 253/2023-24
November 17,2023

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip Code: 531213 National Stock Exchange of India
Limited
5th Floor, Exchange Plaza
Bandra (East)
Mumbai – 400 051
Scrip Code: MANAPPURAM

Dear Madam/Sir

Sub: Concall Transcript of the Q 2 Results Conference Call held on November 13,2023

With reference to the above, kindly note that the transcript of Q 2 results Conference Call held on November 13,2023 has been uploaded on the website of the Company in the below Link .

[https://www.manappuram.com/public/uploads/editor-images/files/MOFSL - Manappuram -13Nov -2023.pdf](https://www.manappuram.com/public/uploads/editor-images/files/MOFSL-Manappuram-13Nov-2023.pdf)

We request you to take the same on record.
Thanking You.

For Manappuram Finance Limited

Manoj Kumar V R
Company Secretary
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Page 1 of 15

"Manappuram Finance Limited
Q2 FY'2 4 Earnings Conference Call "
November 13, 202 3

MANAGEMENT : MR. VP NANDAKUMAR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – MANAPPURAM FINANCE
LIMITED
DR. SUMIT HA NANDAN – EXECUTIVE DIRECTOR –
MANAPPURAM FINANCE LIMITED
MS. BINDU A.L. – CHIEF FINANCIAL OFFICER –
MANAPPURAM FINANCE LIMITED
MR. RAVEE NDRA BABU – MANAGING DIRECTOR ,
ASIRVAD MICROFINANCE
MR. RAJESH NAMBOODIRIPAD – CHIEF FINANCIAL
OFFICER – ASIRVAD MICROFINANCE
MR. BASAVARAJ SHETTY – SENIOR VICE PRESIDENT
AND HEAD IR, ASIRVAD MICROFINANCE
MR. KAMAL PARMAR – HEAD, VEHICLE AND
EQUIPMENT FINANCE – MANAPPURAM FINANCE
LIMITED
MR. SUVEEN P.S. – CHIEF EXECUTIVE OFFICER –
MANNAPURAM HOME FINANCE
MR. ROBIN KARUVEL Y – CHIEF FINANCIAL OFFICER –
MANNAPURAM HOME FINANCE

MODERATOR : MR. ABHIJIT TIBREWAL – MOTILAL OSWAL
FINANCIAL SERVICES LIMITED

Manappuram Finance Limited
November 13, 2023

Page 2 of 15

Moderator: Ladies and gentlemen, good day and welcome to the Mannapuram Finance Q2 FY24 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Abhijit Tibrewal from Motilal Oswal Financial Services Limited. Thank you and over to you, sir.

Abhijit Tibrewal: Thank you, Sagar. Good evening, everyone. Welcome to the earnings call of Mannapuram Finance. We have with us today the senior management of Mana ppuram Finance, represented by Mr. V.P. Nandakumar, MD and CEO, Dr. Sumitha Nandan, Executive Director, Ms. Bindu A.L., CFO, Mr. D.N. Rav eendra Babu, MD, Asi rvad, Mr. Rajesh Namboodiripad , CFO, Mr. Kamal Parmar, Head, Vehicle and Equipment Finance, Mr. Suveen P.S., CEO, Mannapuram Home Finance, Mr. Robin Karuvel y, CFO, Mannapuram Home Finance, and Mr. Basavaraj Shetty, Senior VP and Head IR, Asirvad.

I now hand over the mic to Mr. Nandakumar and other members of the senior man agement for their opening remarks, post which we can open the floor for an attractive Q&A. Thank you and over to you, sir.

VP. Nandakumar: Thank you. Good evening, ladies, and gentlemen. Welcome to the conference call for the second quarter of F Y24 financial.

It gives me immense pleasure in presenting our results when India is continuing the growth momentum despite the global uncertainty and geopolitical tensions. While IMF has downgraded global GDP growth by a notch in its latest outlook, India's g rowth has been revised upwards. In this backdrop of an optimistic environment, I present before you our Q2 F Y24 financial.

A balanced and prudent growth strategy, which I have been reiterating for many quarters, is now going on in full swing. In this quar ter, we have achieved good growth in both A UM and profitability with a consolidated bas is. I am happy to share that we have recorded a net profit of INR 561 crores with an improvement of 37% year -on-year, driven by profitability in gold loans and microfina nce business. Gold loan A UM was INR 20,809 crores , an improvement of 8.4% over the year -ago quarter and 1% sequentially. We have maintained the pricing discipline in a very competitive environment and improved upon the profitability. We are committed to maintain the momentum on the gold loan business.

While the standalone AUM of the entity at INR 26,696 crores grew by 20.2% year -on-year, the consolidated A UM has reached INR 38,950 crores , representing an increase of 27% over the year-ago quarter.

Asset quality in the standalone book is comparable at an NPA of 1.56%. The c ompan y's microfinance subsidiar y, Asirvad, has posted an A UM of INR 10,950 crores , recording a growth of 43% year -on-year and a profit of INR 118 crores , which is up by 109% year -on-year. Both in the gold loan sector as well as microfinance , unmet credit needs are huge and therefore there is enough headroom to co -exist for all players, whether it be banks, NBFCs or fintechs . Continuing
Manappuram Finance Limited
November 13, 2023

Page 3 of 15

with the trend in the previous quarter, we have posted a maximum growth in the vehicle finance business, recording a 66.7% increase year -on-year with an A UM of INR 3,143 crores , followed by home loans with an A UM of INR 1,305 crores , resulting in a 41.6% increase over the corresponding quarter in FY23.

For the vehicle finance business, we are increasing the penetration in rural and semi -urban locations apart from using digital lending platforms and automated approv

al processes. MSMEs

and personal loan segments are another area where we want to increase our presence by increasing the number of branches and as of now we are making a steady process.

As mentioned earlier, the strategy of diversifying into other sectors is gaining pace. The share of non -gold verticals in our total asset -under -management now stands at 47% and is in line with the objective of achieving a 50 -50 portfolio mix between gold and non -gold segments. Given the strong growth in A UM and excellent earnings, the board is happy to announce an increase

in dividends and raising payouts to INR 0.85 during this quarter. We are confident of achieving both top-line and bottom-line growth as we continue to maintain a comfortable liquidity position by keeping the cost of funds reasonable.

For a more comprehensive review of our financial performance, I hand the block to our CFO, Bindu A.L.

Bindu A.L.: Thank you, sir. Good evening, ladies, and gentlemen, and thank you all for joining us. As you are aware of, Asirvad Microfinance filed DRHP on October 5, 2023.

We are not in a position to give more numbers for Asirvad except those which are in the public domain. We request our participants to restrict their questions on Asirvad to published numbers.

Coming to the operational overview, our consolidated AUM was INR 38,950 crores, representing 5.1% sequential growth and 27% Y-o-Y growth. Consolidated profit after tax was INR 561 crores, which was up by 12.6% Q-on-Q and 37% increase Y-o-Y. ROE on a consolidated basis was 21.6% and ROA was 5.3%. Our leverage is currently at 3 times. Cash and cash equivalents on a consolidated basis was INR 4,871 crores.

Undrawn bank loan was INR 4,253 crores. Our CP exposure is 2.9% in the standalone entity. Standalone cost of borrowing has gone up by 21 basis points during the quarter. The Gold Loan business constitutes 53% of the consolidated AUM, whereas the remaining 47% comprises microfinance, vehicle finance, housing and MSME finance. Gold Loan AUM at INR 20,809 crores shows an increase of Q-on-Q 1% and up by 8.4% Y-o-Y. And the number of live customers stood at 24.63 lakhs. During the quarter, we were able to add 4.03 lakh new customers. Our average LTV is 66%. Online book accounts for 56% of the total Gold Loan book.

Our standalone PAT was INR 420 crores, up by 10.2% sequentially and up by 20.4% Y-o-Y. Our standalone PAT for the half year was INR 801 crores, up by 25.4% Y-o-Y. Coming to the microfinance business, Asirvad Microfinance AUM stands at INR 10,950 crores, including Gold Loan AUM of INR 815 crores, up by 8 percent Q-on-Q and up by 43 percent Y-o-Y. PAT for the MFI business increased to INR 118 crores in Q2 FY24 versus INR 111 crores in Q1 FY24. For the half year, the profit increased to INR 230 crores versus INR 48 crores last year.

Manappuram Finance Limited
November 13, 2023

Page 4 of 15

NPA stands at 1.44 percentage and the CRAR at 24.47 percentage. In vehicle finance, we have reported an AUM of INR 3,143 crores, which is up by 13 percentage Q-on-Q and up by 66.6 percentage Y-o-Y. ROA for the business is around 1.5 percentage for this quarter. Collection efficiency is 100 percentage. GNPA reduced to 2.5 percentage. Home loan business has a book of INR 1,305 crores with Q-on-Q growth of 8.5 percentage and 41 percentage Y-o-Y growth. This business operates from 65 branches and reported a profit of INR 4.5 crores. ROA is at 1.4 percentage, collection efficiency is 96 percentage and GNPA 1.75 percentage. Loan to MSME and allied businesses reached INR 2,639 crores. For this business, ROA is 2.2 percentage, Collection efficiency 96 percentage and GNPA 1.9 percentage. When it comes to lending to NBFCs, AUM stands at INR 920 crores while ROA is around 5 percentage during the quarter. Provisional and write-offs for the standalone entity during the quarter stood at INR 31 crores compared

to INR 21 crores in the previous quarter.

Our capital position is strong and the company has a capital adequacy ratio of 30.7 percentage. The consolidated net worth stands at INR 10,572 crores and the book value is at INR 124.90.

Thank you. Now we can go for the Q&A session.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Hi, thanks for taking my question and congrats on the strong numbers. Just a few questions. Firstly, we did an assignment this quarter. What exactly was it? Like we assigned gold loan for vehicle or other loans?

Bindu A.L.: We did an assignment for MSME and vehicle finance books to banks.

Piran Engineer: And what percentage of the book did we sell down? Like what is the quantum of sell down?

Bindu A.L.: We did in the earlier quarter also. Put together it is around INR 700 crores. It is a normal standard book which is also a line of liquidity.

Piran Engineer: Okay, but why are we doing this when our Tier 1 is at 30%?

Bindu A.L.: We have to maintain the relationship with the banks. Sometimes this will help them to meet their PSL requirements also. It is not very big. Sometimes we have to do that. We have to open different line of sourcing. In gold loan, to some extent, assignment is not possible. But as we are into non-gold businesses, we are opening up these lines also.

Piran Engineer: Got it. Okay, that makes sense. Secondly, I noticed in the standalone and consolidated statements, employee expense has gone down but the other expenses have gone up a lot. So have we moved some employees to off-role or something like that?

Bindu A.L.: No. The reduction in the employee cost on account of it depends on the growth of asset quality.

So sometimes we will give more weightage to asset quality like that. So to some extent it is on account of reduction in incentives. Otherwise the number of employees we are adding based on the employee productivity. Admin expenses, we had to add the communication lines more to the branch etcetera. Those were the reasons.

Manappuram Finance Limited

November 13, 2023

Page 5 of 15

Piran Engineer: Got it. And lastly, you can give some broad comments on the gold loan space in terms of competitiveness of the environment. Because we have seen you all are able to pass on 50 bps of yield like this quarter. Muthoot, on the other hand, had to shed yields by about 40 -50 bps. So just overall how is the environment in terms of competitive scenario both on growth and pricing, that would be helpful.

VP. Nandakumar: As I mentioned in my opening remarks, we want to maintain the price discipline at around 22% plus. And we believe that the market also will gradually realize that. Peers also will gradually realize the need because the funding cost is going up and the trend is not reversed now. So that's our policy. And we expect the coming quarters to remain good as far as gold loan is concerned. That's the usual scenario.

Piran Engineer: Are banks being as aggressive as they used to be or less aggressive? Have you seen that competition taper down?

VP. Nandakumar: So, yes, when their credit growth goes up and their credit deposit growth, if they are comfortable. Naturally, their preference for small -ticket loans will come down. And that is happening now.

Moderator: Thank you so much. The next question is from the line of Shubranshu Mishra from PhilipCapital. Please go ahead.

Shubranshu Mishra: Hi, sir. Thank you for the opportunity. Just some data -keeping questions. If you can spell out what was the percentage of AUM less than three months up to now as a percentage of the book?

And if we can split the book into less than 1 lakh, 1 lakh to 3 lakh and above. And what was the auction number this quarter? And if we can get the weighted average LTV in rupees. Thanks.

Management: The auction is INR15 crores this quarter. On the LTV percentage, it's 66 percentage on INR5300.

Shubranshu Mishra: Say that again, 5300.

Management: Gold price 66% average LTV.

Shubranshu Mishra: In rupees, sir. What was that?

Management: We'll come back. On the portfolio prices, we have up to 1,00,000; 44 percentage. 1 to 5 lakh, 41 percentage and balance above 5 lakh, 15 percentage.

Shubranshu Mishra: Okay. And what was this?

Management: INR3,512 in rupees term.

Shubranshu Mishra: Understood, sir. And sir, what has been the accrued interest in this quarter versus last quarter, sir?

Bindu A.L.: 3.7 percentage for the quarter. It was more or less similar in the last quarter.

Management: Same level.

Manappuram Finance Limited

November 13, 2023

Page 6 of 15

Shubranshu Mishra: Understood. And ma'am, if we can give out the split of the book last quarter as well, less than one lakh – less than 1 lakh, 1 to 5 lakh and 5 lakh and above.

Bindu A.L.: We'll send you separately.

Moderator: Thank you so much. The next question is from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: Hi, good evening and thank you. So my first question on the microfinance side, I mean, our expectation was the credit cost. We did some write-offs last quarter and credit cost was expected to come down, which we haven't seen. Is there anything to call out if we can highlight?

Bindu A.L.: See, microfinance, as we filed the DRHP, we can talk only the numbers in the public domain. So the quality in the book has improved. So we will come back with the detailed numbers when we are allowed to do that.

Moderator: Thank you so much. The next question is from the line of Rati J Pandit from Nirmal Bang Institution Equities. Please go ahead.

Rati J Pandit: Yes. Thanks for taking my question. My first question is with respect to your auction surplus, which you had mentioned in the first quarter, it was around INR36 crores. So has it reduced further? And if any update from RBI on the branch expansion with respect to gold loan branches? This is my first question.

And my second question is, what is your outlook on the gold loan business growth? I mean, if we look at, I mean, for FY24, I mean, in the past one or two months, we all have seen at a macro

level, I mean, if the geopolitical tensions, they extend a bit. So do you think that, there could be better chances for the growth on the core business? So these are my two questions.

VP. Nandakumar: The auction surplus, as you have said, which was around INR38 crores, has come down to around 30, nearly INR30 crores now, and it is coming down. But the RBI is looking forward for a couple of quarters whether we are able to bring it down, and we have demonstrated that we are able to do that. And we hope that the RBI will be very happy with that. And there won't be a problem getting permission for branches.

And regarding the gold loan opportunity, as I said, yes, we are maintaining the price discipline at around 22% plus. We have got growth of 8% Y-o-Y, and the coming quarters are generally good for gold loan, so we hope to take advantage of that.

Rati J Pandit: Okay. Auction surplus, I'm sorry, how much you said? You said it has come down.

VP. Nandakumar: We hope it will come down by around INR2 crores to INR3 crores every quarter. And it is in line with the plan we have shared with RBI.

Rati J Pandit: Okay, sir. That's it from my side.

Moderator: Thank you so much. The next question is from the line of Mona Khetan from Dolat Capital.

Please go ahead.

Manappuram Finance Limited

November 13, 2023

Page 7 of 15

Mona Khetan: Yes, hi, good evening. So firstly, on the MFI book, while we have seen 8% sequential growth, if I look at the revenue from operations on slide 21, it has declined Q-on-Q. So what explains that?

Bindu A.L.: If you see the DA income, it depends

ends on how much direct assignment transactions we have done during the quarter. If you compare Q1, we have done a larger amount of DA and our up trending of income was INR55 crores, which reduced to INR28 crores during the quarter. Other than that, the yield has gone up, interest income has gone up. Only the difference is on account of less DA transaction during the quarter.

Mona Khetan: Got it. Secondly, if you could just share again the breakup of loan book by ticket size up to INR1 lakh and between. I just missed that.

Management: Yes, up to INR1 lakh, 44%. INR1 lakh to INR5 lakh 41%. Above INR5 lakh 15%.

Mona Khetan: Got it. And just finally, though I understand the LGDs in the gold business are near nil, if I put together the auctioning and the rise in NPA, it seems that, and also the higher credit cost, it seems that you are seeing rise in NPAs in this business. Unlike, say, an MFI and stuff. So if you could highlight what you're seeing on the ground that is resulting in higher delinquencies in the business?

Bindu A.L.: So your question is on the credit cost of gold loan? You are right. LGDs are very less. And credit cost during the quarter, we had an option of only INR15 crores and we have not incurred any loss on account of that.

Mona Khetan: Right. What I wanted to understand is, if anything you can highlight on why the delinquencies are higher in this business. We've seen something like this for other NBFCs as well. So if you could just share what you're seeing on the ground, that will be helpful?

Bindu A.L.: As per contract, in gold loan, if the customer is not redeeming, we have the option to sell the gold and recover the money before becoming NPA. But sometimes, considering the request from customers, we may give some more time to the borrowers. As the underlying collateral and award receivable is secured based on the request from customers, we may give some more time to the customer. That is the only reason. Otherwise, for the NPA, before becoming NPA also, we can sell as per the contract.

Mona Khetan: Sure. Thank you. I'm done. Thank you.

Moderator: Thank you so much. The next question is from the line of Rajiv Mehta from YES Securities.

Please go ahead.

Rajiv Mehta: Yes. Hi. Congratulations on good numbers and thank you for giving me the opportunity. So my first question is on gold loan growth. So we are talking about pricing discipline and we have seen our yields also improving the last two quarters. So with this kind of pricing discipline, what kind of growth we can expect coming through?

Manappuram Finance Limited

November 13, 2023

Page 8 of 15

And for that kind of growth, what kind of actions are we taking on the ground in terms of more advertising, client outreach, old client reactivation? Can you just show more light? Because I can see that the new customer acquisition number has been pretty stable over the past two quarters. And, is there a plan to accelerate that number and stop the attrition?

VP. Nandakumar: So, on an average, we are acquiring around 5,000 new customers every day, which remains stable. And the Y-o-Y gold loan growth was around 8%. And we hope that it will be maintained, as I mentioned earlier, in the coming quarters. Some quarters, it may be slightly dull, but in the coming quarters, it may improve. So we are expecting the same momentum as far as growth is concerned.

Rajiv Mehta: And sir, when you say momentum, are we looking at annual growth of 7%, 8% every year?

VP. Nandakumar: Yes.

Rajiv Mehta: Okay. And this is without any gold price benefit?

VP. Nandakumar: Yes.

Rajiv Mehta: Okay.

VP. Nandakumar: Even when the gold price was down, to some extent, the portfolio has grown.

Rajiv Mehta: Okay. And on microfinance, ma'am, if you can tell us, what is the collection efficiency?

Bindu A.L.: Collections were similar to that of Q1, we can say. But as these numbers are to be certified in

future, we are not allowed to give out these numbers. So you can see from the profit number everywhere, we can see improvement.

Rajiv Mehta: Okay.

Bindu A.L.: So we have to wait for that.

Rajiv Mehta: Sure, sure. And just lastly, again on Asirvad, now since we have filed a DRHP for raising money and it will take some time and we are running slightly higher on leverage. How do we plan to manage growth in the interim? Do we slow down on growth or do we do more assignments in the current quarter?

Bindu A.L.: So Asirvad microfinance current year, at 24% and every quarter plough back is over INR100 crores profit. So this is sufficient to support growth for this year. This fundraising is more on account of the growth capital in the coming years.

Rajiv Mehta: Okay. So one should not expect any slowdown in momentum. Yes?

Bindu A.L.: Yes

Rajiv Mehta: Thank you so much for answering my questions.

Manappuram Finance Limited

November 13, 2023

Page 9 of 15

Moderator: Thank you. The next question is from the line of Ketan Athavale from Robo Capital. Please go ahead.

Ketan Athavale: Hello. Thank you for the opportunity. I wanted to know the consolidated loan book growth guidance and the credit cost guidance for FY'24 and the next two years?

VP. Nandakumar: Yes, yes. So whatever has been already spelt out, we remain by that.

Ketan Athavale: Okay. We are maintaining. Okay. Got it. Thank you.

Moderator: Thank you. The next question is from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: Yes. Hi. Thank you again. Sir, on the MFI side again, we were expecting a rundown in our credit cost. We did some write-offs last quarter and we expected that to come down. You can highlight what happened this quarter?

Bindu A.L.: Yes. So the portfolio quality, all those specific numbers, we when can't share since we have filed the DRHP.

Pratik Kothari: No Ma'am. I am just asking from what you have reported. So last quarter, we had said that we did some INR60 crores of write-off, which should continue going forward and your credit cost should come down. But provisioning again this quarter is about INR90 INR92 crores. So if you compare last quarter...?

Bindu A.L.: So if you compare last quarter?

Pratik Kothari: I'm asking for number, so qualitatively, what is not going right?

Bindu A.L.: So one element of P&L debit is on account of increase in AUM also. Because last quarter, the book was flat and standard assessed provision was not there in the earlier quarter. So this quarter, the growth was there. So if you compare between last quarter INR96 crores and this quarter INR91 crores, you have the difference. One is the increase in standard assessed provision, one on account of ARC provisioning and on the normal book, we are seeing improvement in asset quality.

Pratik Kothari: Okay. Fair enough. My second question is on gold loan. So in a quest to maintain this 21%, 22% yield, is it fair to assume that we have let go of growth because I mean, our peers, maybe they have let go of yielding to capture growth, but we seem to have done the reverse. I mean, we do say that the competition has come down, but this balance between growth and yield doesn't seem to play out together. Some comments there, if you can?

VP. Nandakumar: So our internal decision is, as an NBFC, we are serving a certain section of the community where the ticket size is relatively smaller, around INR50,000, and the duration is around three months. Where the offer is very high, and about the borrowing cost also, whatever uncertainty is there in

the market, yes, that is there. So we believe that as an NBFC, it will be always good to have that discipline of maintaining around 22%.

Manappuram Finance Limited

November 13, 2023

Page 10 of 15

And we maintain that, we expect growth of around 8% to 10% even with this, because in the coming quarter

s, from our target audience, the demand is expected to have some momentum.

We don't want to compete in the market and bring down the interest rates at a level which is not much affordable.

Pratik Kothari: Correct, fair enough. And this gain in direct assignment that we have booked up, about INR75 crores in H1 of this year, how much was it last year or say, first half of last year?

Bindu A.L: So, last year it was INR42 crores.

Pratik Kothari: In H1 or full year?

Bindu A.L: H1, full year. It is there in the reserves, net gain on deregulation of financial instruments, so half year ended 30, September 2022 was zero. Console in the first half was zero. Okay, so we will come back with the...

VP. Nandakumar: Yes. We will share with you.

Pratik Kothari: Sure, and my last question, in the last quarter we had highlighted that we didn't face any issue with funding per se, but there was some apprehension from borrowers, they were asking a few more questions with the ED issue. Now that has been solved, are we back to normal in terms of credit lines, in terms of our access to liquidity, cost of capital?

Bindu A.L: Yes, so we have included in the presentation also, we are having almost INR4,800 crores liquidity at the end of cash and cash equivalents at the end of the quarter around INR5,000 crores, INR4,871 crores exactly, and undrawn lines also.

Pratik Kothari: No, correct, my question was, I mean, there were some apprehensions which we were facing, so is that all resolved or?

Bindu A.L: Yes, completely resolved, we got the final order and even the lenders were aware this is a temporary issue, only because it is the court matter, it will take some time, so in our case, we were able to resolve everything in three months, four months' time and we are getting enough liquidity. In the pricing also, we have seen some reduction at the end of the quarter.

Pratik Kothari: Okay. Fair enough. Thank you and all the best.

Moderator: Thank you so much. The next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Yes, hi, thanks for allowing me a follow-up. Just two questions, one is on the cost of funds trajectory, what's our expectation both standalone and consolidated? And second thing, just wanted to know more about your secured PL product, like what is the security that you all take and why does that person not just take a gold loan instead of a secured PL because the rate is the same interest rate you are charging, that is 21%?

VP. Nandakumar: See, the cost of borrowing, we don't expect much increase as the CFO has said. Regarding the secured PL product, the security is a mortgage where the margin, we lend up to 60% of the

Manappuram Finance Limited

November 13, 2023

Page 11 of 15

valuation of the collateral. The gold loans are meant for short term for them, the average life is around 100 days or 90 days. Average ticket size is around INR50,000. So this is our range.

Primarily, these are seen as short-term loans because these are from the customers from the lower end of the pyramid, where this is very precious for them and they want to wear for family festivals, family celebrations, festivals, etc. Whereas this mortgage is for 10 years. So that's why the customers go for secured PL, even though they also avail gold loan.

Piran Engineer: Sir, but then why are we not doing it from the home loan subsidiary? There also we have a LAP product and what you said sounds very much like a LAP product. That is also INR5.5 lakh ticket size. So, parent and subsidiary both are doing the same business?

VP. Nandakumar: No, there is one reason. There are limitations for a home loan company. There are some limitations with regard to how much the LAP can be? Whereas here we have enough headroom.

Piran Engineer: Got it, got it. Okay, that answers my question. Thank you.

VP. Nandakumar: Portfolio is around INR2,500 crores now

over spectrum.

Piran Engineer: Got it. Okay, that is helpful. Thank you, sir.

Moderator: Thank you so much. The next question is from the line of Rajiv Mehta from YES Securities. Please go ahead.

Rajiv Mehta: Sir, just one follow-up on other income, sorry, on the fee income. So, when I look at the fee income, stand-alone as well as consolidated, some stand-alone books of fee income remain negligible. When the consolidated numbers of fee income goes up to INR31 crores and this number was again very marginal number in the previous quarter. So, this entire delta of fee income has come from Asirvad Microfinance. So, what is the fee income, fee, and commission income?

Bindu A.L.: Yes, so we are getting a referral fee, when we are able to sell the products to borrowers. So if they need some household equipment, we will be selling those products to borrowers.

Rajiv Mehta: And what are these kinds of products? Is this a recurring, ongoing arrangement? How should we look at this business income?

Bindu A.L.: Yes. It will be like pressure cooker, gas stove or solar, small lights, etc.

Rajiv Mehta: Okay. So, these are cross-sell. And the quantum that we got this quarter, was it pertaining to this quarter or was it a pent-up number? Because it is a sizable run rate in terms of our quarterly profitability. Can we expect this kind of income to happen every quarter or is there a seasonality? How should we look at this number?

Bindu A.L.: So, as you are aware, Q1 MFI disbursement was slow. So, we got some pent-up demand in Q2 and it will continue. It may not be like Q2 because Q1 disbursements were low. So, Q2 is not exactly comparable but this fee income will be there in the coming quarter too.

Rajiv Mehta: Got it ma'am. Thank you so much.

Manappuram Finance Limited
November 13, 2023

Page 12 of 15

Moderator: Thank you so much. The next question is from the line of Utsav, who is an individual investor. Please go ahead.

Utsav: Hello. Congratulations on the great numbers, sir. I just like to inquire on the growth we can see this quarter because we have the festive season and the marriage season also. So, what kind of growth can we expect this quarter?

VP. Nandakumar: Yes. We are expecting a similar growth.

Utsav: So, like around 8% in gold and non-gold and around 10%, 15%?

VP. Nandakumar: No, no. Y-o-Y growth is 8% in gold.

Utsav: More than 8%, right?

Management: Yes. Y-o-Y is 8%. Q-o-Q is around 1%.

Utsav: And non-gold business, what kind of growth can we see this coming quarter?

Management: We are expecting the same amount of growth.

Utsav: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Suraj Navandar from Sampada Investments. Please go ahead.

Suraj Navandar: Hi, sir. Good evening. I just wanted to understand, why we are doing gold loans in Asirvad Microfinance and not through our main holding company?

Management: See, MFI can do 25% of their balance sheets in lots other than MFI also. They have the option. And it is quite natural that we thought, we will do secure lending as the other 75% of the balance sheets are unsecured. So, among secured loans, we have the preference. And we sought RBI permission whether we can do gold loans. And these branches are in such a geography that there is no competition between the parent and the subsidiary. So, that's the reason.

Suraj Navandar: Okay. In which geography Asirvad is strong where Manappuram is not present for the gold loans?

Management: See, in a country like India where one-sixth of the world population are living and the middle-income growth is growing and even the bottom line, they are also growing. There is an opportunity to have so many branches. So, there are many unserved places in India. And Asirvad is taking that as an opportunity to do gold loans. And as I mentioned, 25% of the balance sheet has loan of secured nature.

re.

Suraj Navandar: So, you are saying that conflict of interest will not come even if Asirvad is listed separately in future?

Management: Yes. There is plenty of opportunity.

Manappuram Finance Limited
November 13, 2023

Page 13 of 15

Suraj Navandar: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Shubhranshu Mishra from PhillipCapital. Please go ahead.

Shubhranshu Mishra: Hi, sir. Two questions. When you are talking about this 8% gold loan growth, what would be split that should come from South India versus non-South geographies? And second, just to take

the question on the income at a consol level and then forward. Given the fact that we are doing household products, do we have certain KRAs which are assigned to the sales of these household products at the MFI branches for employees? Thanks.

Management: The opportunity is there across India. And India is annually importing around 1,000 tonnes of gold. The opportunity is there. And some quarters, we will see some geographies growing. Other quarters in other geographies. All these are dependent upon the conditions like harvest season or festival season in different geographies. About the re-income, these are sold to MFI customers who wanted to buy household articles, etcetera.

So the advantage for them is, these are delivered to them at a price much lower than the MRP.

And they are happy about it. And depending upon the need in different geographies, different categories of customers, we have around 20 plus products. So from there, we are getting an income, a commission from the supplier. And of course I say, this is at a discount much lower than the market. Discount higher than the market that is the price much lower than the market. About KRA, the employees will have some incentive. This is normally given. This is what we call as product sale. These are the sales of consumer durable. There is the MFI industry for a very long time. And most of the companies provide this service to its customers.

Shubhranshu Mishra: It's been almost close to two years that we are not giving out the regional AUM mix. Our south AUM was upwards of 60% as of March quarter, FY 2022. So we don't have a number because we have not been publishing it for the last two years for some reason. Then having said that, south should really weigh on our growth.

Even upwards of 50%. That's the specific question I am asking. What would be the south versus non-south growth? I understand that India has a large geography and we have a large opportunity. I have a very specific question for south versus non-south? Thanks.

Management: So around 63 % of branches are in south and 37 % is in the rest of India. So what I said is the growth in these places are cyclical depending upon the festivals in various geographies. Harvest season in different geographies, climatic conditions in different geographies. It is going like that.

If you want to have the data, we can share with you over the last few quarters.

Shubhranshu Mishra: I shall take this offline. Thank you for your time.

Moderator: Thank you so much. The next question is from the line of Jigar Jani from B&K Securities. Please go ahead.

Manappuram Finance Limited

November 13, 2023

Page 14 of 15

Jigar Jani: Hi, thanks for taking my question. I just wanted to understand on your consolidated financial results, there are three line items. One is net gain on fair value changes. Second is net gain on de-recognition financial instruments. And third is a other income line item. So I believe you are reporting the DA in the net gain on de-recognition of financial instruments. Is that correct?

Management: So this is all up-fronting of DA income that INR82 crores for the half year and INR64 crores in the -- INR82 crores for this half of the year and last year, it was INR64.55 crores.

Jigar Jani: So that is the DA income,

right, up-fronting?

Management: Yes.

Jigar Jani: And what is the net gain on de-recognition of financial instruments? INR42 crores?

Management: So the bifurcation we will send to you, based on the accounting. So I will share with you.

Jigar Jani: Sure, no worries. And this product selling that you do, so this is, you don't give any loans for it, right? This is paid sale and you just get commission, right? Or do you give loans also for buying these products?

Management: We grant loan for the purchase of this product; this is consumer durable.

Jigar Jani: And what would be that quantum of the year right now? Could you share the number?

Management: INR350 crores.

Jigar Jani: INR350 crores. Okay. And ma'am, I know Asirvad, you cannot comment on specific numbers, but just directionally has stage two numbers for Asirvad gone up this quarter sequentially compared to last quarter?

Management: I will not be able to comment.

Jigar Jani: Okay, no worries. Thank you so much for answering my questions.

Moderator: Thank you so much. The next question is from the line of Mr, Abhijit Tibrewal. Please go ahead, sir.

Abhijit Tibrewal: Sir, just last two questions. One is, I mean, I think earlier some participants had asked that one of your larger peers is seeing some stress in gold loans. When do I say stress, they are seeing their stage two, stage three numbers go up for the last maybe two quarters, three quarters. Are we also seeing something similar in our gold loan portfolio? I mean, customers not being able to kind of come back, repay, and take their gold jewellery back?

Management: We don't see any stress in stage two, stage three in gold loan.

Abhijit Tibrewal: Got it. And one last question for you, sir. Sir, we've already seen gold loan yields improve to

22.1% now. We've in the past always indicated that gold loan yields will be between 22%,
Manappuram Finance Limited
November 13, 2023

Page 15 of 15

22.5%. So, fair to assume that gold loan yields will now stabilize or is there some more room for increase in yields for maybe next one quarter or two quarters?

Management: We expect that to remain somewhere around this range.

Abhijit Tibrewal: Got it. That's all from my side. Over to you, sir.

Management: Yes. One data point which I was missed out to the earlier participants. So, these two-line items in consolidation, the fourth one, net gain on fair value changes that is relating to Asirvad . So, INR27 crores in Q2, FY '24 and in June, it was INR55 crores. And the next line item is by Manappuram Finance Limited, INR37 crores in this quarter and INR5 crores in the previous quarter.

Moderator: Thank you so much. We will take that as our last question. I would now like to hand the conference over to the management for closing comments.

Management: So, thank you all the participants for this analyst s' meet Manappuram's earnings call. We expect your support. Thank you.

Moderator: Thank you. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

Ref: Sec/SE/ 336/2023-24
February 12, 2024

BSE Limited
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Scrip Code: 531213 National Stock Exchange of India
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Scrip Code: MANAPPURAM

Dear Madam/Sir

Sub: Concall Transcript of the Q 3 Results Conference Call held on February 7,2024

With reference to the above, kindly note that the transcript of Q 3 results Conference Call held on February 7,2024 has been uploaded on the website of the Company in the below Link .

<https://www.manappuram.com/investor -call>

We request you to take the same on record.
Thanking You.

For Manappuram Finance Limited

Manoj Kumar V R
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Page 1 of 28

"Manappuram Finance Limited
Q3 FY'2 4 Earnings Conference Call "
February 07, 202 4

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CHIEF EXECUTIVE OFFICER – MANAPPURAM FINANCE
LIMITED
DR. SUMIT HA NANDAN – EXECUTIVE DIRECTOR –
MANAPPURAM FINANCE LIMITED
MS. BINDU A.L. – CHIEF FINANCIAL OFFICER –
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MR. B.N RAVINDRA BABU – MANAGING DIRECTOR ,
ASIRVAD MICRO FINANCE – MANAPPURAM FINANCE
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MR. BASAVARAJ SHETTY - SENIOR VICE PRESIDENT
AND HEAD IR - ASIRVAD MICROFINANCE LIMITED ;
MR. KAMAL PARMAR – HEAD, VEHICLE AND
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MR. SUVEEN P.S. - CHIEF EXECUTIVE OFFICER -
MANAPPURAM HOME FINANCE
MR. ROBIN KARUVELY - CHIEF FINANCIAL OFFICER -
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MODERATOR : MS. RATI PANDIT – NIRMAL BANG

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February 07, 2024

Page 2 of 28

Moderator: Ladies and gentlemen, good day, and welcome to Manappuram Finance Limited Q3 FY24 Earnings Conference Call hosted by Nirma I Bang Institutional Equities. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions af ter the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Rati Pandit from Nirmal Bang. Thank you, and over to you, ma'am.
Rati Pandit: Yes. Thank you, Nirav. A very good evening to everyone. On behalf of Nirmal Bang Institutional Equities, we welcome you all to the Q3 FY24 earnings conference call of Manappuram Finan ce Limited. We are pleased to host the senior management of the company represented by Mr. V .P. Nandakumar, MD and CEO; Dr. Sumitha Nandan, Executive Director; Ms. Bindu A.L., CFO; Mr. B.N. Raveendra Babu, MD of Asirvad Microfinance Limited; Mr. Rajesh Nam boodiripad, CFO of Asirvad Microfinance Limited; Mr. Basavaraj Shetty, Senior VP and Head IR of Asirvad Microfinance Limited; Mr. Kamal Parmar, Head, Vehicle and Equipment Finance; Mr. Suveen P.S., CEO of Manappuram Home Finance; Mr. Robin Karuvely, CFO of Manappuram Home Finance.
Manappuram Finance Limited
February 07, 2024

Page 3 of 28

I now hand over the call to MD sir, Mr. VP Nandakumar for his opening remarks. Post which, we can have the floor open for Q&A. Thank you, and over to you, sir.
V P Nandakumar: Thank you. Good evening, ladies, and gentlemen. It gives me immense pleasure to welcome you all to the conference call to discuss the third quarter FY24 financials. As you know, amidst the challenging geopolitical situation, India is continuing to be in the high-growth trajectory. The just-announced interim budget has also exuded optimism about the future prospects of the Indian economy, promising that the country is well on its way to become a developed nation by 2047. It is in this backdrop that I present our Q3 financial results.
A balanced and prudent gr owth strategy, which I have been reiterating for many quarters, is now in full swing. While the NBFC sector, as a whole, has grown at a CAGR of 12% in the past five years, our growth has been around 19%. Notably, these growth rates outpace the banking sect or, reflecting the strong traction achieved by NBFCs. This quarter, we achieved good growth in both AUM and profitability.
I'm happy to share that we have recorded a net profit of INR 575 crores, which is an improvement of 46% year -on-year, driven primaril y by the profitability in gold loans and microfinance business. Gold loan AUM is sequentially flat; however, there's still 2.6% sequential profit growth. Gold
Manappuram Finance Limited
February 07, 2024

loan AUM stood at INR 20,758 crores, an improvement of 11.5% over the year -ago quarter.

While standalone AUM of the entity , at INR 27,407 crores, grew by 23% year -on-year, the consolidated AUM reached INR 40,385 crores , representing an increase of 27% for the year ago quarter. We posted an ROA of around 5.2% for the quarter, significantly higher than the industry average. The pace of growth in NBFC space, even outpacing banks, owes to the fact that our financial market gives a lot of headroom for a large number of players to co -exist.

The company's microfinance subsidiary, Asirvad , has posted an AUM of INR 11,563 crores, showing a growth of 34% year-on-year and a profit of INR 127 crores in Q3, with a growth of 80% year -on-year. The share of microfinance in the overall profit pie is set to go up in the days to come. We continue to post an excellent growth in Vehicle Finance business, recording 70% increase y

ear -on-year, with an

AUM of INR 3,597 crores while maintaining good credit discipline.

The home loans with an AUM of INR 1,415 crores , registering 41% increase over the corresponding quarter in FY23. I'm also pleased to share that our fee -based business is growing nicely. We reported INR 28 crores profit from our fee -based business and see excellent prospects for its growth. I am pleased to inform that the Board of directors declared a dividend of 90 paise, another increase of INR 0.05 this quarter and we remain confident of achieving both

Manappuram Finance Limited

February 07, 2024

top line and bottom -line growth while maintaining adequate liquidity.

For a more comprehensive review of our financial performance, I hand the floor to our CFO, Ms. Bindu A.L.

A. L. Bindu: Thank you, sir. Good evening, ladies, and gentlemen. Thank you all for joining us today. As you are aware, Asirvad Microfinance filed the DRHP on October 5, 2023. We are not in a position to give more numbers for Asirvad except those, which are in the public domain related to results. We request our participants to restrict their questions on Asirvad to published numbers. Coming to the operational overview, our consolidated AUM for Q3 FY24 was INR 40,385 crores, representing 3.7 percentage sequential growth and 26.7 percentage Y -o-Y growth.

Consolidated profit after tax was INR 575 crores, which was up by 2.6 percentage Q -on-Q and 46 percentage Y -o-Y. ROE on a consolidated basis was 21.2 percentage and ROA was 5.2 percentage for the quarter. Our leverage is currently only 2.9x. Standalone GNPA is at 1.99% , versus 1.56% during the previous quarter. Cash and cash equivalents on hand on a consolidated basis was INR 3,076 crores and undrawn bank line was INR 7,128 crores.

CP exposure is nil and the standalone borrowing cost has gone up by 19 basis points. The Gold Loan business constitutes 51.4 percentage of consolidated AUM, while the remaining 48.6 percentage comprises Microfinance, Vehicle, Housing and MSME Finance. Gold loan AUM consolidated

Manappuram Finance Limited

February 07, 2024

INR 20,758 crores is stable Q-on-Q and up by 11.5 percentage Y-o-Y. During the quarter, we were able to add 4.03 lakh new customers. Average LTV is at 61 percentage. Online book at 56 percentage. Our standalone profit after tax was INR 428 crores, up by 2.1 percentage sequentially and up by 34.7 percentage Y-o-Y.

Coming to Microfinance business, its share of AUM stands at INR 11,563 crores, including gold loan AUM of INR 828 crores, up by 6% Q-on-Q and by 34% Y-o-Y. PAT for MFI business has increased to INR 127 crores in Q3 FY24 versus INR 118 crores in Q2 FY24. And for nine months, the profit increased to INR 356 crores versus INR 119 crores last year. Net NPA stands at 1.34 percentage. Capital adequacy is 23.16 percentage for Asirvad.

In Vehicle Finance, we reported an AUM of INR 3,597 crores, which is up by 14.5 percentage Q-on-Q and 70 percentage Y-o-Y. Collection efficiency for the quarter was 98 percentage and GNPA 2.6 percentage. Home Loan business saw total AUM at INR 1,415 crores, which is up by 8.5 percentage Q-on-Q and up by 40.9 percentage Y-o-Y. And reported a profit of INR 5.1 crores during the quarter. Collection efficiency at 96 percentage and GNPA 2.67 percentage.

In MSME and Allied businesses, the total AUM stood at INR 2,857 crores, with a disbursement of INR 460 crores during the quarter. Collection efficiency was 102 percentage and GNPA 1.5 percentage, excluding digital personal loan. If Manappuram Finance Limited
February 07, 2024

Page 7 of 28

we include digital personal loan, it is around 2.3 percentage. Our on-lending AUM stands at INR 1,022 crores and ROA for on-lending business is 5 percentage for the quarter. The recent RBI circular to raise risk weight on consumer c

redit exposure of the NBFC lending does not apply to gold loan, vehicle finance, and microfinance; hence, it has not much impact on our balance sheet. Nonetheless, bank lending to NBFCs raised their risk weight to the extent of 25 percentage, which resulted in a sequential increase in the cost of borrowing by 19 basis points. Our capital position is strong and the CRAR at 30.7 percentage for the standalone entity.

The consolidated net worth was at INR 11,063 crores and the book value was INR 130.70. Thank you. We can now go for the Q&A session.

Moderator: Thank you very much. We'll now begin the question and answer session. The first question is from the line of from Piran from CLSA.

Piran: Congrats on the quarter. Sorry, I dialled in a bit late, but I heard something that INR 28 crores profit from fee-based business. Can you please elaborate?

V P Nandakumar: Okay. This is through our subsidiary, Manappuram Insurance Brokers. So now insurance companies can pay more because of the liberalised fees, the commission dispensation by the regulator. So, we are getting a higher Manappuram Finance Limited
February 07, 2024

Page 8 of 28

payout from them. That is the reason for the INR 28 crores profit from insurance broking business.

Piran: Okay. And sir, what was it, say, Q -o-Q or Y -o-Y if you can give us a sense? And this is a INR 28 crore s profit for the quarter or for nine months?

V P Nandakumar: For the quarter .

Piran: Okay . And wha t was it, say, last quarter or one year ago?

A. L. Bindu: Last quarter was INR 15 crores.

Piran: Okay. And Bindu, the second question for you. You mentioned the 19 bps increase in cost of bank borrowings.

So, the full effect has playe d out in Q 3 or should we expect something in Q 4 also from this risk weight guideline?

A. L. Bindu: Yes. So , we have to expect a similar increase in Q4 also.

Because the circular came in mid-November and that entire rollover is not complete. We are having a lot of undrawn lines. So we hope we will be able to contain the increase.

Moderator: Next question is from the line of Abhijit Tibrewal from Motilal Oswal.

Abhijit Tibrewal: Sir, if you look at the gold loan yields that we report, I think in the last two quarters each, it has gone up by 50 basis points. And just trying to understand, understandably second, third quarter are weak quarters for gold loan growth. But what is it that we are doing, which is leading to this kind of an increase in yields in gold l oans?

Manappuram Finance Limited

February 07, 2024

Page 9 of 28

And maybe a related question, I mean, with this gold loan yields now going up, is it then fair to assume that what we keep sharing in the last few calls that competitive intensity from banks is coming down is indeed playing out?

V P Nandakumar: We ar e catering to the requirements of the small ticket borrowers primarily because our average ticket size remains around INR 20,000 and the average tenure around three months. What is most important is our availability and our quick service, turnaround time that is most important. So , whatever is the cost increase in borrowing , that we are passing on to these gold loan customers.

Many companies have come in, that is expected because the large chunk of the business still remains with unincorporated bodies. We don't have exact data but the general impression is that they (unorganised sector) do more than 2/3 rd of the total business, so it will get translated into the organized sector. So , at this rate, we hope we'll be able to maintain the business. And even though one quarter remained flat, I hope we will reach our target of 8% to 10%.

Abhijit Tibrewal: Got it. Got it. So essentially, 8% to 10% growth in Gold Loan still possible essential ly implies that after two quarters of weak gold loan growth, we are now kind of looking at a good gold loan growth com

ing in the last quarter of the fiscal year?

V P Nandakumar: Yes, there is a season. During that season, we used to get growth. With that g rowth, we may be able to maintain the rate generally.

Manappuram Finance Limited

February 07, 2024

Page 10 of 28

Abhijit Tibrewal: Got it. Sir, the other thing I wanted to understand on the Microfinance side, I mean, during the opening remarks, Bindu ma'am said that we can restrict the questions to the published i nformation given the ongoing process of IPO. But just wanted to understand that during this quarter, looking at other MFI peers who have reported, they all highlighted

impact from Tamil Nadu floods.

I think for you, Tamil Nadu is close to 14% of your AUM mix. Likewise in Punjab and Haryana, you'll have close to 100 branches and we've been hearing that there are some problems, which are brewing in Punjab. Can you share, I mean, what is it that you are seeing, I mean, in Punjab and Haryana, and what was your experience like in Tamil Nadu? And is that the reason which kind of led to elevated credit scores costs in the Microfinance business during this quarter?

V P Nandakumar: Tamil Nadu because of the cyclone and other things, many people lost their livelihood temporarily and has affected to some extent. And in Punjab, Rajasthan, Haryana, etc, yes, there are some problems. The industry generally is affected. But in these places, our exposure is not that high. Tamil Nadu, we have 14%, yes.

Abhijit Tibrewal: Okay. And sir, just one last data -keeping question for Bindu ma'am. Can you just share, I mean, some of these data points like you typically share in each earnings call? What were the gold loan disbursements? What was the amount, which was auctioned? And lastly, the auction surplus as on December?
Manappuram Finance Limited
February 07, 2024

Page 11 of 28

A. L. Bindu: Yes. So, auction during the quarter, INR 124 crores. And auction surplus...

Management: It has been reduced to the level of INR 23.5 crores.

Moderator: Next question is from the line of Mona Khetan from Dolat Capital.

Mona Khetan: Yes. So firstly, I wanted to understand this rise in NPAs across many of your portfolios, including home loans or MSME book. Could you give some colour on this? What has led to the sharp rise across, even Vehicle for that matter, these books are growing very fast and the NPAs are on the rise on a sequential basis.

A. L. Bindu: Kamal?

Kamal Parmar: Yes. Our NPA for quarter three stood at 2.6% against 2.5% last quarter. And in fact, it was higher in the first quarter, it was at 2.9%. So, we have actually brought it down and we are holding it stable.

A. L. Bindu: Yes. So during the quarter, the gold loan NPA has gone up.

But as you are aware, the credit cost is negligible from that portfolio. We were getting requests from the borrowers to delay the auction for a few of the customers. And that is the reason it has gone up. And the gold price is also in support, and we are honouring the request of the borrowers. So that is the reason it has gone up. But for all other portfolios, like MSME, it's 1.5 percentage, that is also at the similar level. Where we have seen the collection issues are only in the case of digital personal loans where we, again, are restricting the
Manappuram Finance Limited
February 07, 2024

Page 12 of 28

underwriting norms. Not only MSME book, the whole book, we have seen 1.5 percentage GNPA only. So overall, credit quality has improved. The rate has gone up. But we are not expecting any credit cost out of that.

Mona Khetan: And how about the home loan book? The NPAs are higher by about 90 bps during the quarter.

A. L. Bindu: Yes.

V P Nandakumar: So, in home loans, we have around 200 properties, which are up for sale, which were taken over through

Sarfaesi route. And all the efforts are on to sell it, which will bring

down the NPA. So, we are expecting a good improvement during the last quarter.

Mona Khetan: Okay. And on the MFI book as well, while your NPAs declined, if I look at the credit cost, they remain extremely high. At over 4% or thereabouts. So, how were the write-offs in this quarter versus how much it was last quarter?

A. L. Bindu: Yes. So, as discussed, we are seeing stress in some of the states and it is leading to delay in collection. So, we did ARC of INR 200 crores, and we did the write-off to that extent.

Mona Khetan: Sorry, INR 200 crores?

A. L. Bindu: INR 200 crores. Out of which, INR 100 crores, we have returned.

Mona Khetan: Okay. And how much was it last quarter?

Manappuram Finance Limited
February 07, 2024

Page 13 of 28

A. L. Bindu: Last quarter, the write-off, INR 60 crores.

Mona Khetan: Okay. And just finally, when I look at the growth on a consolidated basis, the non-core portfolios are growing very fast and are about to cross 50% of the AUM at this pace. So, what is the thought process on the mix? Could this non-gold share continue to rise or will growth in non-gold portfolio slow down after a point once it reaches 50%? Just wanted to get that perspective.

V P Nandakumar: See, in the standalone book, gold loan portfolio will not come down that easily. So, this is because of the subsidiaries. Subsidiaries are now -- if you take Asirvad, we plan to raise capital from outside for the next phase of growth. Similarly, we do in other subsidiary, Home Finance, where also we will go for borrowing. So, in the stand alone book, the gold loan will remain more than 50% for a longer time.

Mona Khetan: Got it. So basically, from a consolidated perspective, the share may continue to rise for the non-gold book even beyond the 50%?

V P Nandakumar: Right.

Moderator: Next question is from the line of Shweta Daptardar from Elara Capital.

Shweta Daptardar: Ma'am, a question for you. So, you did mention that even in the next quarter, we'll see a similar spike in cost of funds. But then be it standalone or control liability mix, why is our term loan borrowings rising each quarter? And you, of Manappuram Finance Limited
February 07, 2024

Page 14 of 28

course, did mention you're trying to contain that. But how do you see or perceive this liability mix changing, going forward? And if you could also highlight the high-cost borrowings, which will come for repricing going forward. And I have couple of other questions as well.

A. L. Bindu: Yes. So if you see, we had the dollar bond of around INR 2,000 crores, which we redeemed. So, to maintain the liability ten ure, we are taking the term loans. And at the same time, banks also now prefer term loans than working capital. And the CP exposure is nil, so that is the reason our term loan exposure is going up. This will help us maintain the liability ten ure. Because in our standalone book also, we are increasing the non-gold businesses, where the life of the loan is slightly higher. So that will help us maintain a mix in

a proper manner.

And on the cost, we were expecting a reversal in Q3 or at least a stable position. But by the time the new circular had some impact. But slowly, we are able to reduce the impact. But as 60 percentage of the book, there will be a rollover or reset. That is the reason we are expecting a 15 to 20 basis points increase in the next quarter.

Shweta Daptardar: Okay. Okay. That's a fair point. Secondly, sir did mention that this cost price spike, we are transmitting it through higher yields, and we also saw yields rising for gold loans. But then I wanted to know, so if our gold loan yields are rising and we did admit to the fact that competition persists, especially on the gold loan side. And if I look at the Manappuram Finance Limited
February 07, 2024

Page 15 of 28

gold loan net rises, so our AU

M per branch has remained steady, then tonnage is slightly lower.

As for the number of borrower count, I understand because few people open the accounts, equal number of people even close, so I'm not arguing that. But going forward, then if this is the scenario and the yields are rising, tonnage slightly lower, then how confident are we or what are the levers to this 8% to 10% growth, which is looking healthy for gold on the gold loan side?

V P Nandakumar: See, the gold tonnage is decreasing because of the price increase. In order to maintain the same AUM, the lower weight is required. That is the reason. So, in the reverse scenario of the gold price going down, the tonnage will go up. And AUM will remain at that level, while the tonnage will grow. That's the usual scenario. And regarding the confidence about 8% -10% growth, I mentioned about the seasons also. Usually, some quarters, it grows. Some quarters, it remains flat. That is usual. So, it has got some seasonal impact.

Now why we are confident is, it has been mentioned that because our average ticket size is lower at around INR 50,000 and average tenure is around three months. So, what is most important here is how quickly you can serve the customer, how fast he/she can get the job done because the work day will be lost otherwise. Such customers who are borrowing smaller amounts, small tickets, etc, they prefer to go to places where quick service is available.

Manappuram Finance Limited
February 07, 2024

Page 16 of 28

Because of our technology, online gold loan and doorstep gold loan, we are able to extend the services to the satisfaction of our customers, where they will not lose the day. So that gives us the confidence and our new customer acquisition remains at a steady level of 5,000 to 8,000 new customers every day.

Moderator: Next question is from the line of Noel Gonsalves from SBI.

Noel Gonsalves: Ma'am was mentioning regarding the marginal hike in the gross NPA due to delayed auctions and also the prices of gold being higher. Is it likely to continue in the present quarter also? That's my first question. My second question is, you mentioned that a critical aspect in any gold loan company is how quickly you can deliver the gold loan. So, what would be your turnaround time and how quick would be the services on an average?

V P Nandakumar: So, the time we take for a new customer is around 15 to 20 minutes. For the existing customers, it would be lower because we have the KYC and all the requirements already in the system. So, our efforts are always to reduce that time, that's why we have pioneered products like online gold loan, doorstep gold loan, etc. But our efforts will continue in digitalizing all these and it will definitely be of help in offering better store service.

A. L. Bindu: Yes. Gold loan NPA is a temporary issue only. We have given extended time to these borrowers and we will be able to reduce before 31st March.

Manappuram Finance Limited

February 07, 2024

Page 17 of 28

Noel Gonsalves: Thank you, sir. Thank you, ma'am. And all the best for the coming days.

Moderator: Thank you. Next question is from the line of Gao from Schonfeld. Please go ahead.

Gao: Yes. So firstly, on margin. So, cost of funds continues to rise 15, 20 basis points. So, should we expect margins to hold that or it should increase from here or should we expect some margin decline because of the cost of funds?

Specifically, should we still expect loan yield to go up?

A. L. Bindu: Yes. On the cost of borrowing, we have seen an increase on account of the new circular. At the same time, if you see, we have seen a 48 basis points increase in the gold loan yield. So, the attempt is to maintain the spread as it is possible. So that is the reason why in the last two quarters, if you see, there is an increase in gold loan yield.

Gao: And then

the second one is on the Asirvad Microfinance. Can you at least kind of detail us in terms of the trend. Is the situation on the ground stabilizing? Getting better? Or it's still pretty difficult may be going through this quarter itself?

A. L. Bindu: So, it is not very different, but some of the cyclical impacts will be there, temporary delays, etc. Beyond which, kindly excuse us for further details.

Moderator: The next question is from the line of Rajiv Mehta from Yes Securities.

Manappuram Finance Limited

February 07, 2024

Page 18 of 28

Rajiv Mehta: Congrats on good performance. A few questions from my side. Bindu ma'am, what was the stage two for the MFI, for the Asirvad MFI as of December? And can you also share the stage two as of September?

A. L. Bindu: So, that we cannot.

Rajiv Mehta: It can't be?

A. L. Bindu: No.

Rajiv Mehta: Okay. And this if you can, if it's possible, any headway in terms of Asirvad IPO getting delayed? I mean what is the timeline for the IPO that we have right now?

V P Nandakumar: So, we hope there won't be much delay. That is the indication we get through our bankers.

Rajiv Mehta: Okay. Okay. And sir, in terms of gold loan business new customer addition, can you tell us the number of new customers added in this quarter and even in the previous quarter?

V P Nandakumar: So, on a given day, we are getting around 5,000, 5,500 new customers.

A. L. Bindu: So this quarter, we added 400,000 new customers.

Management: 406,000.

V P Nandakumar: There is not much difference over the last, say, over the last five years, it remains more or less the same except during the pandemic.
Manappuram Finance Limited
February 07, 2024

Page 19 of 28

Rajiv Mehta: So sir, while we have been adding a steady number of new customers, we also see customers closing or going away, and which is why the net-net customer base is not growing for us, it has been pretty steady. So, in a flattish customer base trend, how do we get 18% growth, if the gold price does not increase from here?

V P Nandakumar: See, what I said is not 18% but 8% to 10%. So, year on year growth is 11%. So, there will be some quarters there is good growth. In some quarters, there may not be any growth but we remain optimistic about that. We hope last quarter would be good.

Rajiv Mehta: Okay. Just last question from my side. Have you raised gold loan product rates across LTV and the ticket size in the last three, four months?

V P Nandakumar: See, the LTV is decided on the basis of the price. So we have a formula to decide, which is the formula being used by the Association of Gold Loan Companies, so within the regulatory guidelines. So now the gold prices are remaining steady. And regarding the interest rates, we have not increased that. So, except small increase when there is an upward movement in the borrowing cost, it remains steady.

Rajiv Mehta: Understood. So the increase in the net EVC for the portfolio is essentially because of the shift in customer mix towards low ticket and high-yielding customers?

V P Nandakumar: Right. Right.
Manappuram Finance Limited
February 07, 2024

Page 20 of 28

Moderator: Next question is from the line of Kushan Parikh from Morgan Stanley.

Kushan Parikh: So I had questions around two sets. One is yield. On the yield part, I just wanted to understand, I mean, since we've been increasing gold loan yields for a couple of quarters now and we expect the cost of fund to increase as well next quarter, will we see another increase in gold loan yields going forward? And also wanted to understand from you if that has any impact on the growth of the gold loan portfolio. My second question was on the Asirvad MFI yields. Even there, we have consistently seen the yield increasing. Even this quarter, AUM growth was about 6-odd percent Q-o-Q and revenue growth has been

about 11% Q-o-Q. A couple of peers have, in fact, reduced their rates in this quarter, so just wanted to understand what are the yields that we are charging? How are they compared to the market? And will we also have to come up with such a reduction going forward?

And thirdly, if you could take one more question was, if you could give some guidance around the credit cost of Asirvad MFI business going forward. I mean given the situation in the various states, will the elevated credit cost persist going forward?

V P Nandakumar: So about the gold loan yield, if the borrowing cost increases, that may be passed on to maintain the net interest margin, we wish to protect that. And regarding the backdown at the growth of the portfolio, I hope there won't

Page 21 of 28

be an impact because it is short term. Even if there's a minor increase, they won't be worried. So what they look for is the quick service, which we are able to give. So, we don't expect that to dampen our targeted growth.

About Microfinance, the pricing, we have a pricing model based on various parameters. So we continue with that pricing formula and we don't need that to change. Regarding the credit cost, we have some limitations. Whatever can be saved, it has been already saved.

Kushan Parikh: Understood. So then if you could just give any indication on the MFI credit cost? If the situation from a collections point of view in the problem states has improved in the January month or it has persisted in January as well?

V P Nandakumar: So yes, in these problem states of Bihar, Rajasthan, etc, the collection has not improved much. We are also shifting to weekly collection mode and employing more people from the locality and we are trying to improve that. The efforts are on and we hope the results will come.

Moderator: Next question is from the line of Jigar from B&K Securities.

Jigar Jani: So just wanted to know the auction surplus status, which is restricting our branch expansion in gold loans. Any headway on that? How much is the outstanding now? And second, we are seeing even in the standalone business, the non-gold business is growing very rapidly, but our PCR on the standalone business remains fairly low. So, do we intend to increase PCR on the standalone business given that more

Manappuram Finance Limited
February 07, 2024

Page 22 of 28

and more shift is going to happen towards the non-gold side in those businesses?

V P Nandakumar: See, our surplus in auction was around INR 48 crores.

Now that has been pushed down to INR 23 crores. We hope it will come down by another INR 1 crore or INR 2 crores soon. And we have been in touch with the regulators and we are submitting the application for new branches. We hope we'll be able to get permission for that. Then your second question is about the rapid increase in non-gold verticals. In non-gold, our performance in general is improving in the standalone portfolio like vehicle finance or the MSME, etc, except digital personal loan, which we have slowed down the ticket price, etc. So all these will improve. Regarding PCR, we continue with the same old policy whatever is the requirement. We continue without any change in the policy.

A. L. Bindu: Yes. Our PCR is low because the main book is with a negligible credit cost. For other portfolios, we consider the ECL model and enough provision is carried in our financials.

Jigar Jani: Good. But as the proportion of the other businesses increased, your ECL model would require -- on a blended basis -- require higher provisioning on your standalone books...

A. L. Bindu: So, if you see the Vehicle Finance book, that is almost an 8-year-old book. And based on our historical losses, even during COVID, all those things we factored in our ECL model. See, the GNPA itself is 2.6 percentage. On that,

if we

apply the LTD, that will be the ultimate credit cost. And 2.6 percentage GNPA is only INR70-80 crores. On that, we are carrying enough provision.

Jigar Jani: Okay. Would you be able to share the NCD on the real basis?

A. L. Bindu: NCD, see, this is very complicated. In the sense, each portfolio, we have done separately. So, this ranges between 20 percentage to 35 percentage. And for the unsecured book, it will be 65 percentage.

Moderator: Thank you. The next question is from the line of Shreepal Doshi from Equirus Securities. Please go ahead.

Moderator: Shreepal, sorry, but your voice is still breaking. I'll request you to re-join the queue or redial. The next question is from the line of Bunty Chawla from IDBI Capital. Please go ahead.

Bunty Chawla: One data point, if you can share. Sorry, I missed that part. What was the auction of the gold loan during this quarter?

A. L. Bindu: INR 124 crores.

Bunty Chawla: Okay. Secondly, if it is possible, what were the queries from the SEBI on the Asirvad IPO? Has it been completely resolved because of which we have got delayed some part?

V P Nandakumar: So, all the queries from SEBI have been answered, we hope, to their satisfaction. It has been answered and we are awaiting a positive response from them.

Manappuram Finance Limited

February 07, 2024

Moderator: Next question is from the line of Abhijit Tibrewal from Motilal Oswal.

Abhijit Tibrewal: Bindu ma'am, just kind of circling back to this cost of borrowing question, which has come a couple of times in this earnings call. I think, I mean, what you suggested is that we've already seen almost 19, 20 basis points increase in cost of borrowings. But just trying to understand this cost of borrowing increase, I'm sure this will not be applicable to your HFC businesses or the HFC subsidiaries, right? So, what I mean is the risk weight circular alone kind of contributing to this cost of borrowing increase and maybe a similar increase as you suggested in the fourth quarter as well? Or are there some other elements or other drivers of the increase in cost of borrowings that you are envisaging in the next quarter?

V P Nandakumar: HFC, we are expecting the cost to remain flat because we are getting funding from NHB. So, we expect that to go up. So that will help us to maintain the rate without any worries.

A. L. Bindu: Yes. On the risk weight circular, on other financials, it will not have much impact because majority of the portfolio is exempt from that. But for the bank lending to NBFCs, irrespective of the rating, it has gone up. So, the immediate impact is increasing cost of borrowing. So that is the reason it has gone up, but things are changing. Availability is not an issue, but costs still not reversed.

Manappuram Finance Limited

February 07, 2024

Abhijit Tibrewal: But intuitively speaking, given that risk weights have been increased by 25%, I mean, at best, cost of volume should have gone up by 25 basis points only, right, and that, too, on your bank borrowings? So, the actual blended impact on the

cost of borrowing should have been lower than 25 basis points. Or is there any other way to look at this?

A. L. Bindu: See, combined with the other unsecured lending or tightening of liquidity. So, I think the lenders will make use of the opportunity to increase the cost. And initial reaction was, at least, I think they started 50 basis points for the rollover. Slowly, it is coming down. And the other thing is we are doing term loans, ECBs and our maturity profile is also improving. That is also a reason. But immediate increase is on account of the circular.

Moderator: Next follow-up question is from the line of Shreepal Doshi from Equirus Securities.

Shreepal Doshi: So, my question

pertains to gold loan disbursement. So, I think that number was not mentioned. So, if you can just say that for this quarter and for nine months FY24.

A. L. Bindu: So in this quarter, we did around INR 26,190 crores. And last quarter, we did around INR 25,793 crores.

Shreepal Doshi: Okay. And coming back to the earlier participant's question on cost of fund. So, what is the overall cost of fund impact that we are likely to see because of the circular? That is

question number one. And question number two is what is the overall impact on the capital adequacy because we also

Manappuram Finance Limited

February 07, 2024

Page 26 of 28

have vehicle loan as part of the portfolio, so is there any impact on the capital adequacy of the same?

A. L. Bindu: Vehicle loan is also exempted from this. So, the small portion of our personal loan only will have impact and given our higher capital adequacy, this is, I think, less than 50 basis points in that on the CRAR. It's very negligible. Still our CRAR is above 30 percentage. And on the cost of borrowing, one is, this immediate increase on account of the circular. And we are doing ECBs and term loans, the proportion of term loans also increasing and these are the reasons for increasing cost of borrowing.

Shreepal Doshi: But what will be the overall cost of borrowing impact? Like, while this quarter is 19 basis points, next quarter, you said it will be another. But have you done any calculation as to what will be the overall impact? Like, will there be any further or all of it will get re-priced? I understand 52 percentage must be linked to 3-month MCLR or 1-month MCLR on the term loan side.

A. L. Bindu: See, we expected a reduction by the time this circular came, so we are not seeing a reversal trend. So that is the reason our expectation is, a further increase in this quarter, 10 to 20 basis points. In the CP market also, the pricing has not come down.

Moderator: Next question is from the line of Pratik Tandel from Swan Capital.

Manappuram Finance Limited

February 07, 2024

Page 27 of 28

Pratik Tandel: So I would like to know about the branches. In the FY21, '22, '23, since the number of branches were at 3,524, and we had restrictions. I wanted to go on the visibility of net branch expansion in the coming quarters. So, could you give some guidance on that?

V P Nandakumar: So we have applied for more branches. In the past, one problem we faced was a surplus in auction remaining at around INR 48 crores. They told us to bring it down. Now

we have achieved that. It going down and we had some discussions with the regulators and we hope we'll get permission in the near future. So , we had applied for 300 branches and we hope we'll get permission for this.

Moderator: Next question is from the line of Aagam from Flute Aura.

Aagam: Most of my questions were answered. I just have one question. What is our CET1 ratio current ly, standalone and of Asirvad?

A. L. Bindu: Which ratio?

Aagam: CET1.

A. L. Bindu: Tier 1 and standalone, it is the full Tier 1 only. And in subsidiary...

Management: 18.5, Tier 1.

A. L. Bindu: 18.5, Tier 1.

Management: And Tier 2 is 14.6.

Manappuram Finance Limited

February 07, 2024

Page 28 of 28

Moderator: As th ere are no further questions, I will now hand the conference over to Mr. VP Nandakumar for closing comments.

V P Nandakumar: So, thank you for the support and cooperation. We expect continued support from your side. Any more information what can be reveale d, we are happy to share with you. Thank you.

Moderator: Thank you very much. On behalf of Nirmal Bang, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2024

Ref: Sec/SE/ 58/2024 -25
May 30,2024

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip Code: 531213 National Stock Exchange of India
Limited
5th Floor, Exchange Plaza
Bandra (East)
Mumbai – 400 051
Scrip Code: MANAPPURAM

Dear Madam/Sir

Sub: Concall Transcript of the Q 4FY24 Results Conference Call held on May 24,2024
With reference to the above, kindly note that the transcript of Q 4 results Conference Call held on May 24 ,2024 has been uploaded on the website of the Company in the below Link .

<https://www.manappuram.com/investor -call>

We request you to take the same on record.
Thanking You.

For Manappuram Finance Limited

Manoj Kumar V R
Company Secretary

Page 1 of 26

“Manappuram Finance Limited
Q4 FY'2 4 Earnings Conference Call ”
May 24, 202 4

MANAGEMENT : MR. VP NANDAKUMAR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – MANAPPURAM FINANCE
LIMITED

DR. SUMIT HA NANDAN – EXECUTIVE DIRECTOR –
MANAPPURAM FINANCE LIMITED

MS. BINDU A.L. – CHIEF FINANCIAL OFFICER –
MANAPPURAM FINANCE LIMITED

MR. RAVEE NDRA BABU – MANAGING DIRECTOR ,
ASIRVAD MICRO FINANCE

MR. RAJESH NAMBOODIRIPAD – CHIEF FINANCIAL
OFFICER – ASIRVAD MICROFINANCE

MR. KAMAL PARMAR – HEAD, VEHICLE AND
EQUIPMENT FINANCE – MANAPPURAM FINANCE
LIMITED

MR. SUVEEN P.S. – CHIEF EXECUTIVE OFFICER –
MANNAPURAM HOME FINANCE

MR. ROBIN KARUVEL Y – CHIEF FINANCIAL OFFICER –
MANNAPU RAM HOME FINANCE

MR. BASAVARAJ SHETTY – SENIOR VICE PRESIDENT
AND HEAD IR - ASIRVAD MICROFINANCE

MODERATOR : MR. ABHIJIT TIBREWAL – MOTILAL OSWAL
FINANCIAL SERVICES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Manappuram Finance Limited Q4 and FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Abhijit Tibrewal with Motilal Oswal.

Abhijit Tibrewal: Yes. Thank you, Ryan. Good evening, everyone. Welcome to the conference call to discuss the Q4 FY '24 results of Manappuram Finance. We have the senior management team of Manappuram Finance with us today represented by Mr. V.P. Nandakumar, MD and CEO; Dr. Sumitha Nandan, Executive Director; Ms. Bindu A.L., Chief Financial Officer; Mr. B.N. Raveendra Babu, MD of Asirvad Microfinance; Mr. Rajesh Namboodiripad, CFO of Asirvad Microfinance; Mr. Basavaraj Shetty, Senior VP and Head IR, Asirvad, Microfinance; Mr. Kamal Parmar, who is heading the Vehicle and Equipment Finance business; Mr. Suveen P.S., CEO of Manappuram Home Finance; and Mr. Robin Karuvely, CFO, Manappuram Home Finance.

With these opening remarks, I hand over the call to Mr. V.P. Nandakumar for his opening remarks, post which we will kind of start with the Q&A. Thank you, and over to you, sir.

V. P. Nandakumar: Thank you. Good evening, ladies and gentlemen. It gives me immense pleasure to welcome you all to the Manappuram Finance Limited
May 24, 2024

conference call for the fourth quarter, FY '24 financials. India continues to maintain growth momentum despite global uncertainties and has just entered the USD 5 trillion market capitalization club, inclusion in global bond index will provide stability to forex and bond markets. And this strong economic performance is a huge confidence booster for all business establishments. And it is against this backdrop that I present our Q4 financial results.

The outlook for NBFC sector looks promising. According to a 2023 report by CAFRAL, an RBI-funded think tank, NBFCs and fintechs are the primary drivers of credit demand from the younger cohort and they accounted for 70% of lending to those aged below 35. As India is poised to reap a huge demographic dividend until 2050, NBFCs have a great opportunity to continue tapping this segment and expand their credit portfolio. This will be supplemented by the opportunities provided by increased formalization and urbanization. This quarter, we achieved good growth in both AUM and profit, which is symptomatic of a strong traction achieved by us in the last mile delivery.

I'm happy to share that we recorded a net profit of INR564 crores with an improvement of 35.7% year-on-year driven by profitability in gold loans and microfinance. Gold loan AUM stands at INR21,500 crores, an improvement of 8.9% over the year ago quarter and 3.6% sequentially. While standalone AUM at INR28,679 crores grew by 17.4% year-on-year, the consolidated AUM is INR42,070 crores recording an increase of 18.7% over the year ago quarter.

Asset quality in the standalone book has been contained below 2% while we posted an ROA of 4.9% for the quarter, which is an improvement of 60 bps year-on-year. We are also pursuing a strategy of diversifying our funding mix by reducing dependence on bank borrowings and opted for dollar bonds with this objective.

At Manappuram, we take utmost care to comply with all the RBI guidelines. Our approach is no different with respect to the INR20,000 cash limit in disbursement. It is applicable to all NBFCs. We are the pioneers in online gold loans and digital mode of disbursement is ha

ssle-free and saves a lot of time.

We have the infrastructure and knowhow and the same is implemented from 8th May 2024.

The company's microfinance subsidiary, Asirvad has posted an AUM of INR11,881 crores, showing a growth of 18% year-on-year and a profit of INR458 crores, which marks a growth of 105% from the previous financial year. The share of microfinance in the overall profit pie is set to go further up in the days to come.

Like in the previous quarters, we continue to post maximum growth in the vehicle finance business recording 69% increase year-on-year with an AUM of INR4,111 crores followed by home loans with an AUM of INR1,510 crores. This being, a 37.8% increase over the corresponding quarter in FY '23.

We are keeping a close watch over the affordable housing segment, where we see a lot of potential. The share of non-gold business now stands at 49% of the total assets under Manappuram Finance Limited

May 24, 2024

management. And this is very much in line with our diversification strategy.

The upcoming full union budget is expected to spell out further measures to propel these sectors forward. We are confident of achieving both top line and bottomline growth as we continue to maintain comfortable liquidity.

For more comprehensive review of our financial performance, I hand over the floor to our CFO Ms. Bindu A.L.

A. L. Bindu: Good evening, ladies and gentlemen. Thank you for joining us for the discussion of our Q4 results. As you are aware, Asirvad Microfinance filed its DRHP on October 5, 2023. We request our participants to restrict their questions on Asirvad to the published numbers.

Now coming to the operational overview. Our consolidated AUM for Q4 FY '24 was INR42,070 crores, representing 4.2% sequential growth and 18.7% Y-o-Y growth.

Consolidated profit after tax was INR563 crores, which was slightly down Q-on-Q and up by 35.7% Y-o-Y. Consolidated profit after tax for the year was INR2,197 crores, up by 46.5% Y-o-Y. ROE on a consolidated basis was 20% and ROA was 4.9 percentage. Our leverage is currently only 2.9x. GNPA is at 1.93 percentage versus 1.99 percentage during the previous quarter.

With regard to liquidity, cash and cash equivalents stand at INR3,181 crores and undrawn bank lines of INR6,000 crores as on 31st March 2024. Our CP exposure is 4 percentage in Manappuram Finance Limited

May 24, 2024

the standalone entity. The borrowing cost has gone up by 16 basis points in Q4 FY '24.

Talking about the gold loan business, which is 51.1 percentage of consolidated AUM, the AUM stands at INR21,500 crores, up by 3.6 percentage Q-on-Q and up by 8.9 percentage Y-o-Y. During the quarter, we were able to add 4.13 lakh new customers and our average LTV is at 58 percentage, which is well below the peer group. The online book accounts for 57 percentage of the total gold loan book. Standalone PAT was INR428 crores, which is up by 2.6 percentage. If we adjust for the dividend of INR15 crores from the subsidiary in Q3 FY '24, our standalone PAT for the year was INR1,658 crores, up by 30.9 percentage Y-o-Y.

Coming to Asirvad Microfinance, the AUM stands at INR11,881 crores, including the gold loan of INR890 crores, which is up by 3 percentage Q-on-Q and 18 percentage Y-o-Y. PAT for the quarter is INR102 crores. And for the year, INR458 crores compared to INR223 crores in FY '23. Net NPA stands at 1.71 percentage, with a CRAR of 22.79 percentage. In vehicle finance business, we have reported an AUM of INR4,111 crores, which is up by 14.3 percentage Q-on-Q and up by 69.1 percentage Y-o-Y. Our GNPA is at 2.9 percentage as on 31st March 2024.

The home loan business had a total book of INR1,510 crores, which is up by 6.7 percentage Q-on-Q and up by 37.8 percentage Y-o-Y. It operates from 65 branches and reported a profit of INR7.1 crores during this quarter.

Collection

Manappuram Finance Limited

May 24, 2024

Page 7 of 26

efficiency for the quarter was 98 percentage and GNPA at 2.4 percentage.

Loans to MSME and Allied was INR2,908 crores with a disbursement of INR310 crores. Collection efficiency is at 100 percentage and GNPA of 1.7 percentage versus 1.5 percentage. On lending to NBFCs, the book stands at INR989 crores with a disbursement of INR130 crores with an ROA of 5 percentage for this business.

The Board has declared an interim dividend of INR1 for this quarter. Our capital position is strong at 30.6 percentage CRAR and the consolidated net worth at INR11,548 crores and the book value of INR136 crores.

Thank you. Now we can go for the Q&A session.

Moderator: Thank you. Ladies and gentlemen. We will now begin the question and answer session. Our first question is from the line of Shubhranshu Mishra with PhilipCapital.

Shubhranshu Mishra: Given the fact that we have moved from the cash disbursement totally, and we are doing mostly disbursement via RTGS or NEFT, now this data becomes available to the bank as well to whom we are doing the disbursement. So, we are opening up those customer profiles to the banks as well. So could you think that there could be some attrition because of this. This is one.

Second is when we look at the non-online gold customers, the ticket size is fairly increasing so maybe online gold customers who are basically repeat customers where we are seeing the

Manappuram Finance Limited

May 24, 2024

Page 8 of 26

ticket size increase. But if we split that and we look at the

average ticket size of non -online gold customers, the ticket size is hovering at INR141,000 ballpark. So these are my two questions. There are a couple of data questions which I'll come back after these ones are answered.

V. P. Nandakumar: So, your questions are all about cash disbursements stopping at INR20,000. So we are fully compliant about that from the 8th of this month and we are disbursing loans of INR20,000 and above that only into the bank account or through online gold loan mode. We don't see any business impact because of that because, most of the customers have their bank accounts now, Jan -Dhan account or other accounts. And 80% of the customers who are regular, we have intimated them that for availing the loan, they should bring bank account details and they are complying with that. So, after that, we have seen an increase in the online gold loan. Now it stands at 63% and it is increasing daily.

Shubhranshu Mishra: And with that, will we not open up data to the banks? Can we see customer attrition because the banks will be able to see these transactions?

V. P. Nandakumar: We have been offering online gold loan for a long time and we don't see customer poaching by the banks. Because there is a high degree of customer loyalty. So we see a reasonably good growth even after implementation of this.

Shubhranshu Mishra: Second question, sir, on the non -online gold average ticket sale.

Manappuram Finance Limited
May 24, 2024

Page 9 of 26

V. P. Nandakumar: See the non -online gold loans are below INR20,000. So, for such customers, we can disburse cash.

Shubhranshu Mishra: No sir, what I meant is that the ticket size is not increasing over the last couple of quarters, I think that is around INR41,000. So, what is the reason for that?

V. P. Nandakumar: See, the customers borrow money if they are confident of repayments. The customers have in mind while taking a loan that they have to repay the loan within a period of maximum of 100 days. So, with increase in price, we can't expect growth in the ticket size. So gradually, every year, we will see increase in ticket size by around INR10,000, INR15,000 average ticket size. So that will continue.

Shubhranshu Mishra: And towards the data point. One is what is the accrued interest as of

fourth quarter and last quarter gone by and what is the AUM split of less than INR1 lakh to INR5 lakh and more than INR5 lakh?

A. L. Bindu: Interest accrued is 5.3 percentage as on 31st of March.

V.P. Nandakumar: Upto INR1 lakh 44 percentage and from INR1 lakh to INR3 lakh is 34 percentage, balance above INR3 lakh is 22 percentage.

Shubhranshu Mishra: What was the accrued interest last quarter?

A. L. Bindu: It was 4.5%.

Shubhranshu Mishra: And auction this quarter?

A. L. Bindu: INR76 crores.

Manappuram Finance Limited
May 24, 2024

Page 10 of 26

Shubhranshu Mishra: Sure. Thank you. I will come back in the queue.

Moderator: Thank you. Our next question is from the line of Rajiv Mehta with Yes Securities. Please go ahead.

Rajiv Mehta: Hi, good evening. Congrats on good quarter. Sir, firstly on this impact on restrictions on cash disbursements while you spoke about not seeing any long business impact, but since when the

restriction has come , what has been the impact on a daily disbursement run rate? How much our daily disbursement run rate has fallen by? And in the long er term wouldn't we see any structural customer loss customers going back to informal players if some of the customers are not willing to share the bank details?

V.P. Nandakumar: So, suddenly we see the growth improving after the introduction of these chan ges. The reason could be , we assume , many other players in the NBFC industry , particularly the small ones , may not be ready with this online gold loan whereas during the last five years we have made that route very robust and around 60% of the customers even before that have become online gold loan customers. So, maybe because of that , after the implementation, the growth has only improved. And long term, I don't see any challenge because of that because this is applicable to all the regulated entities. So, we don't lose any level playing field because of that . So, we don't expect any negative fallout because of implementation of the new regulation with regard to cash disbursement.

Manappuram Finance Limited
May 24, 2024

Page 11 of 26

Rajiv Mehta: Got it. And now sir , the impact of higher gold price. So gold prices have gone up significantly. So how do you see this benefiting our growth in the next two quarters. See if you look at our LTV, the LTVs have fallen to 58%. So , if you can tell us your expectation , where would the LTV settle in the next one, two qua rters? Would it go back to 65%, 63% because of customers availing the benefit of higher gold prices. Can you comment on the positive effect of higher gold prices in your growth?

V.P. Nandakumar: So, I consider that to be more or less benign and there will be a slight growth there. Because as I mentioned earlier , the customer who pledges has always thought about this cash flow. The average life as I mentioned remains around 100 days. In spite of the gold price going up, going down , this remains like that.

So they will not simply avail because of the gold price has gone up . Normally a customer comes with multiple ornaments. If they want a smaller amount , they come with one bangle. If they want more , they bring two bangles or some other smaller ornaments.

So, when the gold price goes up, they bring lesser quantity of gold. They don't simply avail a bigger amount simply because of that. That is why when the gold price goes up, the average LTV goes down, but only around 10% of the customers avail that full duration of one year. For them , sometimes for renewal that also for around 5%, 6% temporarily they may

Manappuram Finance Limited
May 24, 2024

Page 12 of 26

take the advantage of higher LTV because of the gold price growth. So , the impact is very minimal.

Rajiv Meht a: Okay. And just one last question on the employee expenses. Sir, in the standalone financials your employee expenses has been trending

flat over the last four quarters, five quarters while we see strong growth being reported in the non -gold business side . So can you explain this ? Has there been a reduction in employee count and if yes in which business the employee count is going down. And how should we look at

employee number growing from here on and the employee cost growth in FY '25?

V.P. Nandakumar: Why it is increasing in the non -gold business? See, non -gold business is co -located with the gold loan business.

Various opportunities are there, but we extended non -gold business to the extent of around 20% only. So , our expansion of distribution of non -gold products through th e gold loan branches is very high, but we are taking a very careful step in expanding that, understanding the asset quality, etc in t hese places.

As I said, we are expanding the non -gold business across the gold loan branches. That is the reason why the headcount is increasing in non -gold business. In gold loan business, there had been some rationalization , wherever we have seen number of employees hire , etc. Employee rationalization is also because of more online gold loan activity . So the employee count in gold loan segment has come down while in non-gold, we are slowly expanding our footprints.

Manappuram Finance Limited

May 24, 2024

Page 13 of 26

Rajiv Mehta: Got it sir. Thank you and best of luck.

Moderator: Thank you. Our next question is from the line of Shreepal Doshi with Equiru s. Please go ahead.

Shreepal Doshi: Hi, sir. Good evening and thank you for giving me the opportunity. Sir my question was pertaining to one of the key players in the landscape being impacted by the regulator 's action. But can you quantify the benefit to us in terms of customer addition and tonnage, because optically, it seems like there has not been any significant benefit on both these fronts?

V.P. Nandakumar: Yes, one of the gold loan players and their business is impacted but we haven't much benefited out of that but we are getting a reasonable growth even before they were impacted, and that continues. So , we expect a robust growth in gold loan also in the coming quarters.

Shreepal Doshi: Second question was if you could give us some color on the online customer split with respect to below INR1 lakh...

V.P. Nandakumar: Online customers, the profile is the same. Profile is the same because the advantage of gold loan is that they have to visit the branch only once . Then they can transact this account , more or less like an out of branch facility. But if they have some amount, they can remit to that and whenever they require money, they can take it back from anywhere in the world, 24 hours.

So, on seeing this facility, for example, INR10,000 gold loan, some body takes INR10,000. Then after 20 days, he can remit

Manappuram Finance Limited

May 24, 2024

Page 14 of 26

INR2,000. Then whenever he has the requirement, he can avail whatever is the gap there as per the LTV on that day. So this advantage is there. Because of this advantage more and more people are using t hat. It is not because the profile of the customer is changing. It is because of the advantage of the product.

We have also introduced another scheme. If some customer is unable to come to the branch because of any reason, whereas he is in need of money, we deliver that service at their doorstep. We go there, do all the KYC process, all the processes with regard to onboarding. Then the disbursals are done online. All these are done. So , it has become a very

attractive product. So, the popularity is increasing and that is working seamless as far as we are concerned.

Shreepal Doshi: Got it sir, but my question was, like how we gave the split for below INR1 lakh, INR1 lakh to INR3 lakh and above INR3 lakh for the overall gold loan book. Could we provide the same for this online gold loan book?

V.P. Nan

dakumar: Yes. It is irrespective of the amount. Whatever is the amount, even for INR10,000. Many customers are availing online even though the cash disbursements are possible. Because it is like a credit card. Only when they avail, which can be done from anywhere, even for merchandise, it's very convenient. So, whatever amount they want, that's immaterial here.

Shreepal Doshi: Okay. I'll take that number maybe offline. So just the last question on the MFI front. What is the PAR zero for this

Manappuram Finance Limited

May 24, 2024

Page 15 of 26

particular business that we are seeing over the last two, three, quarters has been trending, the PAR zero number for the MFI business? And just one more observation here, the credit cost continues to be elevated here, even the GNPA's are elevated. So could you just throw some light on this?

V.P. Nandakumar: We have some problems in some states like Punjab, Rajasthan, etc. So, there we have reinforced collection machinery. And we hope the collections will improve going forward.

Shreepal Doshi: Okay. So the PAR number are elevated because of these 2 states particularly or across states for our MFI exposure?

V.P. Nandakumar: PAR number is slightly elevated, that's why there was some impact on the profitability. But we have strengthened the collection machinery and it has started working. And hopefully, going forward it will improve.

Moderator: Our next question is from the line Pratik Chheda with Guardian Capital Partners.

Pratik Chheda: I just want to continue on the asset quality point. Even if I see the MSME segment, the GNPA's have risen from around 1.5% in last year to around 2.8% despite the more than 50% AUM increase. And you've mentioned that most of it is looking like it is coming from a digital PL. First of all, could you just help us quantify what the GNPA's are there in the digital personal loan segment?

Secondly, is there any strategy -- is there any change in strategy that you're looking at, given that this segment is

Manappuram Finance Limited

May 24, 2024

Page 16 of 26

looking fairly volatile. And with a yield of around 26% in the unsecured PL, is the segment currently profitable?

V.P. Nandakumar: See the unsecured PL or the digital pure personal loan, that the disbursements have been brought down by tightening the underwriting process there. So, the disbursements are low. So, it is coming from the old accounts. In MSME, there was some delay in collection on account of these elections happening, etc. But last quarter...

A. L. Bindu: Yes, it was 1.5%, increased to 1.7%. And if you see the digital personal loan in the overall ratio mix, it has come down to 9 percentage. Because of the higher delinquency, we have tightened the underwriting. So, the proportion also has come down in the digital PL.

Pratik Chheda: So if I just include that 9% in the base and take that 1.1%

differential GNPA y our digital personal loan GNPA is around 12%. Is the math around looks fine?

A. L. Bindu: Yes.

V.P. Nandakumar: The digital personal loan is very less

A. L. Bindu: It is very small only. In the total AUM, it is only 1 percentage of even in the stand -alone book. In the consol book, it is 0.7%.

Moderator: Our next question is from the line of Bunty Chawla with IDBI.

Bunty Chawla: My questions have been answered just fine. So you have achieved around 18.7% AUM growth on a consolidation basis. What will be the cost FY '25 basis between AUM for gold loan and for the overall?

Manappuram Finance Limited

May 24, 2024

Page 17 of 26

V.P. Nandakumar: Well, what we have been talking about is a CAGR of 20% and ROE of 20%. We delivered at around nearly 19% in the recent consol ROE. So we hope it would continue. So , from what it appears now , the share of our gold loan will improve.

Bunty Chawla: So, in overall basis you are saying gold loan percentage will improve.

V. P. Nandakumar: At least that is the trend we see and talking about the standby, it's a similar, CAGR of 20 %.

Bunty Chawla: And sir, secondly, we have seen on a stand -alone basis, there has been an increase in the cost of borrowing . How is one to see now for the FY '25 and significant margins?

A. L. Bindu: Yes, after this risk weight increase , every rollover we are increasing our b orrowing. And to have diversification and better liability profile, we did the Dollar Bond, but it comes at a slightly higher cost. So , there will be an increase in the cost of it, but at the same time, it is going on gold loan at 22% yield, and that is the reason it will not impact the profitability.

Bunty Chawla: Okay. So , can we say the margins should sustain at this level for next year as well?

V. P. Nandakumar: There could be a slight dip in the net interest margin, but it will be overcome because of better growth.

Bunty Chawla: Specifically for gold loan, what is the guidance for the next year?

Manappuram Finance Limited

May 24, 2024

Page 18 of 26

Moderator: I'm sorry to interrupt you. We have lost the line of the management. Please stay connected. Ladies and gentlemen, we have the management line connected with us. Bunty, if you could please ask your question once again.

Bunty Chawla: Sir, lastly, as you said there, there could be an inch up in the gold loan. So any specific guidance for the gold loan AUM growth, are we revising it?

Management : Marginal decline can be expected. But we expect that to be compensated with a better growth so our objective of reporting ROE of 20% will not be affected with this. We are hopeful of maintaining the same ROE during the current year also.

Moderator: Our next question is from the line of D haval from Mumbai DSP.

Dhaval: Sir, just one question on growth that I think I missed your combination on growth expecting for next year, did you mention that next year, you expect gold loan growth to be higher than overall loan growth and overall growth is 20% is that? I just want to confirm that.

V. P. Nandakumar: So, there's a follow -up question of the previous

question on price. Because the audibility is a little weak. Is it the same?

Dhaval: Is my voice clear now, sir?

V. P. Nandakumar: Yes.

Manappuram Finance Limited

May 24, 2024

Page 19 of 26

Dhaval: See what I said is, there is a slight shrinkage as far as revenue is concerned. But that is not a cause of concern for us because we expect that will be compensated with a better growth. So we are expecting to report an ROE of 20% next year also.

Dhaval: Okay. So basically, growth will be higher than 20% in gold loan. Is that what you're trying to understand?

V. P. Nandakumar: You see judging from the current trends, we expect robust growth in roll-on. That could be better than last year.

The other segments are also expected to grow healthy.

Dhaval: Okay. And sir, just one last thing in terms of credit cost for the MFI business and overall on a consolidated basis, could you give some perspective of credit cost that you expect in the MFI business sense for buyback?

V. P. Nandakumar: So, the collection has been strengthened and we have seen an improvement in collection, yes, week-on-week. So, we expect the credit cost going down in the coming quarters.

Dhaval: From four to 11. From clear basis.

V. P. Nandakumar: So, it is going down already. It is improving on a regular basis.

Moderator: Our next question is from the line of Pratik Kothari with Unique PMS. Please go ahead.

Pratik Kothari: First question. Given this change below 20,000, no more cash disbursement. Any change in behaviour from customers? I mean, they were talking between that they may go back to money lenders? Anything that you can highlight?

Manappuram Finance Limited

May 24, 2024

Page 20 of 26

V. P. Nandakumar: So see, please see the growth

is not affected. In fact, the growth has only improved, we believe that it will pass and the NBFC space is not being impacted. We don't see the new customers or total disbursements coming down. It has only improved.

Pratik Kothari: Correct. And sir, how much was the turnaround time changed now from earlier?

V. P. Nandakumar: See even before this, 60% of loan disbursements were through online gold loan. So, it is improving regularly. And we don't see much of a change.

Pratik Kothari: Correct. So the auction surplus which we wanted to bring down and expansion of branch network?

V. P. Nandakumar: So, the Rs 48 crore was the accrual over the last 15 years. So we have employed many other measures including different agencies etc., for repayment and that is the end result. It has been brought down now to around INR14 crores from INR48 crores and we have informed RBI about that and we hope that we'll get permission to open more branches with this. We continue our efforts and we are able to reduce by around INR2 crores every quarter.

Pratik Kothari: And my last question on MFI. Can you highlight what are the issues that we are seeing in Punjab and Rajasthan is affecting our profitability. And I believe this is also affecting our growth because at the beginning of the year, we had expected much faster growth, which is not coming. So is it specific to Punjab and Rajasthan Or is this something else?

V. P. Nandakumar: And so now you'll see a considerable improvement in the business in the coming quarters as well as improvement in the collection efficiency. We are seeing that now.

Moderator: Thank you. Our next question is from the line of Rohit Shah with Ladderup Wealth Management. Please go ahead.

Rohit Shah: Hi, Thank you for the opportunity. I think all my questions have been answered. Thank you.

Moderator: Thank you. Our next question comes from the line of Gaurav from Capital Farming Consultants. Please go ahead.

Gaurav: I have 2 questions. First is in terms of our capital allocation strategy. Manappuram Finance is a parent entity. Now since we are in a way, bringing the IPO of Ashirvad Microfinance. So capital department of Ashirvad Microfinance will be funded so the money that you raise by the IPO and whatever way in that Ashirvad will require? So now considering in Manappuram Finance on a quarterly basis, earnings were around on the back, INR400 crores to INR425 crores, which has been the trend for the last 3, 4 quarters.

That translates into somewhere around INR1,600 crores to INR1,700 crores annually right? And our capital adequacy is currently approximately 30%, 31%. So to improve our return on equity, what would be the capital allocation strategy of management? Is it in terms of giving more money back to shareholders, doing buybacks because growth I don't think so we are targeting around 20% to 25% annual growth in the

Manappuram Finance Limited

May 24, 2024

stand-alone Manappuram Finance. That is the first question on the capital allocation strategy.

Second thing, Looking at the shareholding pattern of Ashirvad Microfinance, which has been disclosed via the papers, which have been filed with CD, it has been noticed that the promoters of Manappuram Finance got an opportunity to get shares in Ashirvad Microfinance in their own names, with the names of the Manappuram Finance. So in terms of corporate governance practices that retail shareholders or the institutional shareholders haven't got any opportunity to participate in having shares of Ashirvad Microfinance, whereas the existing promoter of Manappuram Finance got an opportunity to get share at a dirt cheap price in Ashirvad Microfinance, which will get valued at a much higher price than the company at least. These are my 2 questions for which I would expect an answer from

the management.

V. P. Nandakumar: So, the capital allocation strategy policy is designed in favour of secured lending. So for us, the only unsecured lending is microfinance. So for unsecured lending, our total capital allocation plan is around 10%. So, we have done that. And the company has a capital adequacy of around 24% now. See, then we are preparing ourselves for the IPO and with that IPO the company will be able to carry out its operations. The second thing is the promoters of Manappuram Finance are not participating in any pre-IPO capital investment. Regarding institutional investors, the decisions will be taken at appropriate time.

Manappuram Finance Limited

May 24, 2024

Gaurav: Sorry, sir, but I think the shareholding pattern, which has been disclosed as part of the DRHP. In that, it is clearly seen that at the time when the Manappuram Finance acquired the shares of Asirvad Microfinance in various rounds. At that point of time, the promoters of Manappuram Finance also acquired the shares of Asirvad Microfinance. I'm not saying right now in the pre-IPO round, but in erstwhile rounds.

Manappuram Finance was acquiring the shares of Asirvad family, promoters of Manappuram also acquired shares of Asirvad that was the question. And in terms of the capital allocation, I was talking about at the parent level because at parent level, you will be getting a lot of positive cash flow, I would say, in terms of profitability at the Manappuram level. At that point of time, how you are planning to invest that money judiciously so that the return on equity is improved, which is hovering at 15% to 16% now. Any plan to take it to 20% or more than 20% kind of levels? Those ones were specifically the questions.

V. P. Nandakumar: See, the promoters of Manappuram Finance parent company acquired out of the shares abdicated by the original shareholders. So whatever is the shortfall at the time of this rights issue has been acquired by Manappuram promoters. The second thing, it's a higher capital adequacy. And as you see, as a shortage of effectively using the capital, so we would leverage the success etc. So, what is most important for the shareholder is good ROE, 20% ROE on a sustainable basis, is it not a good ROE? Then how to use the capital? We are Manappuram Finance Limited
May 24, 2024

expanding to non-gold secured lending also, MSME, vehicle etc. As I said, these businesses are allocated where we have around 40,000 customers visiting our office, 40,000 to 50,000 customers visiting our office.

So, distributing these loan products also is an advantage for us as our branches are visited by a large number of customers. And because of their needs only, we have expanded this business laterally. So, as of now, our 20% of the gold loan branches are only utilized for the distribution of these non-gold secured products. So, we are expanding our footprint to other branches also slowly. So, we hope we will be able to improve upon the capital utilizers. Going forward at the same time, as you said, we are giving back also by improving the dividend quarter-on-quarter.

Moderator: Thank you. Ladies and gentlemen, we take our next question from the line of Jigar Jani with B&K Securities. Please go ahead.

Jigar Jani: One data-based question. In the Vehicle Finance, what would be your collection efficiency?

V. P. Nandakumar: The GNPA there is around 2.9% and we will be able to maintain that below 3% going forward also. The collection efficiency is 100 percentage in certain regions. And for us, we have given a lot of emphasis for CRM. And around 77% of these are collected through the NACH. And balance 23% only we need to employ the field staff for collection. We have strengthened that also now. So, we hope we can improve upon
Manappuram Finance Limited
May 24, 2024

the asset quality. That is what we are trying to do. Even now if we look at our asset quality is better than the peers.

Jigar Jani: The other income in the quarter was significantly lower, almost 24 million, if you look at Q3 it was about 176 million and even last year it was 130 million. The one-offs captured in this other line on the consolidated numbers?

A. L. Bindu: So, the bad debt recovered is what we have included in that. So, depending on the write-off, immediate quarters we will get a higher amount of collection. That is what we are saying.

Jigar Jani: Okay. And lastly, just circling on the credit consolidated basis. Any guidance on that one?

A. L. Bindu: Not for this quarter, like all of higher credit cost, micro-finance business it is almost 1.8 million but once we improve the collections because the majority of the credit cost is coming from microfinance only in the standalone it is only INR28 crores. So once we improve the microfinance collection, this will come down where we were talking about in 1.5% is credit cost once we improve the collection efficiency, this will be in similar range.

Moderator: Thank you. Ladies and gentlemen, we have reached the end of the question-and-answer session. I now hand the conference over to the management for the closing remarks. Please go ahead.

V. P. Nandakumar: Thank you all the participants. If there are further queries or any clarification of our statements, so we are
Manappuram Finance Limited
May 24, 2024

Page 26 of 26

always available. We welcome you for any queries on this result. Thank you.

Moderator: Thank you. The conference of Manappuram Finance has now concluded. Thank you for your participation. You may now disconnect your lines.

Call: Aug 2024

Ref: Sec/SE/ 121/2024 -25
20.08.2024

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip Code: 531213 National Stock Exchange of India
Limited
5th Floor, Exchange Plaza
Bandra (East)
Mumbai – 400 051
Scrip Code: MANAPPURAM

Dear Madam/Sir

Sub: Concall Transcript of the Q 1FY25 Results Conference Call held on August 13 ,2024
With reference to the above, kindly note that the transcript of Q 1 results Conference Call held on August 13,2024 has been uploaded on the website of the Company in the below Link .

<https://www.manappuram.com/investor -call>

We request you to take the same on record.
Thanking You.

For Manappuram Finance Limited

Manoj Kumar V R
Company Secretary

Page 1 of 13

"Manappuram Finance Limited
Q1 FY '25 Earnings Conference Call "
August 13, 202 4

MANAGEMENT : MR. V P NANDAKUMAR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – MANAPPURAM FINANCE
LIMITED

DR. SUMIT HA NANDAN – EXECUTIVE DIRECTOR –
MANAPPURAM FINANCE LIMITED

MS. BINDU A.L. – CHIEF FINANCIAL OFFICER –
MANAPPURAM FINANCE LIMITED

MR. RAVEE NDRA BABU – MANAGING DIRECTOR ,
ASIRVAD MICRO FINANCE

MR. RAJESH NAMBOODIRIPAD – CHIEF FINANCIAL
OFFICER – ASIRVAD MICROFINANCE

MR. KAMAL PARMAR – HEAD, VEHICLE AND
EQUIPMENT FINANCE – MANAPPURAM FINANCE
LIMITED

MR. SUVEEN P.S. – CHIEF EXECUTIVE OFFICER –
MANNAPURAM HOME FINANCE

MR. ROBIN KARUVEL Y – CHIEF FINANCIAL OFFICER –
MANNAPURAM HOME FINANCE

MR. BASAVARAJ SHETTY – SENIOR VICE PRESIDENT
AND HEAD IR - ASIRVAD MICROFINANCE

MODERATOR : MR. SANKET CHHEDA -- DAM CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '25 Earnings Conference Call of Manappuram Finance hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sanket Chheda from DAM Capital. Thank you, and over to you.

Sanket Chheda : A very warm welcome to all of you to Manappuram's Q1 FY '25 Conference Call . We have with us the entire management team today, starting with V.P. Nandakumar, who is MD and CEO; Sumitha Nandan, who is ED; Bindu A. L ., who is CFO; Mr. Raveendra Babu, who is MD of Asirvad Microfinance; Rajesh Namboodiripad, CFO of Asirvad MFI, Basavaraj Shetty, Senior VP and Head IR; Kamal Parmar, Head of Vehicle and Equipment Finance; Suveen, who is CEO of Manappuram Home Finance; and Robin Karuvely, who is a CFO of Manappuram Home Finance.

Without further ado, I'll hand the call over to Mr. V.P. Nandakumar for his opening remarks.

We will follow that with question and answers. Over to you, sir.

V.P. Nandakumar : Thank you. Good evening, ladies and gentlemen. It is my pleasure to welcome you all to this conference to discuss the first quarter FY '25 financials. Amid global uncertainties and geopolitical conflicts, our country remains a standout poised to achieve a sustained real GDP growth rate of 7%. Against this backdrop, I present our Q1 financial results.

At a macro level, forward -looking economic agenda and political stability create a conducive environment for building Viksit Bharat by 2047. Several initiatives outlined in the union budget are expected to have a multiplier effect on the economy. The affordable housing scheme , incentives for first -time employees , measures to enhance skills and student' s internships in the top companies will all boost employment and income, leading to increased job creation and sustained aggregate demand.

Despite a slowdown in economic activity due to general elections during the quarter, our company achieved a substantial growth in both AUM and profit. I'm pleased to report a net profit of INR557 crores, an improvement of 11.7% year -on-year, driven mainly by the profitability in our gold loan. The stand -alone AUM stands at INR31,035 crores, growing by 20.6% year -on-year. With a consolidated AUM of INR44,932 crores , it is an increase of 21% over the same quarter last year. Our gold AUM reached INR23,647 crores, an improvement of 14.8% over the same quarter last year and 10% sequentially.

You may recall that I have been promising just this kind of a growth in our gold loan for full year. Our gold holdings increased during the quarter, despite heightened competition. As you know, the union budget slashed the import duty on gold from 15% to 6 %. As a result, there is an expectation that domestic gold prices may see a moderation leading to higher retail sales . Though this does not have any direct correlation with our business, an increase in volume of gold with households would be positive for our business since gold loans are the go -to sources for people to meet their emergency financial requirements.

Manappuram Finance Limited
August 13, 2024

Coming to the non -gold segments, our microfinance subsidiary, Asirvad, posted an AUM of INR12,310 crores growth, showing a growth of 21% year -on-year, and a profit of 100 crore . As in previous quarters, our vehicle finance business continues to show the highest growth, recording 63.4% increase year -on-year with an AUM of INR4,541 cr

ores, followed by home

loans with an AUM of INR1,587 crores, recording 32% increase over the corresponding quarter of FY '24.

We are closely monitoring the affordable housing segment. It has significant potential. Our non -gold businesses now account for 47% of the total portfolio. It is true that there is an industry -wide trend of collection challenges in these sectors. We have not been immune to such challenges. But in our case, these are restricted to certain regions .

A close examination has shown that climate challenges, such as floods and heat waves affected the optimum function of establishments. And this in turn caused delay in repayments. We are taking all possible steps to identify the bottlenecks and increase collection efficiencies. Going forward, we also plan to focus on secured lending in the non-gold verticals. Overall, we are well capitalized as per the industry norms with an asset quality in the stand -alone book contained below 2% and consolidated ROA of 4.5% for the quarter. For a more comprehensive review of

our financial performance, I now hand the floor to CFO, which is Bindu A. L.

Bindu A. L : Thank you, sir. Good evening, ladies and gentlemen. Thank you for joining us for the discussion on the financials for the quarter ended June '24. Restrictions on disclosing Asirvad financial numbers continue as the IPO is in progress. Coming to the performance, our consolidated AUM for Q1 FY 2025 was INR44,932 crores, representing 6.8% sequential growth and 21.2% Y-o-Y growth. This is with a strong growth in gold loan book. Consolidated profit after tax was INR556 crores, which was down by 1.2% sequentially and up by 11.7% Y-o-Y. ROE on a consolidated basis was 19 percentage and ROA 4.5%. Standalone GNPA was at 1.96% versus 1.93% during the previous quarter.

With regard to liquidity, cash and cash equivalents was at INR5,383 crores on a consolidated basis and undrawn bank line was INR3,530 crores as on 30th September. Our CP exposure is only 3% in the standalone entity. Borrowing cost has gone up by 18 basis points. As you may be aware, we have raised US \$300 million from dollar bonds in May '24 for business growth. The gold loan AUM stands at INR23,647 crores, up by 9.11% Q-on-Q and 14.8% Y-o-Y. During the quarter, we were able to add 4.21 lakh new customers and the number of outstanding customers has gone up to 24.5 lakhs from 23.76 lakhs. Online gold loan book stands at 70% of total AUM. And standalone profit after tax is INR440 crores, up by 2.9% sequentially and up by 15.7% Y-o-Y.

For Asirvad, our Microfinance subsidiary, the AUM stands at INR12,310 crores, including gold loan AUM of INR1,016 crores; Q-on-Q growth up by 3.6% and 21.4% Y-o-Y. PAT was INR100 crores versus INR102 crores in Q4 FY '24, which is marginally down 1.8% and Y-o-Y 10%. Net NPA stands at 1.36%, and the CRAR currently stands at 21.81%. Coming to Vehicle Finance, we have reported an AUM of INR4,541 crores, which is up by 10.5% Q-on-Q and 63.4% Y-o-Y. The GNPA stands at 3.6% and the AUM comprises of commercial vehicles at 56%, passenger Manappuram Finance Limited
August 13, 2024

Page 4 of 13

vehicles at 28% and 2-wheelers 16% of total vehicle finance. The home loan business comprises INR1,587 crores, which is up by 5.2% Q-on-Q and up by 32% Y-o-Y. This subsidiary reported a profit of INR 6 crores during the quarter, and the GNPA at 2.88%. Home finance AUM comprises of home loan of 72% and land book of 28%.

Loans to MSME and Allied at INR2,946 crores with a disbursement of INR311 crores during Q1; GNPA 2.7%, excluding digital personal loan. And this portfolio is largely secured. On lending AUM stands at INR916 crores with a disbursement of INR95 crores and the ROA on this book is around 3.6%. Considering the consistent earnings, Board has declared an interim dividend of INR 1 for this quarter. Our capital position is strong at a CRAR of 29.6%. Net

worth

was at INR12,020 crores and the book value is INR142.02. Thanks. Now we can go for the Q&A session.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Adarsh from Enam Holdings. Please go ahead, sir.

Adarsh: Congrats on the good numbers. I have two questions. The first is on the gold book. After a very long time in the last few quarters, we are seeing some decent customer additions. So just wanted to understand, what have you done for this trend to change the customer growth after many years. So that and have you benefited from the ban on a competitor? And the second question is, many MFIs have reported their first quarter numbers, things seem quite tough for the sector now. Our Asirvad numbers seem okay. So I just wanted to understand what are you seeing on the ground on the MFI business?

V.P. Nandakumar: Okay. Adarsh, about gold loan, what has happened is that demand from our target audience went down. And after that, it started coming, that's why the number of customers also has increased. So we have not done anything different from whatever we have been doing. But the demand has gone up. Our average ticket size remains around INR70,000 to INR75,000. From that class of customers, the demand started coming in. The ban on competition, I don't think the effect is significant. Because even if it is there, it is getting distributed to so many players. And many of these are going to banks. Basically, the customer requirement has gone up. The demand for working capital, etcetera has gone up. About Asirvad, we are in the IPO and DRHP stage, but in the sector, yes, what you have said is right. There are some challenges in collections because of farmer agitation in Punjab, general election, etc. And connected with that, there were some rumors spread about non-waivers. More than these two, because of the climatic conditions such as heatwaves, that has led to some of the establishments to close for so many hours of our business, that has led to the decrease in collection. As you know, the sector also has some cyclical challenges.

Moderator Ladies and gentlemen, please hold while we reconnect the management line.

Bindu A. L : Sir, you got the answer?

Adarsh: Yes, ma'am. Just a follow-up, sir. On our customer growth, what is your expectation now? Do you expect that, unlike the last three to five years when we didn't have customer growth, we would get back to having some 5%, 7% customer growth?

Manappuram Finance Limited
August 13, 2024

Page 5 of 13

V.P. Nandakumar: It is slowly growing. So before COVID, we were growing at around 10%, 15%. Demonetization had some impact. Then after that, we have come back. So I have been maintaining that this year, we may grow 12% -15%. Judging from the current trend, we hope we may grow around 15% this year. There will be growth in the number of customers also.

Moderator: The next question is from the line of Piran Engineer from CLSA. Please go ahead Sir.

Piran Engineer: Congrats on the quarter. A few questions. Firstly, this INR20 crores exceptional item. Why have we added it to our profits instead of deducting? I didn't get that logic in the stand-alone financials?

Bindu A. L.: This fraud is on account of unauthorized access by our subsidiary employee. And as it is an outsourced vendor, we are in the process of recovering from the subsidiary as it is committed by the subsidiary. So, the loss is already factored in our financials over the years. And now this is coming as an income to the quarter financials.

Piran Engineer: This is like some insurance income?

V.P. Nandakumar: Consolidated, there is no difference.

Piran Engineer: So in the consol numbers, this INR20 crores is part of the opex?

Bindu A. L.: So this INR20 crores, in consol, this will be a group adjustment because in a subsidiary, this is

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booked as an expense, claims payable. And in the main entity, it is booked as a receivable. So in group adjustment and in the consol, only the tax impact. Because in Manappuram Finance the tax liability is there, but in the subsidiary, there's no tax. So in consol, no tax impact. In Standalone, it will be of INR 4 crores.

Piran Engineer: Sorry, Bindu, I'm confused. The employee has done a fraud of INR20 crores, but there is no impact on the financials?

Bindu A. L.: Yes. Because this person has done the adjustment from the interest income and it is already factored in the financials over these years.

V.P. Nandakumar: With regard to collection challenges, places like Punjab, Gujarat, Rajasthan, Madhya Pradesh, these are the main states. While saying so, I wish to add one more thing. In these places also, there are branches which are showing good collection. So all the branches in these states are not affected. Some places where heat wave conditions were more, or farmer agitation was more, there were issues. And spread of false news like farm loan waiver, loan waiver etc also had its impact. Now having seen that the rest of loan waiver and good monsoon etc, hopefully, as we have witnessed in the past, these may slowly come back.

Piran Engineer: Okay. And what is our portfolio in these states, sir?

V.P. Nandakumar: Whatever is disclosed in to the public domain only can be discussed because of our constraints of DR HP.

Manappuram Finance Limited
August 13, 2024

Page 6 of 13

Bindu A. L.: Sir, these are not our main concentration. But the states where we face these issues are not where we have big presence.

Piran Engineer: Okay. Okay. Fair enough. And lastly, on slide 18, you mentioned that you've taken some cost rationalization measures for the gold loan business. So can you just elaborate on that, please?

Bindu A. L.: It is for cost rationalization. What we were discussing as the gold loan brand set up or those costs are fixed. Additional business will help us to reduce the opex.

Moderator: The next question is from the line of Rajiv Mehta from Yes Securities. Please go ahead.

Rajiv Mehta: Congrats on good numbers. I've got a few questions on the gold loan business. So we are talking about demand having increased for gold loans. But when I look at the customer acquisition number or volume, it is 4.2 lakh customer acquired in Q1. And it is pretty similar to Q4. Q4 was 4.1 lakh customers that we had acquired. So it doesn't show up in volume. And the math behind the gold customers growing by 4% Q-on-Q. Because when we had a similar addition in the previous quarter, the customer base did not grow as much. So was it that auctions were zero? Or was it that releases of the gold pledged were much, much less in the quarter?

Bindu A. L.: So the life...

Management: Partly from the new customers, what we feel that 4.2 lakh is new customers number only. But apart from that existing customers have also started coming back. And on the auction side, last quarter only the auction is there. But that is not the exact reason for this. Existing customers also

come back for some...

Rajiv Mehta: Can you share that number? Can you share that number of old customers reactivating in this quarter? And what was it in the previous quarter?

V.P. Nandakumar: We will let you know because these details are not there. The new customer acquisition remains the same, but the customer base has gone up.

Rajiv Mehta: Understood. Understood. And this increase in ticket size, average ticket size by 6% Q-on-Q. Can you explain this? I mean, is it more driven by the LTV headroom being availed by some of the existing customers basis their incremental need for money. Because I also see LTV going up.

Or is it also driven by the fact that the customer mix has changed that you acquired slightly more higher value customers. What has kind of driven this increase in ticket size on Q-on-Q basis?

V.P. Nandakumar: The details we have..

Management: It is a mix of both. One is that in LTV, some percentage increases and also the offerings also. About two lakh customers, percentage has increased from 33% to 35% during this period. So it's a mix of both.

Rajiv Mehta: Okay. So which is why your net yields on the gold loan portfolio has also come down from 22.5% to 22.2%?

Bindu A. L : Yes, marginal.

Manappuram Finance Limited

August 13, 2024

Page 7 of 13

Management: Marginal decrease...

V.P. Nandakumar: In gold loan, the customers are coming, they are pledging gold – with the intention of redeeming within a month to three months. The average life of the loan is around 100 days. They don't simply pledge because the LTV is high, because they have a bunch of requirements. They come with the necessary quantity of gold just to have the loan of their requirement. They are very clear that this should be redeemed. They are getting more money on the same amount of gold but it's not a big attraction for them to for an increased borrowing. Why? Because they are sure that they would redeem it.

Rajiv Mehta: And lastly, sir, what can be the likely impact of one of your competitors coming back or restarting their operations?

V.P. Nandakumar: Yes, yes. Let them come back. See, earlier, the old players didn't have a level playing field. Still more than 65% of our loans fall in the informal sector. This informal sector transition will happen. It is the natural process of transition which is happening now. Then again, as I mentioned earlier, India is importing 1,000 tonnes of gold every year. That means people have more gold with them to avail loans at the time of their emergency requirements.

Rajiv Mehta: And sir, this customer acquisition trend and this existing customer reactivation trends, which were very good in Q1, are they continuing in July and August as well?

V.P. Nandakumar: Yes. See, there will be some seasonal changes, some seasons will this happen. For instance the harvest season or school reopening season will see increased demand. But compared to the same period last year, we see the demand is better.

Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: The first question is more of a data question. What was the gold loan disbursements in this quarter? And what proportion of those gold loan disbursements were top up loans?

V.P. Nandakumar: We don't have the details right now. So if you want, we can share it later.

Abhijit Tibrewal: Sure, sir. The second question, again, on gold loans was, sir, in the last question itself, you kind of referred to seasonality, which is typically there. So from what we understand, typically 4Q, 1Q -- 4Q and 1Q tend to be seasonally stronger quarters because of reasons that you yourself have explained multiple times on these earnings calls. Now 2Q, 3Q, I mean, just trying to understand, are we kind of heading into slower growth for the next two quarters before it kind of picks up again in 4Q?

V.P. Nandakumar: Yes, we feel like it will be slightly lower than the peak period which is over now. But still, the growth will be there.

Abhijit Tibrewal: Got it. Got it. And then just one last question on micro finance. So while we touched upon some states where problems are there and we kind of attributed it to a lot of things, Punjab farmer agitation, general elections, rumor about loan waivers, heat waves as well. So I mean there are MFIs who started acknowledging the problem of customer over leveraging that has happened.

Manappuram Finance Limited

August 13, 2024

Page 8 of 13

So what is our view on this problem of customer over leveraging, which could lead to more stress in the coming quarters? And two related questions on microfinance only.

I mean in terms of the asset quality stress credit

cost in micro finance, are we kind of done taking the hit? Or you think there are a couple of more quarters ahead? Because in this quarter also, we did an ERP transaction of almost INR200 crores in the microfinance business. So are we kind of going to be seeing that stress pan out over the next couple of quarters? Or do you think things will start improving from second quarter itself? And sir, lastly, if you can share that data on microfinance or you have started sharing about customers.

V.P. Nandakumar: We are in the DRHP stage. We have constraints in giving you all the numbers other than the published numbers. So the MFI industry has challenges and I am talking something generally, as we cannot disclose more in our case because of obvious reasons. So some states, the heat conditions, farm loss, etcetera, was high. And thereafter, the rumours of loan waiver, also contributed. Because of the heat wave also I am told the productivity loss happened. That is the challenge. And that is what is seen in the industry. As I said, these factors do not encompass the entire states like Punjab, Rajasthan, Madhya Pradesh, Gujarat, where some parts of the states are doing pretty well.

So these are where these issues have impacted. And these issues the industry has seen in the past. And after realizing that the rumours were false and also because of the monsoon coming, people will come and repay because this microfinance is helping them to manage their cash flow to meet some requirements. History shows that when the problems were there, the challenges were there, their repayments are affected, but still situation gets back to normal.

Then coming to our leverage, SROs guided us to ensure that our leverage is not promoted. They have said, yes, the maximum income per family to be kept at this thing and maximum lenders to be kept at this. And do you see that if you take our growth compared to some of the peers where the reports were already published, our growth was a little lower during the last quarter.

Abhijit Tibrewal: Got it, sir. And sir, just one last question for Bindu ma'am. But before that, sir, earlier during the call, you kind of guided for 15% gold loan growth this year and the same number for growth in customer acquisitions as well?

V.P. Nandakumar: Yes, somewhere around 15% plus percentage growth this year.

Abhijit Tibrewal: Okay. And sir, Bindu ma'am, now looking at where we are and the expectations that rate cuts might also start happening in the near future. How should we look at your borrowing costs going ahead?

Bindu A. L.: Borrowing cost, at this stage, it is continuing at a similar level only. So, I think we are also expecting rate reduction, let us see, I think in September.

Moderator: The next question is from the line of Gaurav from Capital Farming. Please go ahead.

Gaurav: I just have a question on Asirvad Microfinance. It has been observed that the provisioning for bad assets has been increasing consistently, right? And similarly, it has been observed with the Manappuram Finance Limited

August 13, 2024

Page 9 of 13

other microfinance listed entities as well. There has been a significant increase in the spread assets across the category. So what's your opinion as management on how far it can go? Is it the peak of the provisioning? Or there is still some room, which we can see in the coming quarters that this provision can increase from there onwards?

V.P. Nandakumar: Again I repeat because of the DRHP, we can not disclose beyond whatever is disclosed. But I'll tell you a few things, where Asirvad is better managed. We have an exposure of 10% of the total AUM. And then non-district, we have an exposure of more than 1% of AUM. The second thing, the gold loan also is coming to around 10% of the portfolio where you cannot expect, because that's why the regulation also has facilitated the non-gold lending that has been enhanced from

ced from

15% to 25%. So, we have 520 branches as disclosed earlier.

And that's doing pretty well, along with the gold loan segment. We hope because of the de-risking like this, the company will be able to perform better compared to the peers. It is spread across the country in terms of geographical concentration. Second, gold loan will definitely support. Asirvad is unique as well as risk management is concerned.

Gaurav: Yes. And my second question is on the other segments other than the gold loan, like we are into the affordable housing finance, commercial vehicle finance. Now we are also talking about lending to the MSME, which I think in the last couple of annual reports also we have been mentioning, right? But lending to these segments require different skill set in terms of the underwriting team, recovery team, right, and the entire infrastructure.

So how Manappuram management is bringing in the expertise on the board right from the ground level to the mid- and senior management level? How you are ramping up those teams so that what you are talking in the annual reports as well as the quarterly goals is actually getting implemented on the ground also. So your views on that, please?

V.P. Nandakumar: Whether it is micro finance, or MSME, these are especially people who are exclusive for that from top to bottom. Their underwriting requirement, these are all Secured loan, if you take the MSME, the average ticket size is around INR 5 lakhs, INR 6 lakhs. So these are used by small businesses -- is around 7% only. That means 92%, 93% is collected by nearly presenting the NASH or check. The balance 7% we are collecting. So around 5%, we have unsecured lending to MSMEs. These are all small ticket lending up to INR 3 lakhs, INR 4 lakhs. Now we have reduced that further. And we gradually we will reach 97%, 98% . So we have a team for each of these. Our business model is slightly different.

These businesses are colocated along with the gold loan business, even though done by separate teams. So when there is so much of footfall by simply presenting some banners, etcetera . And we are acquiring a majority of our customers direct from them or through them in their communities, etcetera , etcetera . This is a larger channelizing of customers. So that's why these customers have been with us for some time in gold loan. Now these are being done by a separate team who are really skilled in this regard.

Gaurav: Last question, if you allow me to ask. With respect to -- if it is not violating any guideline of Asirvad Microfinance listing. But there was some news that you have appointed a new CEO for Manappuram Finance Limited

August 13, 2024

Page 10 of 13

Asirvad Microfinance. And within a very short span of time, I think, CEO resigned. So isn't the IPO still getting delayed just because we do not have a CEO in place or is it something else?

V.P. Nandakumar: See, we have the MD in place. Yes. Just to support him, we appointed a CEO, who is a Mumbai based person. He has his family connections in Kerala. He thought of coming over here just to support his aging parents. Then he has health problems. His family is in Mumbai, they have challenges. So this plan didn't work out as the family challenges were there. That's the reason why he thought of going back to Mumbai. The company has MD, who is also the CEO.

Gaurav: Okay. Okay. But not having a regular CEO is not the reason of not going with the IPO listing. Because I think SEBI has given an approval, but there has been a significant delay in getting the company listed, right ?

V.P. Nandakumar: It is not because of that. There were other issues like the General election. Then the outcome of the election just after that, there were some uncertainty. So then everything has come back. Then we have started the road show. So this is how it is moving.

Moderator: The next question is from the line of Bunty Chawla

from IDBI.

Bunty Chawla: First one on clarity. Sorry, I missed that. Gold loan group guidance, have you revised to 15% for the year -- for full year FY '25?

V.P. Nandakumar: Yes. So from the current, we expect the gold will grow, beyond...

Bunty Chawla: Okay. So for overall consolidated AUM growth guidance will be now?

V.P. Nandakumar: 15%. The others will grow in a similar way, other non -gold like vehicles affordable housing, etcetera -- during the first quarter...

Bindu A. L : Okay. Okay. And a few data points. One auction during this quarter and as well as it seems to be higher write -offs we have taken in the MFI portfolio. So can you share both the data, auctions and write -offs in MFI?

V.P. Nandakumar: MFI, whatever it is, can not be disclosed. Gold loan auction amount INR12 crores.

Bunty Chawla: And one more, what we have observed during this quarter, non -gold portfolio, vehicle financing, MSME and standalone, there has been an increase in the gross NPA levels. Though I agree it's a seasonality, but if we compare on a Y -o-Y basis, there has been a huge rise in NPA. For example, MSME and personal loan, there has been almost doubling of the gross NPA numbers. Vehicle financing also on a Y-o-Y basis increased by 70, 80 bps. So any specific reason behind that? And how one should see next three quarters for these NPAs?

V.P. Nandakumar: The climatic conditions like heat wave affected the productivity of the people, the loss of working days has affected across all the sectors, particularly in the lower end of the pyramid. It doesn't mean that they will not pay ; just that there is delay in some payments. So as I mentioned, in MSME etcetera , we have around 5%, 6% unsecured loans.

Manappuram Finance Limited

August 13, 2024

Page 11 of 13

Bunty Chawla: So, can we say there should be a decline in NPA from Q2 onwards as these factors have been out of the picture now?

V.P. Nandakumar: Yes, yes, yes. Gradually, gradually. There will be some delay because the regular instalments plus old instalment need to be paid. So these are all genuine customers who have been paying promptly . The situation has changed -- they will come back slowly.

Bunty Chawla: And lastly, on the cost of borrowing, if we see it on a consolidated basis remains stable. But on a stand-alone basis, there has been an increase in the cost of borrowings. So how one should see the cost of borrowing? Can we say that this 9% should move to 9.3% for stand-alone as well?

And ultimately, what will be the margin impact then for us?

Bindu A. L.: See the cost of run depends on the source of borrowing. During the quarter, we have done -- the maturity is 3.3 years. And that money, we -- as a diversification process and the also helping us to grow the business. So that is the reason it came at a slightly higher cost. So that is the main reason for the increase in cost of borrowing during the quarter. So we are now expecting it to go to 9.3% on the stand-alone level, and we are hearing about possible rate cuts should help us, but we are not seeing much change. It is currently running at a similar level.

Bunty Chawla: Okay. So we can say that margins at least should remain stable now?

Bindu A. L.: Yes.

Moderator: The next question is from the line of Mohit Jain from Tara Capital Partners. Please go ahead.

Mohit Jain: I just wanted to know if you are looking at the different segments in which we are operating, the overall NPA has increased in all the segments apart from the MFI. Is it purely because of the fact that we have written off the portfolio?

V.P. Nandakumar: Yes. MFI, I cannot give you more details then saying that there were some challenges in some places, but we are spread across the country, North states have 10% -- more than 10% of AUM. No, district 1% of AUM. So this way we are spread across. But the other sector because of the heat waves and so many other con

ditions like farmer loan waiver, false messages such as farmer loan waiver -- general election, etcetera, has affected a loss in this. About rather MSME etcetera, it is because of the delay on account of the same reason. As I told you, yes, it is going to come down only because -- earlier, we have around 5% of unsecured portfolio in MSME. that is being reduced...

Mohit Jain: Is it principally like, obviously not asking for the figures, but principally, had we not written the portfolios in MFI? The NPA would have been slightly higher than what we have reported?

V.P. Nandakumar: MFI, whatever is there, it is shown. It is already there. It is write-off.

Management: INR71 crores of write-off.

Bindu A. L.: INR71 crores write-off.

V.P. Nandakumar: Whatever can be disclosed, INR71 crores write-off. It is already disclosed.

Manappuram Finance Limited

August 13, 2024

Page 12 of 13

Moderator: The next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: A lot of my questions have already been answered. So I just had like one question, like on a broad basis, like I think we're seeing good loan growth and maybe stable cost of borrowing. So what kind of like ROA will we target like for the full year, sir?

V.P. Nandakumar: So we are at ROA of 4.5%. So we are bringing down the opex premium gradually because of the growth in AUM. It could come down. In the next one year, we hope that it will go down further, so that there will be an improvement in ROA. We are targeting 5% ROA. It takes a few quarters to reach that level.

Darshil Jhaveri: So it's a 5% ROA by end of the year, right?

V.P. Nandakumar: It could take another one year -- four, five quarters.

Darshil Jhaveri: Okay. Okay. Fair enough, sir. And at this point -- yes, yes. Fair enough, sir. And sir, just wanted to know like at least I think on the consol level, there has been an increase in provisioning. So I just wanted to like pick your brain like so you're saying the GNPA will decrease, but then -- are you seeing structure? This might be more sticky than you might be more provisioning or something like how would you see the credit cost going forward?

V.P. Nandakumar: The stand-alone book, it will gradually come down because as I mentioned, because of the climatic situations and other situations, whatever has been told after the bans, losses, etcetera, etcetera. So we believe that it has picked up with and it should come down eventually.

Moderator: The next question is from the line of Shubhranshu Mishra from PhillipCapital.

Shubhranshu Mishra: The first question is on the auctions that we have done in gold loan, what is the quantum of that? And what is the gold price per gram that we had in the quarter? And when we look at the AUM split, what percentage of AUM is less than INR 1 lakh, INR 1 lakh to INR 3 lakh and more than INR3 lakhs in first quarter? And when we look at the growth, sir, you mentioned that this really has come from one of the competitors going on so not competing. So what is the organic growth that we have had in this particular quarter from our own sources? And if we have the split of South versus non-South, sir?

V.P. Nandakumar: See these micro details would be sent to you. But I can tell you one thing. This competition, one of the competitors among larger players have been banned for some time. They may come back. But as I told earlier also, when they come back, they will come with whatever guidelines have been issued by the regulator. Then we all will have level playing field.

So when somebody does something beyond that, we are losing level playing field. Even when they come back, we welcome that. We will all have the same level playing field. We don't have much to worry. But this is mainly due to the demand from our target audience is slowly showing improvement. It is slowly getting back to the pre -COVID level

now gradually. That is actually driving growth. . The other details, Mr. Mishra , we will share with you.
Manappuram Finance Limited
August 13, 2024

Page 13 of 13

Shubhramshu Mishra: Sir, if you can give me the auctions and the AUM split on the call, I'll come back for the rest, sir?

Bindu A. L : INR12 crores auction.

Management: Up to INR 1 lakh is 42%; INR 1 lakh to INR 2 lakh, 23%; above INR 2 lakh, 35 %.

Shubhramshu Mishra: You are not audible, sir. Say that again?

Management: Up to INR 1 lakh, 42%; INR 1 lakh to INR 2 lakh, 23%; above INR 2 lakh, 35 %.

Bindu A. L : The price between two quarters has gone up by 5%. It was INR6,275 as of 31st March. And as on June, it was INR6,625.

Shubhramshu Mishra: So from last quarter, the average has gone up by 5%?

Bindu A. L : Yes.

Moderator As there are no further questions, I would now like to hand the conference over to the management for the closing comments.

V.P. Nandakumar: So thank you so much for the active participation in our investor call. And anybody want that details about whatever can be disclosed, meaning Asirvad probably has limitation, other places, whatever can be disclosed, please feel free to ask, we are happy to share. Thank you.

Bindu A. L : Thank you.

Moderator: On behalf of Dam Capital Advisors Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

Ref: Sec/SE/ 213/2024 -25
11.11.2024

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Mumbai - 400001
Scrip Code: 531213 National Stock Exchange of India
Limited
5th Floor, Exchange Plaza
Bandra (East)
Mumbai – 400 051
Scrip Code: MANAPPURAM

Dear Madam/Sir

Sub: Concall Transcript of the Q 2FY25 Results Conference Call held on November 5 ,
2024

With reference to the above, kindly note that the transcript of Q 2 results Conference Call held on November 5, 2024 has been uploaded on the website of the Company in the below Link .

<https://www.manappuram.com/investor -call>

We request you to take the same on record.
Thanking You.

For Manappuram Finance Limited

Manoj Kumar V R
Company Secretary

Page 1 of 18

"Manappuram Finance Limited
Q2 FY'2 5 Earnings Conference Call "
November 05, 202 4

MANAGEMENT : MR. VP NANDAKUMAR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – MANAPPURAM FINANCE
LIMITED
DR. SUMIT HA NANDAN – EXECUTIVE DIRECTOR –
MANAPPURAM FINANCE LIMITED
MS. BINDU A.L. – CHIEF FINANCIAL OFFICER –
MANAPPURAM FINANCE LIMITED
MR. B.N RAVEE NDRA BABU – MANAGING DIRECTOR ,
ASIRVAD MICRO FINANCE – MANAPPURAM FINANCE
LIMITED
MR. RAJESH NAMBOODIRIPAD - CHIEF FINANCIAL
OFFICER - ASIRVAD MICROFINANCE LIMITED
MR. KAMAL PARMAR – HEAD, VEHICLE AND
EQUIPMENT FINANCE – MANAPPURAM FINANCE
LIMITED
MR. SUVEEN P.S. - CHIEF EXECUTIVE OFFICER -
MANAPPURAM HOME FINANCE
MR. ROBIN KARUVELY - CHIEF FINANCIAL OFFICER -
MANAPPURAM HOME FINANCE

Moderator: Ladies and gentlemen, good day and welcome to Manappuram Finance Q2 FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Abhijit Tibrewal from Motilal Oswal. Thank you and over to you, sir.

Abhijit Tibrewal: Thanks, Siddhant. Good evening, everyone. Thank you for joining the Q2 and H1 FY25 earnings conference call of Manappuram Finance. We have with us today the senior management team of Manappuram Finance and some of its subsidiaries represented by ; Mr. V.P. Nandakumar, MD and CEO ; Dr. Sumitha Nandan, ED; Ms. Bindu A.L., CFO ; Mr. B.N Ravendra Babu, MD, Asirvad Microfinance, Mr. Rajesh Namboodiripad, CFO, Asirvad Microfinance ; Mr. Kamal Parmar, Head of Vehicle and Equipment Finance ; Mr. Suveen P.S., CEO, Manappuram Home Finance and Mr. Robin Karuvely, CFO, Manappuram Home Finance.

Now I hand over the call to Mr. Nandakumar and other members of the senior management for their opening remarks, post which we will open the floor for an interactive Q&A. Thank you and over to you, sir.

V P Nandakumar: Thank you. Good evening, ladies and gentlemen. It is a pleasure to be with you as we present the financial results for the second quarter of FY25. I thank you all for joining us today and I trust you have had a bright and joyful Diwali.

This year, the geopolitical tensions have impacted the international markets, disrupted supply chains and increased the cost of essential goods worldwide. However, India shines through as a stable and growth-focused economy with projections for 7.2% real GDP growth in the current fiscal. Against this backdrop, our company has demonstrated resilience and adaptability.

I am pleased to report a net profit of INR572 crores in this quarter. Our consolidated assets under management was INR45,716 crores at the end of the quarter, achieving a growth of 17.4% year-on-year and 1.7% quarter-on-quarter.

I would like to touch on the recent RBI circular on 30th September 2024 to further streamline the practices on gold loan. Lenders have been instructed to review their policies and practices in this regard to identify gaps and implement corrective measures. We see these as good measures from the perspective of systemic stability and operational efficiency. The company is in the process of strengthening the loan-to-value monitoring, renewal of loans after due dates and monitoring end use of gold loans. We are working with industry associations to adopt uniform practices across the sector and accept full implementation within the timeline of three months as per the circular. Asirvad recorded an AUM of INR12,149 crores, representing 11 year-over-year growth as guided earlier, and as in the case of other players as well, Asirvad's profitability has been affected by the decline in collections from certain geographies, resulting in higher credit

Manappuram Finance Limited

November 05, 2024

costs. To address climate-related disruptions affecting certain regions where we have observed collection challenges, we have increased our collection efforts and are implementing advanced tracking systems to improve the recovery rates. These targeted efforts have already shown positive signs of increasing collection efficiency.

As reported earlier, RBI has directed our major subsidiary, Asirvad Microfinance to desist from disbursement from 22 October '24, pointing out deficiencies in pricing policy, assessment of income and debt of microfinance borrowers, the

impurity differences at the time of disbursement and auction, etc. While our interest rate was comparable, we have proactively decided to reduce the interest rate for the microfinance, which would be one of the lowest in the industry. We have also rectified all the deficiencies in our system to ensure correctly assessing the income of the borrowers, capturing and reporting of income and indebtedness of the borrowers from CICs etc. Asirvad has submitted the plan for compliance to RBI on 29th October 2024. We are hopeful of lifting the ban on disbursement at the earliest. These changes may create additional opportunities for prudent growth. Our vehicle finance business has an AUM of INR4,848 crores,

recording a 6.8% increase quarter over quarter, followed by home loans with AUM of INR1,691 crores, which is a 29.6% increase year over year.

Factors like above normal rates in many states such as ; Gujarat, Maharashtra, Kerala, Telangana, AP, West Bengal and the MP, rising price of essential necessities migrates having to send higher amounts to home from their workplaces, stagnant price trips and fewer trips due to reduced demand coupled with highly leveraged farmers and self-employed have resulted in even prompt paying customers defaulting for the first time. The impact is seen higher in rural areas, which accounts for a sizable portion of our portfolio. We expect the repayments to improve from Q4 onwards as green shoots of improvement are starting to show up in Q3

We recognise the crucial role of micro, small and medium enterprises play in driving economic growth and innovation. We aspire to offer secured credit lines to MSMEs to enhance their business. Also, in Q2 our AUM of secured MSME sectors is INR2,443 crores.

Thank you all for your continued support and interest. Our focus will be on fortifying our core goal on business continued growth on all our secured lending business as we see the opportunities created by India's economic resilience and the positive reforms. We remain dedicated to our vision of empowering customers and stakeholders alike through good and sustainable growth and innovation.

For a more comprehensive review of our financial performance, I now hand the floor to our CFO, Ms. Bindu A .L.

A. L. Bindu: Thank you, sir. Good evening, ladies and gentlemen. Thank you for joining us today. Our consolidated AUM for the quarter stood at INR45,716 crores representing 1.7% sequential growth and 17.4 percentage Y-o-Y growth. And the consolidated profit after tax was INR572.1 crores, which was an increase of 2.8 percentage Q-on-Q and 2 percentage Y-o-Y increase. ROE Manappuram Finance Limited
November 05, 2024

Page 4 of 18

on a consolidated basis was 18.6% and ROA was 4.4 percentage. Stand-alone GNPA as on 30th September at 2.42 percentage versus 1.96 percentage. Cash and cash equivalents at the end of the quarter, INR4,939 crores, and undrawn bank line was INR3,432 crores.

Our CP exposure is 2.2 percentage and the standalone borrowing cost has gone up by 8 basis points during the quarter. On gold loan business, which constitutes 53 percentage of consolidated AUM. The AUM stood at INR24,365 crores, up by 3% Q-on-Q and 17.1 percentage Y-o-Y. During the quarter, we were able to add 4.03 lakh new customers and the outstanding number of customers gone to 26.55 lakhs from 26 lakhs. The online gold loan book, 74% of the total gold loan book as on 30th September. And the standalone profit was INR475 crores, which is up by 7.8 percentage Q-on-Q and 13.1 percentage Y-o-Y.

Coming to microfinance business, the AUM stands at INR12,149 crores, including gold loan AUM of INR1,117 crores, down by 1.3 percentage Q-on-Q and up by 11 percentage Y-o-Y. PAT was INR75 crores versus INR100 crores in Q1 FY '25, this is down by 25 percentage sequentially and down by 36 percentage Y-o-Y, mainly due to higher credit cost. Net NPA at 1.9

9%, CRAR at 21.48 percentage.

Vehicle finance, the book at INR4,848 crores, which is 6.8 percentage Q-on-Q growth and 54 percentage Y-o-Y growth. Collection efficiency, 95% and GNPA slightly gone up during the quarter at 4.2%. And vehicle finance AUM comprises CV 49% and passenger vehicles 29 percentage, 2-wheeler 16 percentage and farm equipment is around 6 percentage of the total vehicle finance book.

Home loan, the book INR1,692 crores, Q-on-Q growth of 6.6 percentage and 29.6 percentage Y-o-Y growth. And the company reported a profit of INR6 crores during the quarter. GNPA at 3.28 percentage and the collection efficiency of 96 percentage.

Loan to MSME and allied activities stood at INR2,963 crores, and with the disbursement of INR373 crores during the quarter. GNPA at 3.8 percentage and the mix of secured book is increasing considering the higher collections secured book. Our on-lending AUM at INR816 crores. And during the quarter, the disbursement is INR78 crores.

The Board has declared an interim dividend of INR1 for the quarter. Capital position remained strong with a CRAR of 29.22 percentage and the consol net worth at INR12,529 crores and the book value of INR148.

Thanks. We can now go for the Q&A session.

Moderator: Thank you very much ma'am. Our first question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer : Congrats on the quarter. A few questions. Firstly, on Asirvad, what is the interest rate we are offering now? So you mentioned you have reduced it. So from what to what?

V P Nandakumar: So Asirvad is stopped from lending from 22nd of this month. But we have decided to reduce the rate. As we are not lending, we can't say that we are lending at this rate. But we have given the

assurance to RBI that our rate would be one of the lowest in the industry. And all of the requirements what was highlighted by the RBI has been fully complied. And we have submitted the report to RBI and we are expecting their inspection.

Piran Engineer : Okay. Okay. Fair enough. So also this sharp jump in the number of loan officers, Q-o-Q, you've added about 5,000. All that is essentially for collections, is it?

V P Nandakumar: Yes, yes. As you are aware, the sector faces challenges in particularly in certain geographies. So the collections -- the industry see a greater degree of the need of collection at the individual borrower's end, that is the industry scenario. So in this scenario, we need to increase. And we believe that all the companies, the sector itself is now very keenly organizing group level meetings which has been disbanded over the period -- after this COVID etcetera, etcetera. So anyway, everybody is encouraging. Yes. So for the time being, we need more people for collection.

Piran Engineer : Okay. So then when we put this together, NIMs will go down a bit, opex goes up, what sort of ROA are you planning for -- or in your business model, what sort of ROA do you have for Asirvad?

V P Nandakumar: See this -- when business was running at a net interest margin of 10% and making an ROA of over 4%. So then the recovery was over 99%, 99.5%. Now there is a change in the outlook of the lenders that has happened. And as the report said, for some lenders, there were as many as 15, 20 lenders. Now the SROs have taken the lead role in containing the total number of lenders, etcetera.

We'll go back to what was the scenario before liberalization that will bring down the credit cost, etcetera, to the previous level. At that level, we'll be able to reduce our opex because then the group level meetings, the -- collections at the group level meetings are re-established, that is what the industry is trying to do.

The opex will come down because the loan officers -- the accounts load will increase. So this will bring down the opex to a level

which was there before the liberalization, etcetera, etcetera, bringing a lot of credit discipline. So with this, we hope that the ROA reported for those days was around over 4%. We'll be able to go to that level in a few quarters.

Piran Engineer : Understood. And sir, just lastly, on -- you briefly touched upon the RBI guidelines regarding streamlining gold loan processes. So any sort of -- maybe you can just highlight what sort of an impact it has on your business in terms of maybe lower competitive intensity from fintechs? Or how should we think about that?

V P Nandakumar: Now the fintechs have many restrictions. So the fintechs which was earlier enjoying, some benefits will go. And all the lenders will have to follow the same guidelines, whether you're a bank or a nonbank. So this will definitely create a level playing field for the players. So we believe -- that will turn out to be an advantage for us and we'll be able to grow at the rate what we used to project at 12% to 15% annually.

Manappuram Finance Limited
November 05, 2024

So earlier the case of some of the banks were lending at 90% LTV etc. Some nonbanks also were lending indiscriminately. So when the uniformity comes, the opportunities will be available -- almost fairly distributed.

Piran Engineer: Understood. Okay. Thank you sir and wish you all the best.

Moderator: Thank you. Our next question is from the line of Kushan Parikh from Morgan Stanley. Please go ahead.

Kushan Parikh : Hi, sir. Thanks for taking my question. I just had two data-keeping questions. One was if you could share the standalone as well as Asirvad total ECL numbers for 1Q as well as 2Q. And second question was on the write-offs if you could share the write-off in standalone as well as for Asirvad for this quarter as well as Q-o-Q and Y-o-Y numbers. That's all.

A. L. Bindu : Yes. So this is given in the presentation in the P&L breakup. You are talking about the impairment total for the quarter, consolidated is INR260 crores these are in Page number 10. Q1 is INR 228 crores

Kushan Parikh : Ma'am, I was asking for the stock of provisions, Stage 1, Stage 2 and Stage 3 stock of provisions for standalone as well as Asirvad for 2Q as well as 1Q?

A. L. Bindu : Okay. I will come back to you later.

Kushan Parikh : Sure.

Moderator: Thank you. Our next question comes from the line of Rajiv Mehta from Yes Securities. Please

go ahead.

Rajiv Mehta : Hi, good evening. Congrats on a good quarter. Sir, I have a few questions. Sir, you spoke about the September 30 circular of RBI. Now post that have you changed any practice on the ground with regard to our operations in gold loans, say in particular in the practice of rolling over loans at the end of the tenure with only part payment or even valuing you in the overdue loans or issuing a fresh loan to overdue clients? Has there been any change in any factors on the ground since that circular?

V P Nandakumar: See, if you're asking me about gold loan we have in Q1 time line up to December for ensuring compliance of whatever has been asked by the regulator for compliance. So we are fully geared of the matter and we have set our machinery right in implementing all these well on time. So whatever the practices the regulator wanted -- the regulatory entities want to follow, we'll be fully complying with that well before the deadline.

Rajiv Mehta : Okay. And incrementally for fresh gold loans or even in case of renewals, are we offering or going up to 75% LTVs or are we calibrating LTVs because gold has run up pretty sharply. So are we trying to build in more margin of safety in the new LTVs in case of fresh loans or in case of renewals or we are still comfortable going up to 75% LTV on the current price?

V P Nandakumar: The industry association is taking up the matter with the regulator. And they have sought the appointment with the

deputy governor and the senior supervisory officials at the RBI. And we'll

Manappuram Finance Limited

November 05, 2024

Page 7 of 18

hear and implement an understanding. We will try to embrace upon them with some practical challenges, etc. We hope they will appreciate -- whatever is the practical challenges. Then upon hearing them, the industry will take a call based on the comfort of the regulator to implement this. So it will be unified.

Rajiv Mehta : Yes. Just one last question on customer base growth. Sir, the customer base growth has been pretty healthy in recent quarters. The customer acquisition has also been running at a good pace. And now with IIFL coming back since September end, now in October have you seen any change in the customer acquisition run rate or in the customer base growth because of IIFL's return?

V P Nandakumar: So IIFL's return is only a welcome feature because as the industry should have a sufficient number of players to replace the unorganized lenders who control around 65% of the gold loan AUM. So what is most important is uniform fair practices. So that is what we look forward. As they have come with the policies as mandated by the regulation, we don't see much challenge with regard to -- as far as competition is concerned. -- Even when there is a level playing field, there are opportunities for growth.

Rajiv Mehta: Okay. Thank you and best of luck.

A. L. Bindu : So before moving to the next question, to answer the earlier participant's question on the provision. In MAFIL provision at INR 91 crores and Asirvad INR 270 crores is the outstanding provision as on 30th September.

Moderator : Thank you ma'am. Our next question is from the line of Bhaskar Basu from Jefferies. Please go ahead.

Bhaskar Basu : I had a couple of questions. So firstly, what is the Tier 1 capital at Asirvad ?

A. L. Bindu : INR 2,250 crores.

Bhaskar Basu : And just what would this be in terms of percentage of risk-weighted assets?

V P Nandakumar: That is 17%.

A. L. Bindu : 17%.

Bhaskar Basu : So what levels of capital Tier 1 would you think of a capital call from the parent in case you have -- you continue to see stress?

V P Nandakumar: We'll be maintaining Tier 1 somewhere around this level, 15% to 18%.

Bhaskar Basu : And what has been the response of lenders to this whole ban? Are they asking you to put capital?

V P Nandakumar: So yes -- the lenders have not shown any discomfort because they understand what is sort of etc and they are hopeful about meeting their regulatory expectations, etc. And they understand the company has sufficient liquidity, etc and as and when required, they know it is backed by its parent which has got sufficient liquidity strength, etc. So lenders don't show any discomfort.

Manappuram Finance Limited

November 05, 2024

Page 8 of 18

Bhaskar Basu : Especially given that the MFI book will continue to run down and these are unsecured loans.

V P Nandakumar: Yes, we'll be able to meet all the repayment obligations on time.

Bhaskar Basu : Okay. The second question was on the RBI circular. So basically, what are the key areas where you think changes may be needed? And specifically on the issue of rollover of gold loans before

maturity, is that something which you think RBI is concerned about? Obviously, they've kind of...

V P Nandakumar: Yes, yes. They have issued a few guidelines, etcetera. So the association is taking up with the regulators. Next week, we are meeting deputy governor, etcetera. In some of the areas, there are some practical challenges which we will bring to the attention of the authorities of the RBI. And whatever they want after the discussion, they insist upon, the entire sector will comply with. And that will make the sector only healthy. It's not going to destroy the sector. Confidence of our stakeholders will increase. And I firmly believe that it will turn out to be good

for the industry.

Bhaskar Basu: Understood. Sir, just a clarification. I mean, I've seen the circular. So while the rollover issue seems to be more at maturity. But are you also kind of seeing that rollover before maturity, which is generally done is also an issue which RBI is kind of looking at?

V P Nandakumar: Yes, yes. These are the areas we see clarity from the RBI. We will bring to their attention about the challenges faced by the poor customers at the field level, customers difficulty, etcetera. These are mostly from the lower end of the pyramid to the bottom of the pyramid. So the difficulties and how emotionally they are connected, etcetera. This will be brought to the notice of the regulator. And the association is hopeful that some of the practical challenges seen in the directions will be addressed.

Bhaskar Basu: And just a clarification on the proposed MFI yield or the reduction. I missed that number. I mean what was it earlier and what...

V P Nandakumar: Yes. it was 24%. So we are meeting RBI -- and we have met RBI and given assurance because we are not lending as we are asked to stop lending on 22nd of October onwards. And we have told them a number which is very comfortable as we feel it before the RBI. And we believe that it will be comfortable to the regulator. It will be one of the lowest in the industry,

Bhaskar Basu: Okay. And did you quantify the number? I mean, I just wanted to clarify, I mean, in the initial comments, you mentioned something or...

V P Nandakumar: Yes, yes. What I told this, it will be one of the lowest in the industry.

Moderator: Our next question is from the line of Sanket Chheda from DAM Capital. Please go ahead.

Sanket Chheda : My question was to Bindu ma'am regarding one earlier question. So the data point that I wanted to know is that in case of MFI, what was the overall provisioning, that is Stage 1, 2, 3 put together? And at the consolidated level, what was the overall ECL provisioning this quarter versus last quarter?

Manappuram Finance Limited

November 05, 2024

Page 9 of 18

A. L. Bindu : So our LGD is around 50 percentage. So on the Stage 3, which is given, it is 50 percentage of the provision. So as on date, it is INR270 crores. This is only -- this is the total provision outstanding in the books. This includes all 3, Stage 1, 2...

Sanket Chheda : Stage 1, 2 and 3 is?

A. L. Bindu : INR270 crores is Stage 3.

(34.20) : INR390 crores, yes. Total provision is INR390 crores.

Sanket Chheda : And this was last quarter?

I'll just come back.

Sanket Chheda : This is MFI business, right?

: Yes, yes. That is for the whole of Asirvad.

Sanket Chheda : Okay. And just wanted to know on the consol basis also whenever you can fetch that number that will be helpful. And the second is -- how is MFI Stage 2 moved in this quarter?

: It was not clear.

Moderator: Hello, Mr. Sanket, your voice is not audible.

Sanket Chheda : So, I'll just try one last time. So I just wanted to know MFI Stage 2 in percentage terms this quarter versus last quarter?

: It was 2.6% this quarter. Earlier, it was 1.7%.

Sanket Chheda : Okay. Sure, sir. And the overall ECL provisioning number would be helpful, whenever you can provide that.

: It is INR390 crores.

Moderator: Our next question is from the line of Shreepal Doshi from Equirus. Please go ahead.

Shreepal Doshi : So my first question was on microfinance. So, could you please share the PAR number and also a data point wherein Asirvad plus co-lenders sort of a number for us in the book?

A. L. Bindu : So, in Page 23, Stage 1 is 93.3% and Stage 2 is 2.6% and Stage 3 4.5% as on 30th of September.

Shreepal Doshi : Sorry, ma'am, I didn't get it.

A. L. Bindu : So, in Page 23 of the slide, we have given the Stage 1 at 93.3% and Stage 2 - 2.6%.

Shreepal Doshi : But PAR zero would be like what?

A. L. Bindu : PAR zero will be 92 %.

Manappuram Finance L

Shreepal Doshi : I will take this -- I'll take up this question later on ma'am -- the other question was on the LTV. So, this quarter, you've seen that the gold LTV has come off to 58%. And in one of the diversified lenders who is also in the gold finance had highlighted that the regulator has asked them to maintain 75% throughout the loan tenure. So is 58% decline from 62% is in that direction? Are you also trying to require the same strategy?

V P Nandakumar: No, no. It is not because of that the gold price has gone up and many customers have not taken only LTV of 75%, regarding the other thing, as I told earlier, the association is meeting the RBI at the top level, Deputy Governor and others to discuss some of the practical issues, etcetera, etcetera and we want to seek clarity and bring to their attention the difficulties that would be faced by the poor customers when we implement some of these directions, etcetera. We hope that they would understand that and made it a little more practical and whatever the regulatory requirements, we are committed for full compliance of that to the industry itself.

Moderator: Our next question is from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain : Sir, in the gold loan business, this quarter, the growth was a bit soft, given that the gold price has been pretty strong. What is the reason for a softer growth in this quarter on a Q-on-Q basis in gold loan? And what is the guidance for gold loan growth for the full year?

V P Nandakumar: It's a seasonal effect. There were even many festival. And the requirement during this period used to be a little dull compared to the other peak seasons. So we have already given the guidance of 10% to 18% growth in gold loan and we are hopeful of achieving that.

Nidhesh Jain : Okay. And sir, second is on the microfinance side, how are the collection trends in the month of October versus quarter 2? And how -- what is the guidance on credit costs for the full year?

V P Nandakumar: So it's similar to the industry. So there is some stress in some geographies and added to that, some festivals then in some natural disasters in some states, etc. This has its impact. Yes, this is the industry scenario. And yes, we are not different with regard to the collection with the industry. So it would be going as per the industry.

Nidhesh Jain : Sir, if you can quantify the number, what is the collection efficiency let's say, on ex bucket in Q2? And what was that number for October that would be useful?

V P Nandakumar: So that has to be worked out.

Nidhesh Jain : Okay. And the guidance for the credit cost for the full year in microfinance?

V P Nandakumar: Yes, it should be on the higher side, because now we are not able to fully estimate because many of these things, the industry has come out of that natural disasters like heatwaves, then abnormal monsoon and the festivals, etc. These are all cooled down. We hope things will improve going forward.

Nidhesh Jain : Okay, that's it from my side. Thank you.

Moderator: Thank you. Our next question is from the line of Raghav Garg from Ambit Capital. Please go ahead.

Manappuram Finance Limited
November 05, 2024

Raghav Garg: Hi, good evening and thanks for the opportunity. I just have a few questions on your digital personal loans. I was reading through the presentation, it's mainly given to the existing gold loan customers. So I wanted to understand what is the overlap between the digital PL customers and the gold loan customers?

V P Nandakumar: See, we have decided not to grant any digital personal loan to gold loan customers until they close the loan. So there is enough system control.

Raghav Garg: And this is -- or this was applicable since when? Or it has been the policy since the start of investment initiated businesses.

V P Nandakumar:

This was raised by the regulator in their inspection and immediately thereafter, we have stopped it.

Raghav Garg: Sir, when was that?

V P Nandakumar: So this is -- during the last inspection, which was concluded in September.

Raghav Garg: Understood. That's also my side. Thank you.

Moderator: Thank you. Our next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe : Thanks for taking my question. It was actually on RBI observations. If you could just kind of clarify and help us understand what were the observations made by RBI in the microfinance business as well as what was the commentary for the gold business?

V P Nandakumar: See, I have already mentioned about that in my opening remarks, one was the pricing policy. The second was assessment of income and debt of microfinance borrowers. Third, the purity

difference of gold at the time of disbursement and auction. These were -- for now these are fully controlled in the system. This will not recur for pricing also, we understand the requirements. So we understand we cannot be an outlier in the net interest margin. We have committed that we address that in all future disbursements if all those system controls put in place, etc. We have submitted our reply to RBI and we are awaiting for their inspection.

Nischint Chawathe : And for the parent gold loan company?

V P Nandakumar: For the parent gold loan company, gold loan also -- they have issued certain guidance, etc.-- guidelines, etc. As I mentioned, this to the -- as I told the earlier speakers. So the industry has some concerns about some practical challenges in implementation which are affecting the customers at the bottom line very much. So we have sought and got that appointment with the Deputy Governor and others. The association is meeting them next week. Based on that, association will take a call on all these points and the association and particularly, we are committed in implementing that.

Nischint Chawathe : And this is essentially all the microfinance -- sorry, all the gold loans?

Manappuram Finance Limited

November 05, 2024

Page 12 of 18

V P Nandakumar: This is to all the players, including banks. Yes, certainly gold loan, anybody is doing gold loan whether it is a bank or nonbank.

Nischint Chawathe: Okay. And any specific observations relating to Manappuram on gold in the audit?

V P Nandakumar: No, other than the guidelines given on the other point, whatever they have observed in the past, all those issues are addressed.

Nischint Chawathe : Got it. And just one small one. You raised some ECB during the quarter, any color in terms of the rate of interest or terms on that?

A. L. Bindu: So, it is all-inclusive below 9%.

Nischint Chawathe : And how long is this?

A. L. Bindu: It's 3 years.

Nischint Chawathe : Sure. And just one small one. On the bank loans, these are all linked to Repo, MCLR, what are these linked to?

A. L. Bindu: MCLR.

Nischint Chawathe : All are MCLR?

A. L. Bindu: ECB is also linked, the bank borrowing is MCLR linked.

Nischint Chawathe : Got it, thank you very much.

Moderator: Thank you. Our next question is from the line of Shubhranshu Mishra from PhillipCapital.

Shubhranshu Mishra : Hi, thank you for the opportunity. First one is data keeping question on what were the auction levels in this quarter? The gold price per gram and the accrued interest. And what would be the proportion of the book below INR1 lakh, INR1 to INR5 lakh and more than INR5 lakh?

Raju Narayanan : Auction numbers is INR360 crores and gold price is INR7,080, average LTV 58%.

Shubhranshu Mishra : Accrued interest?

A. L. Bindu : INR1,095 crores.

Raju Narayanan : Up to INR1 lakh, 42.3%. INR1 lakh to INR3 lakh, 34%, balance and above INR3 lakh is 24%.

Shubhranshu Mishra : Thank you.

Moderator: Our next question is from the line of Mohit Jain

in from Tara Capital.

Mohit Jain : Sir, I just wanted to have your views further on the question that was asked regarding the credit cost. I think in Q2, we have already touched somewhere around 7% for Asirvad. And now the disbursement has been stopped by RBI, and it may continue for some period of time. And in

Manappuram Finance Limited

November 05, 2024

Page 13 of 18

case of MFI once the disbursement stops, the credit cost deteriorates further because the collection also becomes difficult going by the nature of the business. So, is it fair to say that the credit cost may touch double digit in the next couple of quarters for Asirvad?

V P Nandakumar: See, one advantage is now that the entire focus is in collection. We are implementing many, many things like, to motivate the customers to make online payments, etcetera and for the employees also collection incentive and meetings, etcetera. So, post to this issue, we have not seen any impact so far, whatever is there before that, so that continues. And we are hopeful that with all these things, employees motivating as well as incentives plus wherever the people are available, wherever weekly collections are needed, that also is being facilitated. So this way, we hope that our collections will not be worse than other players. And the regulatory action will not impact us as far as collection is concerned.

Mohit Jain : Okay. And sir, one more question. Has there been any communication from any of the lenders

so far as regards to the early repayment of the loans? And then talking from the viewpoint of the borrowings, were there any banks or any other financial institutions have asked for the repayment of the borrowings from Asirvad post this plan?

V P Nandakumar: No, we don't expect that way because Manappuram has very good connection with the lenders for a long time. And Asirvad also has sufficient liquidity to meet the obligations. We have called the important lenders meet, etcetera. And shown them what will be our ALM, etcetera. And nobody has raised any serious concerns about that and nobody else recalled any loan, and we don't expect that.

Mohit Jain : Thank you, Sir.

Moderator: Our next question is from the line of Rishabh Gang from Sancheti Family Office.

Rishabh Gang: Thank you for the opportunity. So, in addition to microfinance, I read that Asirvad housed 515 gold loan branches, which will be impacted because of this ban. So, if you can just tell about how Asirvad and gold loan is related and any impact on the gold loan operations?

V P Nandakumar: So in Asirvad, the -- all the lending operations are put into a halt around 22nd of October. So all the concerns raised by the regulator, we have addressed that. So we have given our reply, etcetera, and we have requested the regulator to commence their -- to remove the ban etcetera, etcetera. We hope that they will follow their usual practice of conducting inspection very soon. And if the issues are not too many, we hope within a reasonable time, the ban will be lifted. Until then all the lending, including gold loans are -- new disbursements are stopped there.

Rishabh Gang : Sir, what kind of disbursement of gold loan was happening from these Asirvad branches?

V P Nandakumar: So it was -- the AUM was INR1,100 crores.

Rishabh Gang : Of gold loan in Asirvad, correct?

V P Nandakumar: Yes.

Manappuram Finance Limited

November 05, 2024

Page 14 of 18

Rishabh Gang : Okay. AUM was INR700 crores and 5 months disbursement...

V P Nandakumar: INR1,100 crores, which was around 9% of the book --.

Rishabh Gang : All right. Sir, do we have risk -based pricing right now? Like have we started it? For the MFI?

A. L. Bindu : MFI, it is only uniform pricing.

Rishabh Gang : So like any rationale like why don't we have risk -based pricing? And what do we think about it here?

V P Nandakumar: We had a discussion at the Board level. We felt like that

it is not a good idea because in some

areas, some customers are bad and that their load should not be pushed to the other good customers in that region. So ultimately, we thought, we'll have a uniform pricing policy.

Rishabh Gang : All right. So -- but do we want to go to a risk -based pricing later on or we will continue with the...

V P Nandakumar: No, no. See, our logic is simple. So some customers are bad, in particular group or a geography, why should other customers take the load of that bad customer. So now in these areas, what we will do, we will have our risk management plans there by restricting lenders to a very low level and also higher bureau score, etcetera, etcetera, rather than pricing high in these geographies.

Rishabh Gang : Also just the last question. Like the actions which we have thought about for rectifying this violations, by when will this rectification happen? In case you have already mentioned, can you just repeat that? Like how many...

V P Nandakumar: Our entire machinery is ready with full compliance of whatever has been sought for. And this has been informed to the regulator and we prayed too for the removal of the ban. And we hope we will speed up their procedures like whatever inspection or whatever they wanted to do they will do. And we hope it will not get too much delayed.

Rishabh Gang : So as per your management estimate and industry knowledge, how many months it should get resolved? Like the ban will be taken off?

V P Nandakumar: See, usually, they take some time. You can say minimum they take 3 to 4 months. And that is our expectation also and we are fully geared up.

Rishabh Gang : Also, your housing finance portfolio yields are, I think, also on a little higher side. So what do you think about that? Like can RBI also take action for that?

V P Nandakumar: So in all these areas, we have made changes to ensure further concerns raised by the regulator from time to time are fully addressed.

Rishabh Gang : Sorry, pardon?

V P Nandakumar: All these are whatever concerns raised by the regulators in the past are fully addressed, whatever in the NHB inspection whatever was raised, all these are addressed now.

Manappuram Finance Limited

November 05, 2024

Page 15 of 18

Moderator: Our next question comes from the line of Tanuj from DSP . Please go ahead.

Tanuj: Sir, so even on the non -MFI businesses, like for the past 2 quarters, we have seen some increase in NPAs, so what's driving this? And given that these are higher growth businesses, should one expect lower growth even in these businesses going ahead, given the NPA increase?

V P Nandakumar: See, the industry faced -- the economy faced many challenges, right? So heatwaves then natural calamities, etcetera , etcetera. So this has a general impact is the credit cost for the lending industry as a whole. And that is what has impacted us also. So it is similar to the other players in the industry where we are in.

Tanuj: Okay. And any growth slowdown you envisage in these segments?

V P Nandakumar: No, we feel like the growth will continue. There will be some seasonal impact. Other than that, we don't expect any slowdown as far as growth is concerned.

Moderator: Our next question is from the line of Luv Sharma from JPMorgan. Please go ahead.

Luv Sharma : Just a couple of questions. I think first one, if you could just highlight what would be the monthly collections for Asirvad for the next quarter if you could highlight, like in the next 3 months and the repayments which we have there on a monthly basis? And second would be I think Asirvad's number statements highlighted some covenant breaches. If you could just indicate what kind of covenant breaches are these and what was the amount of loans under those breaches?

Representative: In Asirvad, so we have a steady collection I mean, based on the collection efficiency that we have, all the ALMs are positive

across the buckets. So there is no ALM mismatch in any of those. So our collections are adequate to meet our operations as well as our repayments of the loans.

A. L. Bindu : Sir, we have included the details in Page Number 26.

Luv Sharma : Yes. On the covenant breaches, could you just indicate what is the quantum of loans?

A. L. Bindu : Covenant breach.

Representative: Covenant breach, there is only one covenant breach on NCD, which is a very small amount. So that is only GNPA, other than that, there are term loans, which we are in discussions, but we don't think any serious impact on that.

Luv Sharma : Sorry, just to repeat myself again, what is the amount NCDs.

A. L. Bindu : For NCD, it is very small amount only. I think it's less than INR50 crores.

Representative: Less than INR50 crores.

A. L. Bindu : For the bank covenant breach, we are discussing with them.

Luv Sharma : Would it possible to quantify, just even if a rough estimate.

Manappuram Finance Limited

November 05, 2024

Page 16 of 18

Representative : We can share that.

A. L. Bindu : Yes. We will share it separately.

Luv Sharma : Okay. Sure. And so both of these have the same GNPA -related covenant breach?

A. L. Bindu : Yes.

Representative : Yes, yes.

Moderator: Thank you. Our next question is from the line of Bunty Chawla from IDBI. Please go ahead.

Bunty Chawla: Thank you, sir. Thank you for giving me the opportunity. As you said, there has been changes in the MFI portfolio, which you are expecting to be in the next 3 to 4 months. So, my question is, if we put the changes in the gold loan and now MFI portfolio all done in well by March, so on a long term basis or from FY '26 onwards, how these changes will impact our growth trajectory on an overall basis? And ROA, if you can share that on a longer term basis, how one should see the AUM growth as well as the ROA?

V P Nandakumar: Yes, it will do better only,. On Gold loan, if you take. Yes. All the players will come into the same place with regard to compliance. So, there will be, there is definitely a level playing field , which will help the leading industry players. Regarding the other segments of the secured MSME loans, vehicle loans, etc., the challenges like the natural calamities, etc.

Now, the geographies, we have problems, the elections, etc. So, these are getting somewhat moderated with a few elections going to come. So, regarding MFI, we are expecting a moderate growth thereafter, some 13% - 20%, but our focus will be more on the credit quality, credit discipline, etc. So, the more prudence, etc. So, what I hope is, is that secured segment in our consolidated book will outgrow.

Bunty Chawla: So, on an overall basis, can we say 12 %, 15% growth on an overall basis, can we consider?

V P Nandakumar: Yes. We are targeting around 15 % 18% growth. So 15%-18% growth with more focus on the growth of secured loan portfolio, including gold loan.

Bunty Chawla: Okay. Thank you very much.

Moderator: Thank you. Our next question is from the line of Gaurav from Capital Farming Consultants . Please go ahead.

Gaurav: So my first, just a clarification, that are we still looking for IP O replacement of Asirvad or it has been completely taken off from the shelf?

V P Nandakumar: It is too early to tell anything about that. We have time up to April. We have not taken a call on anything now. We have the time, we'll see the market, how the market, et c. How fast the ban is going to be removed, et c. So based on market conditions, we'll take a call on that.

Manappuram Finance Limited

November 05, 2024

Page 17 of 18

Gaurav: Okay. So a question to the Asirvad team specifically that like in stand-alone books of Manappuram, we quantify our overall AUM in various products like gold loan, vehicle finance, SME on lending, et c. So I hope there will be different product segments. So can we quantify that

fy that

which product segment is up to what percentage in overall book of Asirvad Microfinance? I think our overall AUM is approximately INR11,880 crores. So if you can quantify it in product segments. I know that to one of the earlier participants, you have mentioned that overall 9% is gold loan. So remaining what...

V P Nandakumar: There are only 3 segments there. So micro finance is over 90% and 9% gold loan in the AUM. And a small amount of some of INR 40 crores -is secured MSME.

Gaurav: What is the minimum and maximum tenure of the loans that we extend in the MFI?

V P Nandakumar: In MFI, we extend up to 24 months, but the average tenure remains around 18 months.

Gaurav: Sure. So, Bindu was highlighting Slide 26 of the presentation that we uploaded on the website.

Moderator: Sorry, Gaurav, I request you to join the question queue for any follow-up questions. Our next question is from line of Rishikesh from RoboCapital. Please go ahead.

Rishikesh: Hi, thank you for the opportunity. Sir, our gold loan AUM has grown 17% year-on-year.

Moderator: Sorry to interrupt, Mr. Rishikesh. Can you please switch to a handset mode?

Rishikesh: Is it better now?

Moderator: Yes.

Rishikesh: Thank you for the opportunity. Sir, our gold loan AUM has grown 17% year-on-year, while if I see the tonnage, it is flat in a year-on-year basis. So, is it all led by price increase? And we would also like to know what tonnage growth do we see going ahead?

V P Nandakumar: Not worried about tonnage growth. We are concerned only about two things – how the AUM is growing, what is the accretion in the number of customers. In both these cases, we have grown.

The other thing is, if the price has gone up, the customer will not borrow more other than his requirements. As I used to tell in my earlier occasions also, when the customer borrows, he intends to redeem that within the shortest time. That's why the average life of gold loan is around 100 days.

When the gold price has gone up, the average LTV has come down to 58%. So, if the price goes, he takes the advantage by bringing smaller quantity. If the price goes down, the reverse is happening.

Rishikesh: So, what steady-state gold loan growth do you foresee?

V P Nandakumar: So, as I told, we expect the gold loan to grow at 10%, 15% annually. Now, we see the opportunities for a sustained growth with the changes and bringing level playing field to all the players by the regulatory changes.

Manappuram Finance Limited

November 05, 2024

Page 18 of 18

Rishikesh: Okay, thank you.

Moderator: Thank you. Next question is from the line of Vatsal Parag Shah from Knightstone Capital. Please go ahead.

Vatsal Parag Shah: Yes, thank you for taking my question. So, just one clarification. So, in the earlier quarter, we gave a consolidated credit cost guidance of 2%. So, does it still stand or we are changing it?

A. L. Bindu: It's not very clear.

Vatsal Parag Shah: Hello, am I audible now?

Moderator: Yes, Mr. Vatsal. Please go ahead with your question.

Vatsal Parag Shah: Yes. So, I was saying that in the earlier quarter, we gave a credit cost guidance of 2% on a consolidated level. So, does it still stand or we are changing it?

A. L. Bindu: We have not changed it. So, we will see the progress in collection because whatever climatic conditions, etc., the team is confident of improving that. So, as such, we have not changed the estimates.

Vatsal Parag Shah: So, it is still 2%, right?

A. L. Bindu: Yes.

Vatsal Parag Shah: Okay, thank you.

Moderator: Thank you. Ladies and gentlemen, that was our last question for the day. I would now like to hand the conference over to the management for closing comments.

V P Nandakumar: Thank you for your good questions. We hope that we have answered all the information at hand. Thank you.

Moderator: On behalf of Motilal Oswal, that concludes this conference.

e. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

(no extractable text — likely a scanned image PDF)

Call: May 2025

(no extractable text — likely a scanned image PDF)

Call: Aug 2025

Reference No.: SEC/SE/ 86/2025 -26

Date: August 13, 2025

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip Code: 531213 National Stock Exchange of
India Limited
5th Floor, Exchange Plaza
Bandra (East)
Mumbai – 400 051
Scrip Code: MANAPPURAM India International Exchange (IFSC)
Ltd
1st Floor, Unit No. 101, The Signature,
Building no. 13B, Road 1C, Zone 1,
GIFT SEZ, GIFT City, Gandhinagar,
Gujarat – 382355

Dear Madam/ Sir,

Subj: Concall Transcript of Q 1 FY 202 6 Results Conference Call held on August 8, 2025

With reference to the above, kindly note that the transcript of Q 1 FY 202 6 Results Conference Call held on August 8, 2025 , has been uploaded on the website of the company: www.manappuram.com and is made available at the below link: -

<https://www.manappuram.com/investor -call>

You are requested to kindly note the same.

This is for your information.

Yours faithfully ,
For Manappuram Finance Limited

Manoj Kumar VR
Company Secretary

Enclosure: as above

Page 1 of 16

"Manappuram Finance Limited
Q1 FY '26 Earnings Conference Call "
August 08, 202 5

MANAGEMENT : MR. V. P. NANDAKUMAR – MANAGING DIRECTOR –
MANAPPURAM FINANCE LIMITED
DR. SUMIT HA NANDAN – EXECUTIVE DIRECTOR –
MANAPPURAM FINANCE LIMITED
MR. DEEPAK REDDY – CHIEF EXECUTIVE OFFICER –
MANAPPURAM FINANCE LIMITED
MS. BINDU A.L. – CHIEF FINANCIAL OFFICER –
MANAPPURAM FINANCE LIMITED
MR. RAJU NARAYANAN – BUSINESS HEAD –
MANAPPURAM FINANCE LIMITED

DR. ROY VARGHESE – CHIEF EXECUTIVE OFFICER –
ASIRVAD MICROFINANCE
MR. RAJESH NAMBOODIRIPAD – CHIEF FINANCIAL
OFFICER – ASIRVAD MICROFINANCE
MR. KAMAL PARMAR – HEAD, VEHICLE AND
EQUIPMENT FINANCE – MANAPPURAM FINANCE
LIMITED
MR. SUVEEN P. S. – CHIEF EXECUTIVE OFFICER –
MANNAPURAM HOME FINANCE
MR. ROBIN KARUVEL Y – CHIEF FINANCIAL OFFICER –
MANNAPURAM HOME FINANCE
DR. SHAILESH J. MEHTA – CHAIRMAN , INDEPENDENT
DIRECTOR – MANNAPURAM HOME FINANCE

MODERATOR : MR. SANKET CHHEDA – DAM CAPITAL ADVISORS
LIMITED

Manappuram Finance Limited
August 08, 2025

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to the Manappuram Finance Q1 FY '26 Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanket Chheda from DAM Capital Advisors Limited.
Thank you, and over to you, sir.

Sanket Chheda: Yes. Hello, and very good evening to all of you. We have with us the entire management team of Manappuram Finance to discuss their Q1 FY '26 results. Starting with Mr. V. P. Nandakumar, MD; Sumitha Nandan, ED; Mr. Deepak Reddy sir who has joined as CEO; Ms. Bindu A.L., who is the CFO; Raju Narayanan, Business Head; Dr. Roy Varghese, who is CEO of Asirvad Microfinance; Mr. Rajesh, who is CFO; Mr. Kamal Parmar, who is Head of Vehicle and Equipment Finance; Mr. Suveen P. S., who is the CEO, Manappuram Home Finance; Robin Karuvely, CFO, Manappuram Home Finance.

Without further ado, I will hand the call over to Mr. V. P. Nandakumar and then Mr. Deepak Reddy sir for their opening remarks. We'll follow that up with Q&A. Over to you, sir.

V. P. Nandakumar: Thank you. Good evening, ladies and gentlemen, and thank you for joining us on this earnings call. It is an honor to connect with you as we share a comprehensive overview of our financial and operational results for the first quarter of fiscal 2026. We value your ongoing engagement and support as we reflect our performance and outline our strategic priorities moving forward. Today, we would also like to share a snapshot of the gold loan and microfinance industries in India and the Manappuram Finance standing in that. We will also address the effect of recent regulatory changes and macroeconomic headwinds on the industry.

At the outset, I would welcome Mr. Deepak Reddy as the new CEO of Manappuram Finance. He brings with him over 3 decades of extensive experience in leading diverse business verticals and managing hum an capital across prominent financial institutions.

As CEO, he will be responsible for steering Manappuram Finance through the next phase of growth and innovation. This includes strengthening the company's core businesses of gold loans, vehicle loans, housing finance and digital lending, while enhancing organization culture, leadership governance and customer centricity.

Let me provide an overview of the macroeconomic scenario. Global growth is expected to remain steady at 3% in 2025, supported by easing inflation, a weaker U.S. dollar and fiscal support in major economies. However, macroeconomic risk persist in terms of unresolved trade tensions, geopolitical tensions, region conflict which would undermine the growth projection. In India, economic activity in India is showing a trend, driven by a prudent recovery, urban spending and stronger credit transmission and is on track to meet the projected GDP growth of Manappuram Finance Limited

August 08, 2025

Page 3 of 16

2.5%. Inflation is to a 6 year low, until earlier RBI cut the rate and CRR in the last 2 months to boost liquidity and support consumption.
The recent U.S. tariff announcements on Indian imports is expected to pose limited GDP impact,

but add to external uncertainty keeping INR under pressure until trade clarity come out. Given this backdrop, credit growth is expected to improve further as lower interest rates and better system liquidity for lending across retail, MSME and microfinance segment and we remain optimistic on the evolving macroeconomic scenario.

Let me start with an overview of our financial performance. M

Manappuram Finance on a standalone basis, recorded a revenue of INR1,744.5 crores marking a quarter-on-quarter growth of 0.2%. And standalone earned a PAT INR392.1 crores against a PAT of INR 414.4 crores in Q4 FY '25.

The consolidated company revenue in Q1 stood at INR2,265 crores compared to INR2,329 crores of the previous quarter. Our consolidated profit after tax before other comprehensive income and minority interests for the quarter stood at INR132.5 crores, compared to the loss of INR203.2 crores of the previous quarter.

For Q1 FY '25,'26, the Board has declared an interim dividend of INR0.50. Profitability of the consolidated company impacted mainly on account of stress in the microfinance sector. Our gold loan business remains a core strength of our portfolio, delivering consistent margins and stability. We proposed to increase the gold loan portfolio at a consolidated level of 75% of total loan portfolio in a phased manner.

To attract more borrowers, we have introduced various gold loan schemes at comprehensive prices to drive our gold loan strategy. We also intend to augment additional gold loan consolidated through Asirvad leveraging the relaxations in the qualifying asset criteria of MFI. The proportion of gold lending will increase further the share of our gold loan on the consolidated AUM as well as our interest income.

We continue to strengthen our governance structure to ensure compliances with the regulations and provide better customer satisfaction. Along with increasing the share of gold loan in the portfolio, we plan to grow our housing loans, secure the MSME lending business and commercial vehicle and auto loan portfolios in a prudent manner within an overall ceiling of 90%.

Gradual decline of microfinance portfolio in the consolidated company will be reduced to 10%. Our statutory and regulatory guidelines are favorable for the sustenance and growth of NBFCs in general. The recent regulatory guidelines on gold loan is expected to provide a level playing field for all regulated entities. The latest harmonized RBI guidelines on co-lending will bring in harmony between the banks and the NBFCs who are operating at a grassroots level.

Moreover, Manappuram Finance now has started leveraging Bain Capital's extensive expertise in financial services within India. Alongside our impressive platform, the Bain Capital Investment will be aimed at facilitating the growth of all our non-banking financial services business. Dr. Shailesh J. Mehta, Chairman, Independent Director, will be completing 2 terms as Manappuram Finance Limited

August 08, 2025

Page 4 of 16

per the provisions of the Company's Act 2013 and SEBI Listing Regulations effective of 27 August, 2025. Accordingly, Board at today's meeting decided to appoint Mr. V. P. Nandakumar, MD, as the Chairman with effect from August 28, 2025.

Now I invite Mr. Deepak Reddy, CEO, to say a few words and thereafter Ms. Bindu A. L., President and CFO, to provide a more comprehensive review of our financial performance, including detailed segment analysis of the quality metrics and key financial pursuits.

Thank you for your attention, and we look forward to addressing your questions during Q&A session. Thank you.

Deepak Reddy: Thank you, Chairman, and good evening to all of you. It's indeed a privilege to be speaking to you all and thank you for joining this call. It's been only a few days since I joined the Company and hence it will be premature for me to comment on company's performance, current or go forward strategy or to give any sort of guidance. You can expect that from me in the quarters to come.

Having said that, I must state that I feel privileged to lead the company into its next phase of evolution and growth. This feeling has only grown stronger since I formally joined the company last Friday. I'm very excited and confident of future performance and possibilities

of the company.

At this stage, I can only state that you can expect me to run a transparent and forward-looking company that is growth-oriented and with a strong culture of risk prudence, operating rigor and managed by strong and enthusiastic teams.

Thank you all very much, and I look forward to interacting with all of you going forward and also looking forward to all your support. Thank you. And once again, thank you for joining this

call.

Bindu A. L. : Thank you, sir. Good evening, ladies and gentlemen. Coming to the key highlights of our operational performance across the businesses. Gold loan portfolio remains our core strength, accounting for 65% of consolidated AUM compared to 59.5% in Q4 FY '25. Consolidated AUM stood at INR2,802 crores, Q-on-Q growth of 12.6% and 21.8% Y-o-Y in spite of heightened competition.

We added 3.58 lakh new customers during the quarter, bringing the total active customer base to 25.9 lakhs. Average LTV at 57% and 85% of the loan book now sourced through online gold loan platform. Our standalone PAT for the quarter was INR392 crores versus INR414 crores on account of lower income mainly from the non-gold businesses. AUM for Asirvad including gold loans of INR1,111 crores stood at INR6,705 crores, which is down by 18% sequentially and 45% Y-o-Y.

As you are aware, the microfinance sector experienced a considerable stress primarily due to the increased borrower defaults from over leverage and led to higher credit costs. This negatively impacted the profitability. Asirvad posted a loss of INR267 crores in Q1 compared to a loss of Manappuram Finance Limited

August 08, 2025

Page 5 of 16

INR624 crores in Q4 FY '25. The net NPA at 1.4% that is INR84 crores compared to INR177 crores in Q4 and the CRAR at 23.6%.

Our vehicle finance AUM at INR4,492 crores, which represents a decline of 5.9% Q-on-Q and up by 1.1 percentage Y-o-Y. Considering the asset quality challenges, especially from the 2-wheeler and farm segment, we tightened the underwriting with low disbursement, the GNPA increased to 9.2% as on 30 June 2025.

The home loan portfolio reached INR1,901 crores, reflecting a growth of 4.3% Q-on-Q and 19.8% Y-o-Y increase. This business operates from 89 branches and reported a profit of INR7 crores during the quarter with a GNPA of 2.87%.

Loans to MSME and allied sectors stood at INR3,105 crores with a disbursement of INR346 crores. For Q1 FY 2026, our consolidated AUM stood at INR44,304 crores, reflecting a sequential growth of 3% and 1.4% decline on a Y-o-Y basis. Consolidated PAT INR132 crores, an increase of 165% over the previous quarter and a decline of 76% Y-o-Y. Capital position remains strong at CRAR of 28.7% and the net worth at INR12,504 crores.

Book value per share stood at INR147.7, ROA of 3.8% on the standalone AUM and the leverage remains conservative at 2.5x. Standalone GNPA at 3%. And the liquidity position as on 30th June, INR4,047 crores with undrawn bank lines of INR3,220 crores. During the quarter, we have seen a minor decline in the cost of borrowings by 2 basis points.

Thank you. Thank you once again for your continued support and confidence.

Moderator: Thank you very much. We will now begin the question and answer session. We have first question from the line of Digant Haria from GreenEdge Wealth.

Digant Haria: The first question is that in the gold loan space, we have seen good growth Q-o-Q. But I see that our yields have dropped from, say, 22% to, say, 20.5%. So is this like a conscious strategy? Or is it because of competition? Or if you can just give some idea on what's happened here?

V. P. Nandakumar: It's a conscious strategy to bring it on par with leading players in the NBFC industry slowly. So that is yielding results. And that is not as per our assessment that is not going to impact our gold loan income during the current year because of the depression yield

. Depression yield will be compensated by the growth. So in the coming quarters, it will be reflected in the results.

Digant Haria: Got it. And just like we are at 20.5%, maybe 200 bps more versus competition, we are higher. So you're saying that we'll eventually reach that 18%, 19%, which the general market, right?

V. P. Nandakumar: Definitely, with the growth slowly, we are bringing down we are trying to protect our budgeted income from gold loan also parallelly.

Digant Haria: Right, okay. Sir, and second is on the microfinance. Have we seen the worst or maybe 1 or 2 more quarters of pain because some states are doing okay, some states are still not doing okay.

Manappuram Finance Limited

August 08, 2025

Page 6 of 16

V. P. Nandakumar: In the last con call, last quarter also, I told you the worst is over. Now things are coming back. And we are hoping things will improve towards the last quarter, should turn green that is our expectation.

Digant Haria: Okay. So losses would be dropped in Asirvad, right, from next quarter or like losses in microfinance, sir, losses in microfinance.

V. P. Nandakumar: It will come down, definitely. It is coming down.

Moderator: The next question is from the line of Shreya Shivani from CLSA.

Shreya Shivani: I have 3 questions. My first question is on the gold loan book. So we had indicated in the last quarter itself that we are cutting rates so that we can acquire more customers, particularly in the high ticket size. Now the customer count growth has been fairly limited.

Majority of the AUM growth has come from higher ticket size. So have we just cut lending rates in the higher ticket size or is it across bucket cutting rates, is it not helping us acquire more customers? Because one would have expected the volume growth also to be contributing to the overall AUM growth. That's my first question.

My second question is on the MFI book, Asirvad book. So I understand we've been -- we want to make this book 10% of our overall mix and all that. But somehow your customer count for the past 2 quarters has been revised downwards. Can you help us understand that what has been the reason for that?

And my third question is obviously on what -- on the deal, what all approvals are left? Any update that you can give us on that would be useful?

V. P. Nandakumar: First question about gold loan, the customer growth because we have started reducing the rates. We plan to reduce across the board gradually in a very calibrated manner. So gradually, you will see the volume growth also, customer count also, because communication in the community takes little time. So the first response comes from the existing customers and some high holding customers. So slowly, you will see this action resulting in better loan growth in the coming quarters.

Regarding MFI book, yes, we are strictly following the guardrail set by SROs. Initially, we have improved our systems and systems completely in place, computer systems, it took some time. So gradually, the business is increasing and we are very tight in underwriting as I have mentioned.

Regarding the Bain deal, it is progressing smoothly as expected. CCI approval is already we got and next, we are expecting the NSE /BSE approval, we expect maybe through in fortnight. So also the most important approval from the principal regulator RBI that is expected within another one month. Everything is going smoothly.

Manappuram Finance Limited

August 08, 2025

Page 7 of 16

Shreya Shivani: Got it, sir. This is very useful. Just a follow-up, the MFI customer count you said because you have upgraded your computer system, that's why there has been an update to the earlier count.

Is that the reason -- is that what you... ?

V. P. Nandakumar: Yes.

Moderator: The next question is from the line of Kushan Parikh from Morgan Stanley.

Kushan Parikh: So just to harp on the previous participant's

question. We have -- in the past, we have not seen for ourselves or for the industry that cutting prices -- cutting lending rates has helped gold loan growth. Just wanted to understand why are we more confident of getting growth by cutting yields this time around?

And secondly, if you could just share the gold loan yields for 1Q and the gold loan auctions as well. And lastly, if you could provide some guidance towards the trajectory of credit cost moderation and accrual, that would be helpful? Yes. Those are the questions from my side.

V. P. Nandakumar: So gold loan cutting price, we have been doing consistently. So we want to map that to the market along with the leading players in the NBFC industry. So we are doing it gradually, as I said, in a calibrated manner ensuring that the projected income from gold loan is also achieved with even though the yield reduction is there.

So it is done in a phased manner, piloting at various places and seeing success, it is slowly getting expanded. To give wider publicity, we are using social media and better CRMs, et cetera. So the results will be available in the coming quarters. The NPAs are showing reduction as you see in that. The tempo is getting slowly improved. So also quality disbursements with stringent underwriting using the SRO guidelines, et cetera, that is already implemented.

So the collections are improving slowly. So you will see the better results in the coming quarters and we hope towards the end of this year, the last quarter, we'll be able to turn around. And to share some...

Bindu A. L.: Auctions during the quarter, INR51 crores.

Kushan Parikh: And the gold loan yield for the quarter?

Bindu A. L.: 20.7%. Average yield of 20.7%.

Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal.

Abhijit Tibrewal: Bindu ma'am, you just said gold loan yields of 20.7% in 1Q. If you could also remind us what was the yield in the fourth quarter? And the related question here, so while Nandakumar sir said that the idea is to bring down the gold lending rates to be on par with the leading gold NBFC players, right?

So I think today, the leading gold NBFC players are all at around 17.5%, 18%. So are we saying that over a period of time, our gold loan yields will also gravitate towards 18%? If the answer
Manappuram Finance Limited
August 08, 202 5

Page 8 of 16

is, yes, over what period, over how many quarters can we expect this gold loan yield to gravitate towards that 18%?

V. P. Nandakumar: So we are planning to bring similar to the market in a phased manner. So in around 6 quarters we are planning and we are expecting the yield reduction matching the growth will not impact our budgeted income from the gold loan with the current year. So that's why I repeatedly telling this is done in a very calibrated manner.

What is the impact on the projected income and actual income realized income, what is it going to be? On the basis of that, the reduction is happening slowly. So I hope in 4 to 6 quarters, we'll bring that more or less on par with the leading player.

Abhijit Tibrewal: Got it. And sir, just a related question -- yes, ma'am, please go ahead.

Bindu A. L.: Last quarter, the yield was 22.2% this quarter, 20.7%.

Abhijit Tibrewal: Got it. So, ma'am, almost 2.5% have been shaved off in one quarter. And then why should it take 4 to 6 more quarters for us to get towards 18%? 150 basis points have been shaved off.

Deepak Reddy: That's what I told. On the one side, we have some projections for the year with regard to gold loan income. So we are able to assess whether we are in the right direction to achieve that budgeted income, accordingly we reduce. And compared to that, we expect the reduction in borrowing cost. So that also will be passed on to the customers. So that even before the expected period, we'll be able to match our rates with the yielding price

Abhijit Tibrewal: Got it, sir. Got it. And then sir, I mean, given that we've already seen a very strong first quarter, now internally, what are we targeting for the full year gold loan growth?

V. P. Nandakumar: We feel like this year will be better than the previous year.

Abhijit Tibrewal: Got it, sir. And then I had one question for Deepak sir. Sir, you already spelled out in your opening remarks that you don't want to be speaking about the strategy going forward given that it's early. But sir, given that whenever leaders like you join the company, I'm sure they have something in mind with regards to how they want to shape the company. So one thing very clearly, right, what we have articulated as a strategy already is over a period of time, we want to bring our gold lending rates on par with the leading gold NBFC players.

And to that end, what I assume is even if that would mean the margins and the ROEs are lower, we want to bring higher leverage on the balance sheet so that we can maybe deliver the same ROEs. So just trying to understand, sir, from you, what is it that you have in mind? Are there people that you'll be looking to onboard in your leadership team, people who will be reporting into you? And just at an overall level, right, I mean, how are you thinking about the company going forward?

Deepak Reddy: Okay. Thanks for your question. I'm going to duck the question, and I'll tell you why. Do I have some thoughts of what we need to do? Do I have some thinking around it? Is there a plan that's

Manappuram Finance Limited

August 08, 202 5

Page 9 of 16

shaping in my mind? The answer is yes. But it's definitely premature for me. This is 5 days experience in the company to state at this August forum what exact strategy going forward. You can be rest assured that once I get a better feel of the company, I go further down, I travel, I meet people and validate some of my hypothesis and what I want to do, we will share a strategy at the appropriate time. Very strong thoughts and exciting thoughts, but I'm sorry, very, very premature for me to comment on that at this stage.

Abhijit Tibrewal: Sure, sir. I understand that. And lastly, one question for Bindu ma'am. Ma'am, you said that this quarter, the cost of borrowings declined by 2 basis points Q-o-Q. Just trying to understand how is our liability mix positioned, particularly on the bank borrowing side. So do you expect that in the coming quarters, right, second quarter, third quarter, when banks start passing on MCLR cuts, that's where our cost of borrowings will start benefiting? Or how should we think about it? And also a related question, while the portfolio cost of borrowings are down 2 basis points Q-o-Q, where are we stacking up on the incremental cost of borrow?

Bindu A. L.: So on the cost of borrowing, what you said is exactly what we have seen in the banking system. So we are seeing slowly banks are reducing the MCLR, which is beneficial. But at the same time, the mix of borrowing, we are trying to have -- or the banks also want to have long-term facilities.

So the short-term mix is coming down. It is only 26% you see. Working capital demand on CP

is around 4%, et cetera. So in the coming quarters, we can see the reduction in the MCLR rates, which will give us benefit. And I think with the capital coming in, all those things, we can see a better negotiation with the banks.

Moderator: The next question is from the line of Pratik Kothari from Unique PMS.

Pratik Kothari: Welcome to Mr. Deepak Reddy in the company. So my first question on MFI. I mean we have gone through this cycle multiple times in the past. So has anything changed structurally or on ground that we intend to now cap this at 10 -odd percent? I mean we have seen the ebbs and flows multiple times. So why this change now?

V. P. Nandakumar: So the change in the underwriting policy. So with the change in regula

tion, we have been

following the assessment policy and other regulatory guidelines. Now, - post this scenario of bad performance of MFI, the SROs have come forward and are doing some guardrail. So we are strictly following that. Then other than that, we have not done anything. So we see a lot of opportunity there because MFI with the new underwriting standards, we feel like the asset quality will remain high. It may go to somewhere near to pre -COVID asset quality.

And secondly, where we see opportunity there is gold loan. We are in discussion with banks for the opportunity for co -lending and a few of the banks have come forward with a lot of enthusiasm. And now the revised guidelines, as I mentioned earlier, has come, which are very positive with regard to lending. So that gives the company a wonderful opportunity to grow gold loan. And so this will definitely reshape the company in the coming quarters.

Manappuram Finance Limited

August 08, 202 5

Page 10 of 16

Pratik Kothari: Correct. And sir, second clarification on the gold. What you are saying is it's to attract the high ticket 5 lakh plus customers to whom we have to give lower yields. It's not for those 50,000 ticket size where we have lower yields.

V. P. Nandakumar: We are gradually introducing across the board all tickets. Our idea is to be customer friendly with regard to pricing in comparison with the market.

Pratik Kothari: Right. So this 5 lakh plus share, which I think last quarter, we had said was 15%, 16 %. So where is it now? And I mean, where are we benchmarking this to, say, 4, 6 quarters out?

V. P. Nandakumar: We are benchmarking with other players. So as I have been telling this is done in a phased manner, in a calibrated manner. And on the one side, we want to ensure that the budgeted income is achieved and we are able to achieve leverage our capital better. So the pricing depends on the market conditions. So we see some stability there amongst the top 3, 4 players. So gradually, as I mentioned earlier, we plan to reach that level.

Pratik Kothari: So where have we reached and what is the plan for 6 quarters? I mean this INR5 lakh plus ticket size, what is the mix in our portfolio right now? And what does it have to be? What does this 2, 3 other players have it at?

Raju Narayanan: Now it is 19%, as I mentioned, 1 5% in the last quarter.

Pratik Kothari: Yes. And the peers that we want to achieve, this is what, 25%, 30% ?

Raju Narayanan: Yes. From the market, we came to know that they are at 30% level.

V. P. Nandakumar : These are not publicly listed .

Pratik Kothari: Fair. And sir, you said we -- our plan is to match the budgeted numbers for this year. So on the gold loan side, this was on the revenue or on the profit?

V. P. Nandakumar: On the revenue as well as profit.

Pratik Kothari: Fair enough. Sure. And sir, last, if you can comment on our vehicle and MSME. I mean the NPAs there have shot up through the roof. I mean we have kind of curtailed lending also there at least the quarter -on-quarter, the growth is not coming or there's a degrowth. So if you can some comments there, I mean, what kind of pain we are seeing where in the cycle are we?

V. P. Nandakumar: In MSME, we had around 5% portfolio, which was unsecured. So the major challenge has come from that in MSME. And another thing, this quarter, we did some ARC that also has been bearing on the profitability. But now we have consolidated many things and we are hopeful of bringing down the opex also by 2% towards the end of this year gradually.

So the more focus is on asset quality. And so we are refocusing our business to take the average ticket size, which is currently around INR5 lakhs to around INR8 lakhs, INR9 lakhs towards the end of this year. We have revised strategy for that and we hope that this will improve, this strategy will improve performance.

Manappuram Finance Limited

August 08, 20

2 5

Page 11 of 16

With regard to vehicle portfolio, we had challenges in some of the segments we were in, like farm equipment 's, which we thought it is not our cup of tea, so we exited. Similarly, in 2 wheeler also, we have remodeled to an automated underwriting system so that the people cost is reduced. So this has brought down our disbursal, but it will gradually pick up.

Now our renewed strategy is focus on the slightly larger tickets, both on the used commercial vehicles as well as used car segment . So this is our strategy, and there also the average ticket size remains around INR6 lakhs, INR7 lakhs, and we intend that to be taken to around INR10 lakhs plus and attract customers of a relatively higher profile.

Moderator: The next question is from the line of Rajiv Mehta from Yes Securities.

Rajiv Mehta: Sir, my first question is on the gold loan industry itself. So sir, are we seeing that the competition here again, is going up in the market now post the RBI guideline and the clarity from the regulator about the regulations? Are we seeing that more players coming into the market, the existing players intensifying their strategy and game?

And on the other side, are we also seeing that the demand for gold loan is suddenly rising across ticket sizes because the other avenues of loans are not freely available, so much available as before. So how do you assess the demand and supply side of the gold loan market playing out? And whether lowering the yield then in that case should get us the desired volume growth because I think value growth is right now, but if the gold price were to stabilize in the future, does lowering the yield will give us the desired volume growth? And what will be that desired volume growth that we would want to be at?

V. P. Nandakumar: So the smaller ticket size that is below INR1 lakhs, there because of the regulatory changes like transferring money into bank, etcetera, etcetera , is showing some negativity there and these small borrowers borrowing up to INR10,000, INR20,000, INR50,000, there is a tendency for going to the unorganized sector borrowers, money lenders.

But more and more customers are coming from the higher ticket size. So now with the new regulation concerning gold loan, it has definitely created a level playing field. There are opportunities there.

And of course, there's opportunities for borrowing the unsecured loans. That is coming down, which has actually is positive for gold loan. Regarding competition, any business which is attractive will have the competition. But the thing is for any new player to create any infraction like us or some leading players.

There's so many employees very well trained who can assess the purity by the near feel and touch and also the security infrastructure, creation of large security infrastructure across India would take time. I'm not saying that it is impossible, it is possible, but it takes time. And that's where we stand to gain with our pricing strategy and other strategy in the gold loan market.

Rajiv Mehta: So, sir, if, say for example, if the gold prices stabilize and with this pricing strategy that we are executing, what kind of growth we can maintain?

Manappuram Finance Limited

August 08, 2025

Page 12 of 16

V. P. Nandakumar: So, it will be on par with the markets. On par with the markets, yes, when we grow with the larger ticket size, we need to understand the attitude of such customers who are of a better profile.

So we need to reset our infrastructure, everything. So, parallelly we are doing all these. So the momentum, which we will be seeing in the large players with regards to the gold loan growth, we have are confident of achieving that level.

Rajiv Mehta: Okay. And just a few data points on Asirvad.

Moderator: Sorry to interrupt. May I request you to please follow up the queue, as there are several participants waiting. The next question

is from the line of Abhijit Tibrewal from Motilal Oswal.

Abhijit Tibrewal: First thing is Raju sir, every earnings call, you share the split of gold loans by ticket size. If you could just help us with that?

Raju Narayanan: Up to INR1 lakh 36.5%. INR1 lakh to INR2 lakh, 21.3%. INR2 lakh to INR5 lakh, 23.1%. Above INR5 lakh, 19.1%.

Abhijit Tibrewal: Above INR5 lakh, what did you say?

Raju Narayanan: 19.1%.

Abhijit Tibrewal: 19.1%. Right. The second question that I had was for Bindu, ma'am. Last quarter also, you had guided that the peak is now behind. And in this quarter also, we saw credit costs coming down in microfinance. So while a couple of participants have already asked this, but for the benefit of all of us, if you could just guide on maybe the full year credit cost in microfinance in this year that you are expecting?

Bindu A. L. : So what we have seen Q4, that was the highest credit cost, and it is almost half in this quarter. I think as already mentioned by sir, last quarter, we are expecting a profit from the microfinance business. So in the coming quarters, we will see at least 30% reduction from the credit cost to what we reported in Q1.

Abhijit Tibrewal: Got it. This is useful. And lastly, ma'am, in the standalone notes to accounts, I was seeing that we have done an assignment transaction and ARC transaction in the quarter. So if you could just help us understand this assignment transaction was in which product and likewise, the ARC transaction, which pool of NPAs have been sold?

Bindu A. L.: So the ARC and the DA, we are done in MSME secured book. So the DA transaction, which is coming at a better pricing. So the net income is only INR5 crores from that. So we did INR150 crores, INR160 crores DA and ARC is INR50 crores again from the secured book. As these are small ticket loans, NBFCs can get this RCC proceedings started with the ARC sale. So the idea is to have a more rigorous follow-up with the borrowers to collect the money through surface fee proceeding.

Abhijit Tibrewal: Got it. And last question for Nandakumar, sir. Sir, earlier during this call, you said that we are in discussion with banks for opportunities in co-lending. I just wanted to clarify the opportunities that you're talking about, you're talking about co-lending opportunities in gold loans, right?

Manappuram Finance Limited

August 08, 2025

Page 13 of 16

V. P. Nandakumar: Yes, yes. In Asirvad has around 1,600 branches, out of that 500 branches are exclusively gold loan branches. Then that 1,100 branches are offering microfinance. This infrastructure also can be upgraded and utilized for gold lending also through co-lending. So that is a relaxed -- this qualifying asset criteria, we'll be able to mobilize a good amount of gold loans there also. Asirvad has a large network or expanded network and very large customer base and community connect. That situation can be taken advantage.

Moderator: The next question is from the line of Gaurav from Capital Farming Consultants.

Gaurav: Yes. So my first question is on gold loan AUM on our standalone entity, parent level, Manappuram Finance, yes. So on quarter-on-quarter basis versus Q4 of FY '25, our AUM has increased by almost double-digit, that is 12%. Whereas in tonnage, growth is hardly there, just 1%. Number of customers also almost flat, just 0.4%. So, if you can give some colors on that, what exactly were the factors which helped the company to grow this AUM by 12%?

V. P. Nandakumar: See, our LTV remains around 57%. So, when the gold price goes up, so that people simply won't borrow because the gold price has gone up. Because while borrowing, they have the clarity about the inflow of cash, cash flow, thereby they can redeem within 4, 5 months' time. So if it fits into their cash flow, only they borrow. So what actually happens is when the gold price goes up, the security they bring the collateral,

that quantity they reduce.

And when the price goes down, just the opposite happens. Actually, price has somewhat bearing with regard to the AUM growth. AUM growth is driven by the demand. The opportunity is because the unsecured borrowing, the opportunities have come down. So there is an opportunity for gold lending too.

And also now with more players coming in and the banks also like another advantage is the popularity of this gold loan is also increasing. That's why the customers from the middle class and upper middle class also use -- started using that to meet their business requirements and other requirements.

Gaurav: Sorry, but within this, just a follow-up because I'm unable to digest that, just because the price of the gold has moved up and that has helped the AUM growth by just 12 percentage, whereas the number of customer has remained flat. So, CFO, ma'am, can help me understand if the number of customers, gold customers has remained almost flat, somewhere around INR26 lakhs, right?

So, within that, what percentage of customers were new to Manappuram in Q1 of FY '26, in terms of percentage, right? And what were our existing customers to whom the loan was renewed because if I recollected correctly that we have a short term tenure gold loan, which we extend maybe 3 months or 6 months, right? So, what percentage of our customers within this was new customer to Manappuram?

V. P. Nandakumar: Before that, I told you one thing is a smaller ticket size because of regulatory challenges these customers have, there is a tendency to move to pawnbroker that's up to INR1 lakh. So the growth is coming mainly from INR1 lakh plus. So this segment is growing and it will grow that's why

Manappuram Finance Limited

August 08, 2025

Page 14 of 16

the number of customers, even though the number of customers remain at that level, we are able to get growth because of that, not because of the price has gone up.

Bindu A. L.: So during the quarter, we added 3.5 lakh new customers. And the reason for less number of customer addition in the outstanding because the customers mostly we were able to attract in the

high-ticket segment. So the small ticket customers, we have seen a reduction. So that is the reason net outstanding number of customers has not changed much, but we were able to add 3.5 lakh new customers. Any other data points we can take offline, if that is fine.

Gaurav: My second question is our gold loan branches are stagnant at 4,044, whether it is Q-o-Q basis or Y-o-Y basis. So is there any regulatory restriction in opening the gold loan branches or we are not keen in expanding the gold loan branches across the length and depth of the country?

V. P. Nandakumar: For gold loan companies, there is a restriction in opening branches beyond 1,000. The restriction is we need to seek prior approval from RBI for every branch. We have submitted application for opening branches, and we hope to get it soon. But now the BAIN transaction is under the processing by the RBI. So until this transition is over, they don't take up these things. So we are expecting the RBI approval to be received probably by the next month. And without much delay, we expect the new branch applications also to be sanctioned.

Moderator: The next question is from the line of Aagam from Aagam Investments.

Aagam: Question. I mean -- can you give color again, I mean, on the non-gold portfolio, especially on the MSME side and the vehicle finance, I mean for last few quarters, we have been not growing much and the asset quality has also been worsening. So what is the thought process here going ahead? How are we shaping our book AUM here? And when can we see, let's say, growth firing across all our consol level book going ahead? So if you can throw color on all of it.

V. P. Nandakumar: So we are re-strategizing our business plans. Now Bain Capital also have joined. Their knowl

edge in the industry also would help. So the growth strategy is to use the opportunities to grow gold loan. As I mentioned, we are matching the pricing gradually with the market and attracting high ticket customers like others. The second, using co-lending models. We gradually plan to expand the gold loan business in our subsidiaries also.

First, we are trying to do it in Asirvad in non-gold. Asirvad non-gold branches. There are 1,100 branches. Later after testing the success, we may extend the gold loan business to other subsidiaries also gradually. So this way, we expect our branches to grow our gold loan branches to grow to around 5,000 plus towards the end of this year.

So that opportunity for growth, as I said, pricing matching the market plus geographical expansion of this business through our non-gold branches through quality. These are the opportunities we see. The other businesses are in a consolidation phase. One in affordable housing, etcetera, the average ticket size is around INR5 lakhs. So we are moving to around average ticket size of around INR8 lakh to INR15 lakhs with improved underwriting.

So that when the business is refocused, we believe the asset quality will improve also the employee productivity. So we have developed a definite plan to improve the productivity month - Manappuram Finance Limited

August 08, 2025

Page 15 of 16

on-month. And we are confident that it will improve the profitability of this housing finance as well as MSME.

Vehicles, we have -- we are again consolidating in the sense that we are moving out of the risky segments like we have already moved out of farm equipment and bringing down the opex in 2-wheeler by automated underwriting systems, etcetera. So that reduced number of people and also the asset quality is improved because the underwriting is automated.

So this way, the non-gold businesses are on a consolidated phase. And we are confident that these are going to be the opportunities on both the infrastructure as well as business. These are going to be the opportunities going forward.

Aagam: Okay. So broadly going ahead, the more focus will be on the gold loan side?

V. P. Nandakumar: That's what's planned. That doesn't mean that we are ignoring the other sectors, but we are re-strategizing. As I told you ticket size to move up from INR5 lakhs to INR10 lakhs because then the employee productivity will improve. So the opex can be brought down. Then the asset quality will be naturally better because the underwriting standards are better.

Then another thing, one challenge we face is even with the takeover, the small houses where they borrowed around INR4 lakhs, INR5 lakhs, the salability is very low. There the salability as well as the people fear of losing that price that also will be better.

So this way, by improving the ticket size, improving the asset quality, bringing more -- improving our automated underwriting systems using various technologies, dedicated various technologies. These are in place.

Aagam: Share in mainly the 35% AUM non-gold is there, should this number go down below 20%, how should I look at this?

V. P. Nandakumar: Is expected to go down. And gold expected to overtake.

Aagam: So currently 80-20 is share?

Bindu A. L.: Now it is 65-35, gradually will reach to 75-25.

Aagam: 25% will be the rest. So that would be majorly microfinance and housing or...?

V. P. Nandakumar: In my opening remarks, already I mentioned we intend to increase our secured book to 90% and bring down the unsecured microfinance to below 10% of consol AUM.

Agam: Okay. And in terms of the Asirvad, in terms of write -off and impairment are we done with this quarter or there is yet some loss to be provided for?

Bindu A. L. : So the provisions are based on the slippages during the quarter. So based on the slippage, 70% is the provision coverage ratio. Continuously, we are monitoring th

e collections and based on

the slippages, we have to create a provision. But the maximum effort is going for collection.

Manappuram Finance Limited

August 08, 2025

Page 16 of 16

Agam: So are we there in terms of meeting the previous levels in terms of collection efficiency and credit cost?

Bindu A. L. : I couldn't get that.

Agam: So when things were good. So are we there? Are we reaching those times and trying to that?

Bindu A. L. : So we started disbursements with the tightened underwriting norms. But as the disbursement is lesser than the rundown, the book is running down. And wherever collections are showing better, we are focusing more on the disbursement in those states. In difficult places, we are focusing more on the senders where the collection is better.

Moderator: The next question is from the line of Kushan Parikh from Morgan Stanley.

Kushan Parikh: Just a data keeping question. You shared the mix by ticket size for this quarter. Could you share the same for 4Q FY '25?

Raju Narayanan: Up to INR1 lakh 14.2%. INR1 lakh to INR2 lakh, 21.75%. Up to INR5 lakh, 22%. Above INR5 lakh, 16%.

Moderator: That was the last question for the day. I now hand the conference over to the management for closing comments.

V. P. Nandakumar: So thank you for the active participation and questions, which were all very relevant. And we look forward for interacting with you. Whoever wants to have the data, we are ready to share with you. Thank you so much.

Moderator: On behalf of DAM Capital Advisors, that concludes this conference. Thank you for joining us . And you may now disconnect your lines.

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